SKM EGG PRODUCTS

THINKING OUT OF THE SHELL

SKM EGG PRODUCTS EXPORT (INDIA) LIMITED

31st Annual Report 2025-2026



Excellence - Our Goal
Service - Our Motto
Quality - Our Obsession

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SKM EGG PRODUCTS EXPORT (INDIA) LIMITED

CIN : L01222TZ1995PLC006025
REGD. OFFICE : 133, 133/1, GANDHIJI ROAD, ERODE - 638 001.

OUR BOARD OF DIRECTORS	:	SHRI. SKM MAEILANANDHAN	(DIN:00002380)
		SHRI. SKM SHREE SHIVKUMAR	(DIN:00002384)
		SMT. SHIVKUMAR KUMUTAAVALLI	(DIN:00002390)
		SHRI. S.K. SHARATH RAM	(DIN:09469919)
		SHRI. R.R. SATHIYA MURTHY	(DIN:00505804)
		DR. VIKRAM RAMAKRISHNAN	(DIN:00150883)
		SHRI. T.N. THIRUKUMAR	(DIN:00124793)
		SHRI. G.N. JAYARAM	(DIN:08521023)
		SHRI. K. VIVEKANANDAN	(DIN:05354239)
		SHRI. K. AHAMED SHEIK MOHIDEEN	(DIN:00077439)
EXECUTIVE CHAIRMAN	:	SHRI. SKM MAEILANANDHAN	(DIN:00002380)
MANAGING DIRECTOR	:	SHRI. SKM SHREE SHIVKUMAR	(DIN:00002384)
CHIEF FINANCIAL OFFICER	:	SHRI. K.S.VENKATACHALAPATHY	
COMPANY SECRETARY	:	SHRI. P. SEKAR	
STATUTORY AUDITOR	:	N C RAJAGOPAL & CO., 199, AGRAGARAM STREET, ERODE - 638 001.	
SECRETARIAL AUDITOR	:	SHRI. R. SAIPRASATH M.B.A., FCS, COMPANY SECRETARY IN PRACTICE, 160/18-A, SRINIVASA TRADE CENTRE (1st Floor) RAMALINGAM ROAD (East),R.S.PURAM, COIMBATORE - 641002.	
BANKERS	:	STATE BANK OF INDIA COMMERCIAL BRANCH SATHY MAIN ROAD ERODE - 638 003.	
REGISTERED OFFICE	:	133,133/1, GANDHIJI ROAD, ERODE - 638 001.	
FACTORY	:	ERODE TO KARUR MAIN ROAD, CHOLANGAPALAYAM, PUNJAI KILAMBADI VILLAGE, ERODE - 638 154.	

NOTICE OF THE 31ST ANNUAL GENERAL MEETING

Notice is hereby given that the 31st Annual General Meeting of the members of **M/s. SKM Egg Products Export (India) Limited** will be held on **Friday, September 18, 2026 at 10.00 a.m (IST)** through Video Conferencing ("VC") / Other Audio-Visual Means ("OAVM") to transact the following business:

ORDINARY BUSINESS:

1. To receive, consider and adopt standalone and consolidated Annual Financial Statements including Statement of Profit and Loss (including Other Comprehensive Income), along with the Statement of Cash Flows for the financial year ended March 31, 2026, the Balance Sheet as at that date, the Report of the Board of Directors and the Auditors thereon.

2. To declare a final dividend of Rs.1.25 (One rupee twenty five paise only) per equity share of the face value of Rs.5/- each, of the Company for the financial year ended March 31st, 2026.

3. To appoint a Director in the place of Mrs S Kumutaavalli (DIN: 00002390) who retires by rotation and being eligible, offers herself for re-appointment.

SPECIAL BUSINESS:

4.TO INCREASE THE AUTHORISED SHARE CAPITAL AND ALTERATION TO THE CAPITAL CLAUSE OF MEMORANDUM OF ASSOCIATION OF THE COMPANY

To consider and, if thought fit, to pass the following resolution as an Ordinary Resolution:

"RESOLVED THAT pursuant to the provisions of Sections 13, 61, 64 and other applicable provisions, of the Companies Act, 2013, and rules made thereunder (including any amendments thereto or statutory modifications or re-enactment thereof for the time being in force) and in accordance with the Articles of Association of the Company, approval of the Members of the Company be and is hereby granted to increase the Authorised Share Capital of the Company with the power to the Board of Directors of the Company to increase and reduce the Share Capital of the Company within the overall limit and to divide and subdivide the shares into several classes and to attach thereto respectively such rights, privileges or conditions as may be permitted by the applicable laws in force and in accordance with the Articles of Association of the Company for the time being in force.

"**RESOLVED FURTHER THAT** pursuant to the increase in the Authorised Share Capital of the Company, and provisions of Sections 13, 61, 64 and other applicable provisions, of the Companies Act, 2013 and rules made thereunder (including any amendments thereto or statutory modifications or re-enactment thereof for the time being in force) and in accordance with the Articles of Association of the Company, the Memorandum of Association of the Company be and is hereby altered by substituting the existing Clause V thereof with the following Clause V:

"The Authorised Share Capital of the Company is Rs.50,00,00,000 (Rupees Fifty Crore only) divided into 10,00,00,000 (Ten Crore) Equity Shares of Rs.5/- (Rupees Five only) each with power to increase or reduce or alter capital in accordance with the law.

"**RESOLVED FURTHER THAT** the Board of Directors of the Company (hereinafter referred to as the "Board") (which term shall be deemed to include any duly authorized Committee thereof, for the time being exercising the powers conferred on the

Board), be and is hereby authorized to do all such acts, deeds, matters and things as it may, in its absolute discretion, deem necessary, proper or desirable and to settle any questions, difficulties and / or doubts that may arise in this regard in order to implement and give effect to this resolution.

5. ALTERATION TO THE CAPITAL CLAUSE OF ARTICLE OF ASSOCIATION OF THE COMPANY

To consider and, if thought fit, to pass the following resolution as an Special Resolution:

"RESOLVED THAT pursuant to the provisions of Sections 14, 61 and all other applicable provisions, if any, of the Companies Act, 2013 read with the rules made thereunder (including any statutory modification(s), amendment(s), re-enactment(s) thereof for the time being in force), the applicable provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Memorandum and Articles of Association of the Company and such other approvals, permissions and sanctions as may be necessary, consent of the Members of the Company be and is hereby accorded to alter the Share Capital Clause contained in the Articles of Association of the Company by substituting the existing Article No.4 with the following:

The Authorised Share Capital of the Company is Rs.50,00,00,000 (Rupees Fifty Crore only) divided into 10,00,00,000 (Ten Crore) Equity Shares of Rs.5/- (Rupees Five only) each

"RESOLVED FURTHER THAT the Board of Directors of the Company (which term shall include any Committee thereof or any person(s) authorised by the Board) be and is hereby authorised to do all such acts, deeds, matters and things, execute all such documents, writings and instruments, and take all such steps as may be necessary, proper or expedient to give effect to this resolution, including filing of necessary e-forms with the Registrar of Companies, making necessary intimations to the Stock Exchanges, obtaining approvals from statutory or regulatory authorities, and to settle any question, difficulty or doubt that may arise in this regard**.**

6. AMENDMENT TO THE ARTICLES OF ASSOCIATION OF THE COMPANY

To consider and, if thought fit, to pass with or without modifications, the following as a Special Resolution:

"RESOLVED THAT pursuant to the provisions of Sections 14 and other applicable provisions, if any, of the Companies Act, 2013, read with the rules made thereunder (including any statutory modification(s) or re-enactment thereof for the time being in force), and subject to such approvals, permissions and sanctions as may be necessary, the consent of the Members of the Company be and is hereby accorded to alter the Articles of Association of the Company by inserting the following new Article after Article [103(a)] after the existing article 103 of the Article of Association of the company as under

Article 103(a) – Chairman Emeritus

The Board of Directors may confer the honorary title of 'Chairman Emeritus' upon any former Chairman, Director, Promoter or other distinguished person who has rendered exceptional and meritorious services to the Company.

The position/designation of Chairman Emeritus shall be honorary in nature and shall not constitute an office of Director or Key Managerial Personnel under the Companies Act, 2013. The Chairman Emeritus may be invited to attend meetings of the Board, Committees or General Meetings of the Company in an advisory and non-voting capacity and may provide guidance and counsel to the management and the Board from time to time.

The Chairman Emeritus shall not have any executive powers, management authority, fiduciary responsibilities or voting rights by virtue of holding such position, unless otherwise specifically provided under applicable law or approved by the shareholders.

The terms, tenure, privileges and facilities, if any, associated with the position of Chairman Emeritus shall be determined by the Board of Directors from time to time in accordance with applicable laws."

"RESOLVED FURTHER THAT the Board of Directors of the Company (which term shall include any Committee thereof) be and is hereby authorized to do all such acts, deeds, matters and things and to execute all such documents, instruments and writings as may be considered necessary, desirable or expedient for giving effect to this resolution and for making necessary filings with the Registrar of Companies and other statutory authorities."

7. APPOINTMENT OF MR. SKM MAEILANANDHAN AS CHAIRMAN EMERITUS OF THE COMPANY

To consider and, if thought fit, to pass with or without modifications, the following as a Special Resolution:

"RESOLVED THAT pursuant to the provisions of the Articles of Association of the Company and other applicable provisions of the Companies Act, 2013, if any, and in recognition of the invaluable contribution, visionary leadership and distinguished services rendered by Mr. SKM Maeilanandhan (DIN: 00002380) towards the growth and development of the Company over several decades, the consent of the Members be and is hereby accorded to designate and appoint Mr. SKM Maeilanandhan as 'Chairman Emeritus' of the Company with effect from 25th June 2026.

"RESOLVED FURTHER THAT the position or designation of Chairman Emeritus shall be honorary in nature and shall not constitute an office of Director or Key Managerial Personnel of the Company and shall not carry any executive powers, management authority or voting rights.

"RESOLVED FURTHER THAT Mr. SKM Maeilanandhan, in his capacity as Chairman Emeritus, may be invited by the Board of Directors to attend General Meetings, Board Meetings and such other meetings of the Company in an advisory and non-voting capacity and may provide guidance, mentorship and strategic counsel to the Board and the Management from time to time.

"RESOLVED FURTHER THAT the appointment of Mr. SKM Maeilanandhan as Chairman Emeritus shall be commencing from 25th June 2026.

"RESOLVED FURTHER THAT, in consideration of the advisory and mentoring services rendered by him to the Company, Mr. SKM Maeilanandhan shall be paid such remuneration, commission, honorarium, allowances, perquisites and other benefits as may be determined by the Board of Directors from time to time, subject to the provisions of the Companies Act, 2013 and the rules made thereunder and within the limits, if any, prescribed thereunder.

"RESOLVED FURTHER THAT during the tenure as Chairman Emeritus, Mr. SKM Maeilanandhan shall also be entitled to such facilities and support as may be determined by the Board, including office space, secretarial assistance, communication facilities, reimbursement of travelling and other business-related expenses and such other privileges as may be considered appropriate by the Board.

"**RESOLVED FURTHER THAT** the Board of Directors of the Company be and is hereby authorized to do all such acts, deeds, matters and things as may be necessary, expedient or desirable to give effect to this resolution."

8. INCREASE IN BORROWING POWERS OF THE BOARD OF DIRECTORS

To consider and, if thought fit, to pass with or without modifications, the following as a Special Resolution:

"RESOLVED THAT pursuant to the provisions of Section 180(1)(c) and other applicable provisions, if any, of the Companies Act, 2013, read with the rules made thereunder, including any statutory modification(s), amendment(s) or re-enactment(s) thereof for the time being in force, and in supersession of all earlier resolutions passed in this regard, consent of the Members of the Company be and is hereby accorded to the Board of Directors of the Company (hereinafter referred to as the 'Board', which term shall be deemed to include any Committee thereof and any person(s) authorised by the Board in this behalf) to borrow from time to time, any sum or sums of money, whether in Indian Rupees or foreign currency, by way of loans, credit facilities, external commercial borrowings, working capital facilities, term loans, non-convertible debentures, commercial papers or any other debt instruments, from banks, financial institutions, bodies corporate, government authorities or any other person(s), notwithstanding that the monies to be borrowed together with the monies already borrowed by the Company (apart from temporary loans obtained from the Company's bankers in the ordinary course of business) may exceed the aggregate of the paid-up share capital, free reserves and securities premium of the Company, provided that the total amount of such borrowings outstanding at any point of time shall not exceed Rs.1,000 Crore (Rupees Thousand Crore Only).

RESOLVED FURTHER THAT for the purpose of giving effect to this resolution, the Board of Directors of the Company be and is hereby authorized to negotiate, finalize and execute all agreements, deeds, documents and writings and to do all such acts, deeds, matters and things as may be deemed necessary, proper or expedient in connection therewith and to settle any question, difficulty or doubt that may arise in this regard."

By Order of the Board

Sd/-

SKM Shree Shivkumar
Chairman cum Managing Director
(DIN : 00002384)

Place: Erode
Date: 29.07.2026

NOTES :

AGM THROUGH VIDEO CONFERENCE (VC) / OTHER AUDIO-VISUAL MEANS(OAVM).

The Ministry of Corporate Affairs ("MCA") vide its Circular dated 5th May 2020 read with circulars dated 8th April 2020, 13th April 2020, 15th June 2020, 28th September 2020, 31st December 2020, 13th January 2021, 14th December 2021, 5th May 2022, 28th December 2022 and 25th September 2023, 19th September 2024 (collectively referred to as "MCA Circulars") and the Securities and Exchange Board of India vide their circulars dated 12th May 2020, 15th January 2021, 13th May 2022, 5th January 2023 and 7th October 2023 (collectively referred to as "SEBI Circulars") permitted the conduct of the Annual General Meeting ("AGM") through Video Conferencing ("VC")/Other Audio-Visual Means ("OAVM"), without the physical presence of the Members at a common venue.

The deemed venue for the AGM shall be the Registered Office of the Company. In compliance with the provisions of the Companies Act, 2013 ("Act"), SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations"), MCA Circulars and SEBI Circulars, the AGM of the Company is being held through VC/OAVM.

PROXY/QUORUM

A shareholder entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote on his / her behalf and the proxy need not be a shareholder of the company. However, as this AGM is being held through VC / OAVM, physical attendance of shareholders is dispensed with. Accordingly, the facility for appointment of proxies by the Members is not applicable for this e-AGM.

Hence the proxy form and attendance slip are not being annexed to this Notice.

The Members attending the AGM through VC/ OAVM will be counted for reckoning the quorum under Section 103 of the Companies Act, 2013. Pursuant to Section 113 of the Companies Act, 2013, Body Corporates are entitled to appoint authorized representatives and requested to send a duly certified copy of Board Resolution authorizing their representative(s) to attend and vote at the e-AGM.

The Members can join the AGM in the VC/OAVM mode 15 minutes before and after the scheduled time of the commencement of the Meeting by following the procedure mentioned in the Notice. The facility of participation at the AGM through VC/OAVM will be made available for 1000 members on first come first served basis. This will not include large Shareholders (Shareholders holding 2% or more shareholding), Promoters, Institutional Investors, Directors, Key Managerial Personnel, the Chairpersons of the Audit Committee, Nomination and Remuneration Committee and Stakeholders Relationship Committee, Auditors etc. who are allowed to attend the AGM without restriction on account of first come first served basis

PARTICULARS OF DIRECTORS

Particulars of Director seeking appointment / re-appointment, pursuant to Regulation 36(3) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, are given in Annexure

EXPLANATORY STATEMENT:

A statement pursuant to Section 102 of the Companies Act, 2013, in respect of the Special Resolution to be transacted at the meeting is annexed hereto.

BOOK CLOSURE:

Pursuant to Section 91 of the Companies Act, 2013 and SEBI (LODR) Regulations, 2015, the Register of members and Share Transfer Books of the Company will remain closed from Saturday, **the 12th September 2026 to Friday, the 18th September 2026 (Both days inclusive).**

RECORD DATE:

The Record Date, for the purpose of determining the entitlement of Members to the Dividend declared for the Financial Year 2025-26, will be **Friday, the 11th September 2026.**

DIVIDEND:

Dividend on declaration will be paid on or before 17th October 2026 electronically to those members who have updated their bank details with their Depository Participants (DP) or with the Company / Registrar and Transfer Agent (RTA). The payment of such dividend is subject to deduction of tax at source.

Members are requested to update their KYC with their Depository Participants (DP) or with the Company / RTA to receive the Dividend directly into their bank account on the payout date.

TAX DEDUCTION AT SOURCE:

Members may note that the Income Tax Act, 1961, ("the IT Act"), as amended by the Finance Act, 2020, mandates that Dividend paid or distributed by a Company after April 01, 2020 shall be taxable in the hands of Members.

Form 15G / 15H:

Declaration in Form No. 15G (applicable to any No. 15H applicable to an individual who is 60 to claim exemption from deduction of tax at source should be sent to the RTA on or before the 25th Sep, 2026. Please download Form 15G / 15H from the Income Tax portal.

UNCLAIMED DIVIDEND

In terms of Section 124 of the Act, 2013, the dividend declared by the Company, for earlier years, which remain unclaimed for a period of seven years will be transferred on due dates to the Investor Education and Protection Fund (IEPF), established by the Central Government. Members who have not encased their Demand Drafts in respect of the above period are requested to make their claim(s) by surrendering the un-encased Demand Drafts to the Company/RTA immediately.

Pursuant to The Investor Education and Protection Fund Authority (Accounting, Audit, Transfer and Refund) Rules, 2016, the Company is providing / hosting the required details of unclaimed amount referred to under Section 124 of the Act, 2013 on its website https://www.skmegg.com under the section "Unpaid Dividend" and also on the website of MCA viz., www.iepf.gov.in.

ATTENDING E-AGM:

The Company has engaged NSDL to provide VC / OAVM facility. The detailed procedure and manner for participating in e-AGM through VC/OAVM is given.

VOTING RIGHTS:

The voting rights of the Members shall be in proportion to their shares of the paid-up equity share capital of the Company, subject to the provisions of Companies Act, 2013, as on the 11th September 2026

VOTING PROCESS:

Shareholders can cast their votes through Remote e-Voting or at the AGM through e-Voting. The detailed process and instructions which form part of this notice.

MAILING OF AGM NOTICE & ANNUAL REPORT

The Electronic copies of Notice and the Annual Report of the 31st AGM inter alia indicating the process and manner of e-voting along with instructions to attend the Annual General Meeting through Video-Conferencing / Other Audio-Visual Means (VC/OAVM) will be sent only by email to those Members whose email address has been made available to the Company / RTA/ Depository Participants.

Members who have not registered their email addresses, can register the same as per the procedure given in the Notice. The physical copies of Annual Report 2025-26 will be sent only to such of those shareholders who would make a valid request in this regard and had not registered their e-mail IDs with the Company

The Notice calling the AGM has been uploaded on the website of the Company at www.skmegg.com

The Notice can also be accessed from the website of the Stock Exchanges i.e. NSE Limited at www.nseindia.com and BSE Limited at www.bseindia.com and the AGM Notice is also available on the website of NSDL (agency for providing the Remote e-Voting facility) i.e. www.evoting.nsdl.com

PROCEDURE FOR OBTAINING THE ANNUAL REPORT, AGM NOTICE AND E-VOTING INSTRUCTIONS BY THE SHAREHOLDERS WHOSE EMAIL ADDRESSES ARE NOT REGISTERED WITH THE DPS/ RTA:

Shareholders are advised to register/ update their email address and mobile number immediately, in case they have not done so earlier:

- In case of shares held in Demat mode, with their respective Dps.
- In case of shares held in physical mode, the shareholders are requested to send an email to our RTA – **M/s. MUFG intime India Pvt Limited** at **coimbatore@in.mpms.mufg.com** mentioning the Name of Member(s), Folio number along with the self-attested copy of PAN and Adhaar.
- After due verification the RTA – **M/s. MUFG Intime India Pvt Limited** will send login credentials for attending the AGM and voting to the registered email address.
- Shareholders are advised to send the above documents to the RTA before the book closure date ie. **Saturday, the 12th September 2026** to receive the Annual Report for the FY 2025 – 26 through email.

- Please note that as a valued shareholder of the Company, you are always entitled to request and receive all such communication in physical form at free of cost. Further, the documents served through email are available on the Company's website (https://www. Skmegg.com) and are also available for inspection at the Registered Office of the Company during specified business hours (Monday to Saturday 09:00 AM to 05:00 PM).

  Any person who becomes a shareholder of the company after despatch of the AGM Notice and holding shares as on the cut- off date may obtain the user Id and password by contacting the RTA at **coimbatore@in.mpms.mufg.com** mentioning the Name of Member(s), Folio number along with the self-attested copy of PAN and Adhaar.

ROUTE MAP:

Since the AGM will be held through VC/OAVM, the Route Map is not annexed in this Notice.

EXPLANATORY STATEMENT PURSUANT TO SECTION 102 OF THE COMPANIES ACT, 2013
STATEMENT OF MATERIAL FACTS CONCERNING ITEMS OF SPECIAL BUSINESS
(Annexed to notice pursuant to Section 102 of the Companies Act, 2013)

Item No.04.

The existing authorised share capital of the Company is approaching its utilisation limits. In order to maintain adequate headroom for future corporate requirements, including equity issuances, fund-raising initiatives, conversion of outstanding securities and such other capital restructuring or corporate actions as may be approved from time to time, the Board has considered it appropriate to increase the authorised share capital of the Company. Consequent upon the proposed increase in the authorised share capital, Clause V of the Memorandum of Association of the Company is required to be amended to reflect the revised authorised share capital of the Company. Pursuant to Sections 13 and 61 of the Companies Act, 2013, any increase in the Authorised Share Capital and consequent amendment to the Memorandum of Association of the Company requires approval of the Members of the Company.

The Board considers it in the best interest of the Company and accordingly, the Board recommends the Ordinary Resolution as set out at Item No. 4 of the Notice for approval of the Members. A copy of the existing Memorandum of Association of the Company is available for inspection by the Members during business hours on all working days at the Registered Office of the Company and shall also be available for inspection at the Annual General Meeting.

None of the Directors or Key Managerial Personnel of the Company or their relatives are, in any way, concerned or interested, financially or otherwise, in the resolution set out at Item No. 4 of the Notice except to the extent of their respective shareholding in the Company, if any.

The Board of Directors recommends the Ordinary Resolution set out at Item No. 4 of the Notice for approval of the Members

Item No.05.

The existing Article 4 of the Articles of Association of the Company sets out the authorised share capital of the Company. Pursuant to the proposal for increase in the authorised share capital of the Company and the consequent alteration of MOA it is necessary to amend Article 4 of the Articles of Association to bring it in line with the revised authorised share capital of the Company.

Accordingly, approval of the Members is sought for substitution of the existing Article 4 of the Articles of Association with the revised Article 4 reflecting the altered authorised share capital of the Company. Pursuant to the provisions of Section 14 and other applicable provisions, if any, of the Companies Act, 2013, alteration of the Articles of Association requires the approval of the Members by way of a Special Resolution.

The Board considers it in the best interest of the Company and accordingly, the Board recommends the Special Resolution as set out at Item No. 5 of the Notice for approval of the Members. A copy of the existing Articles of Association of the Company

is available for inspection by the Members during business hours on all working days at the Registered Office of the Company and shall also be available for inspection at the Annual General Meeting.

None of the Directors or Key Managerial Personnel of the Company or their relatives are, in any way, concerned or interested, financially or otherwise, in the resolution set out at Item No. 5 of the Notice except to the extent of their respective shareholding in the Company, if any.

The Board of Directors recommends the Special Resolution set out at Item No. 5 of the Notice for approval of the Members

Item No.06

The Board considers it appropriate to create the honorary position of **Chairman Emeritus** to recognize individuals who have made exceptional and enduring contributions to the growth and development of the Company. The proposed amendment to the Articles of Association enables the Company to confer such honorary designation while clearly defining its non-executive and non-voting nature. Accordingly, the Board recommends the Special Resolution for approval of the Members.

Item No.07

Mr. SKM Maeilanandhan (DIN: 00002380), the **Founder of the Company**, has been associated with the Company since its inception and has played an instrumental role in laying the foundation for its growth and success. Through his vision, entrepreneurial leadership, dedication and relentless efforts over several decades, he has transformed the Company into a reputed and successful enterprise and has significantly contributed to its sustained growth, expansion and value creation for all stakeholders.

Under his stewardship and guidance, the Company has achieved several milestones, strengthened its market position and established a strong reputation for operational excellence, corporate governance and long-term sustainability. The Board of Directors acknowledges with deep appreciation his invaluable contribution and distinguished services rendered to the Company throughout his association.

In recognition of his outstanding contribution as the Founder and long-standing leader of the Company, his rich experience, business acumen and continued ability to provide strategic guidance, the Board of Directors, at its meeting held on 24th June 2026 considered it appropriate to confer upon him the honorary designation of **"Chairman Emeritus"** with effect from 25th June 2026.

The position of Chairman Emeritus is intended to honour and recognize Mr. Maeilanandhan's exceptional services and continued association with the Company. The role shall be advisory and honorary in nature and shall not constitute an office of Director or Key Managerial Personnel under the Companies Act, 2013. He shall not exercise any executive powers, management authority or voting rights by virtue of such designation.

In his capacity as Chairman Emeritus, Mr. Maeilanandhan may, at the invitation of the Board, attend General Meetings, Board Meetings and other meetings of the Company in a non-voting and advisory capacity and provide strategic guidance, mentorship and counsel to the Board and the Management.

The Board has proposed that the appointment of Mr. Maeilanandhan as Chairman Emeritus shall be commencing from 25th June 2026. In consideration of the advisory and mentoring services rendered by him, he shall be entitled to receive such remuneration, commission, honorarium, allowances, perquisites and other benefits as may be determined by the Board of Directors from time to time, subject to compliance with the applicable provisions of the Companies Act, 2013 and the rules made thereunder and the Board shall be authorized to revise, modify or determine such remuneration and benefits, within the framework of applicable law, without requiring further approval of the shareholders.

Mr. Maeilanandhan shall also be entitled to such facilities and support as may be determined by the Board from time to time, including office space, secretarial assistance, communication facilities, reimbursement of travelling and other business-related expenses and such other privileges as may be considered appropriate for effectively discharging his advisory responsibilities.

The Board believes that the continued association of Mr. SKM Maeilanandhan as Founder and Chairman Emeritus will be of immense value to the Company and its stakeholders and that his experience, guidance and mentorship will continue to benefit the Company in achieving its long-term strategic objectives.

Except Mr. SKM Maeilanandhan and his relatives, to the extent of their shareholding interest, if any, none of the Directors, Key Managerial Personnel of the Company or their relatives is concerned or interested, financially or otherwise, in the proposed resolution.

The Board recommends the Special Resolution for approval of the Members.

Item No. 08:

In terms of Section 180(1)(c) of the Companies Act, 2013, the Board of Directors of a company cannot, except with the consent of the Members by way of a Special Resolution, borrow monies, where the amount to be borrowed together with the

monies already borrowed by the Company (apart from temporary loans obtained from the Company's bankers in the ordinary course of business) exceeds the aggregate of the paid-up share capital, free reserves and securities premium of the Company.

Considering the Company's present and future business requirements, including working capital requirements, capital expenditure programmes, expansion plans, investments, acquisition opportunities, issuance of guarantees, letters of credit and other business exigencies, the Company may be required to avail additional credit facilities and borrowings from banks, financial institutions and other lenders from time to time.

Accordingly, it is proposed to enhance the borrowing powers of the Board of Directors and to authorise the Board to borrow monies, from time to time, in excess of the aggregate of the paid-up share capital, free reserves and securities premium of the Company, subject to the overall borrowing limit specified in the resolution.

The proposed resolution is intended to provide adequate financial flexibility to the Company to meet its business requirements and to enable timely access to funds as and when required, without the need to seek fresh shareholder approval on each occasion.

None of the Directors, Key Managerial Personnel of the Company and/or their relatives are, in any way, concerned or interested, financially or otherwise, in the said resolution except to the extent of their shareholding, if any, in the Company.

The Board of Directors recommends the Special Resolution set out at Item No. 8 of the Notice for approval of the Members.

(By Order of the Board)
For SKM Egg Products Export (India) Limited

Place: Erode
Date: 29.07.2026

SKM Shree Shivkumar
Chairman cum Managing Director
(DIN:00002384)

ANNEXURE TO THE NOTICE

Details of directors seeking appointment/re-appointment required under Regulation 36 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015 and Secretarial Standard - 2 on General Meetings issued by the ICSI:

Name of Director	Smt. S. Kumutaavalli
Director Identification Number (DIN)	00002390
Designation/category of the Director	Non-Executive Director
Date of Birth & Age	30.03.1973& 53
Date of the first appointment	29.10.2010
Qualification	B.A.(CS), M.Sc., (Psychotherapy and Counselling), Diploma in Export and Import Management, Diploma in Advanced Information Management
Experience	More than 20 years
Directorships held in other companies	SKM Siddha and Ayurvedha Company India Private Limited SKM Universal Marketing Company India Private Limited SKM Shree Developers India Private Limited SKM Shree Herbals India Private Limited SKM Shrees Properties India Private Limited SKM Healthcare India Private Limited
Memberships / Chairmanships of committees of other companies	NIL
Inter-se relationship with other Directors and Key Managerial Personnel	SKM Maeilanandhan - Father in law SKM Shree Shivkumar - Husband S K Sharath Ram - Son
Shareholding in the Company	20,010
Terms and Conditions of appointment / re-appointment	1 year retire by rotation
Details of Remuneration sought to be paid	Sitting Fees
Remuneration last drawn	NIL
No of board meetings attended	6

THE INSTRUCTIONS FOR MEMBERS FOR REMOTE E-VOTING AND JOINING GENERAL MEETING ARE AS UNDER:-

The remote e-voting period begins on 15th September, 2026 at 9:00 A.M. and ends on 17th September, 2026 at 5:00 P.M. The remote e-voting module shall be disabled by NSDL for voting thereafter. The Members, whose names appear in the Register of Members / Beneficial Owners as on the record date (cut-off date) i.e. the 11th September 2026, may cast their vote electronically. The voting right of shareholders shall be in proportion to their share in the paid-up equity share capital of the Company as on the cut-off date, being the 11th September 2026.

How do I vote electronically using NSDL e-Voting system?

The way to vote electronically on NSDL e-Voting system consists of "Two Steps" which are mentioned below:

Step 1: Access to NSDL e-Voting system

A) Login method for e-Voting and joining virtual meeting for Individual shareholders holding securities in demat mode

In terms of SEBI circular dated December 9, 2020 on e-Voting facility provided by Listed Companies, Individual shareholders holding securities in demat mode are allowed to vote through their demat account maintained with Depositories and Depository Participants. Shareholders are advised to update their mobile number and email Id in their demat accounts in order to access e-Voting facility.

Login method for Individual shareholders holding securities in demat mode is given below:

Type of shareholders	Login Method
Individual Shareholders holding securities in demat mode with NSDL.	1. For OTP based login you can click on https:// eservices. nsdl.com/ SecureWeb /evoting/evotinglogin.jsp. You will have to enter your 8-digit DP ID,8-digit Client Id, PAN No., Verification code and generate OTP. Enter the OTP received on registered email id/mobile number and click on login. After successful authentication, you will be redirected to NSDL Depository site wherein you can see e-Voting page. Click on company name or **e-Voting service provider i.e. NSDL** and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. 2. Existing **IDeAS** user can visit the e-Services website of NSDL Viz. https://eservices.nsdl.com either on a Personal Computer or on a mobile. On the e-Services home page click on the "**Beneficial Owner"** icon under **"Login"** which is available under **'IDeAS'** section , this will prompt you to enter your existing User ID and Password. After successful authentication, you will be able to see e-Voting services under Value added services. Click on **"Access to e-Voting"** under e-Voting services and you will be able to see e-Voting page. Click on company name or **e-Voting service provider i.e. NSDL** and you will

Type of shareholders	Login Method
	be re-directed to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. 3. If you are not registered for IDeAS e-Services, option to register is available at https://eservices.nsdl.com. Select "**Register Online for IDeAS Portal**" or click at https://eservices.nsdl.com/SecureWeb/IdeasDirectReg.jsp 4. Visit the e-Voting website of NSDL. Open web browser by typing the following URL: https://www.evoting.nsdl.com/ either on a Personal Computer or on a mobile. Once the home page of e-Voting system is launched, click on the icon "Login" which is available under 'Shareholder/Member' section. A new screen will open. You will have to enter your User ID (i.e. your sixteen digit demat account number hold with NSDL), Password/OTP and a Verification Code as shown on the screen. After successful authentication, you will be redirected to NSDL Depository site wherein you can see e-Voting page. Click on company name or **e-Voting service provider i.e. NSDL** and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. 5. Shareholders/Members can also download NSDL Mobile App "**NSDL Speede**" facility by scanning the QR code mentioned below for seamless voting experience. 
Individual Shareholders holding securities in demat mode with CDSL	1. Users who have opted for CDSL Easi / Easiest facility, can login through their existing user id and password. Option will be made available to reach e-Voting page without any further authentication. The users to login Easi /Easiest are requested to visit CDSL website www.cdslindia.com and click on login icon & New System Myeasi Tab and then user your existing my easi username & password.

Type of shareholders	Login Method
	2. After successful login the Easi / Easiest user will be able to see the e-Voting option for eligible companies where the evoting is in progress as per the information provided by company. On clicking the evoting option, the user will be able to see e-Voting page of the e-Voting service provider for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. Additionally, there is also links provided to access the system of all e-Voting Service Providers, so that the user can visit the e-Voting service providers' website directly. 3. If the user is not registered for Easi/Easiest, option to register is available at CDSL website www.cdslindia.com and click on login & New System Myeasi Tab and then click on registration option. 4. Alternatively, the user can directly access e-Voting page by providing Demat Account Number and PAN No. from a e-Voting link available on www.cdslindia.com home page. The system will authenticate the user by sending OTP on registered Mobile & Email as recorded in the Demat Account. After successful authentication, user will be able to see the e-Voting option where the evoting is in progress and also able to directly access the system of all e-Voting Service Providers.
Individual Shareholders (holding securities in demat mode) login through their depository participants	You can also login using the login credentials of your demat account through your Depository Participant registered with NSDL/CDSL for e-Voting facility. upon logging in, you will be able to see e-Voting option. Click on e-Voting option, you will be redirected to NSDL/CDSL Depository site after successful authentication, wherein you can see e-Voting feature. Click on company name or e-Voting service provider i.e. NSDL and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting.

Important note: Members who are unable to retrieve User ID/ Password are advised to use Forget User ID and Forget Password option available at abovementioned website.

Helpdesk for Individual Shareholders holding securities in demat mode for any technical issues related to login through Depository i.e. NSDL and CDSL.

Login type	Help desk details
Individual Shareholders holding securities in demat mode with NSDL	Members facing any technical issue in login can contact NSDL helpdesk by sending a request at evoting@nsdl.com or call at 022 - 4886 7000
Individual Shareholders holding securities in demat mode with CDSL	Members facing any technical issue in login can contact CDSL helpdesk by sending a request at helpdesk.evoting@cdslindia.com or contact at toll free no. 1800-21-09911

B) Login Method for e-Voting and joining virtual meeting for shareholders other than Individual shareholders holding securities in demat mode and shareholders holding securities in physical mode.

How to Log-in to NSDL e-Voting website?

1. Visit the e-Voting website of NSDL. Open web browser by typing the following URL: https://www.evoting.nsdl.com/ either on a Personal Computer or on a mobile.
2. Once the home page of e-Voting system is launched, click on the icon "Login" which is available under 'Shareholder/Member' section.
3. A new screen will open. You will have to enter your User ID, your Password/OTP and a Verification Code as shown on the screen.

   Alternatively, if you are registered for NSDL eservices i.e. IDEAS, you can log-in at https://eservices.nsdl.com/ with your existing IDEAS login. Once you log-in to NSDL eservices after using your log-in credentials, click on e-Voting and you can proceed to Step 2 i.e. Cast your vote electronically.
4. Your User ID details are given below :

Manner of holding shares i.e. Demat (NSDL or CDSL) or Physical	Your User ID is:
a) For Members who hold shares in demat account with NSDL.	8 Character DP ID followed by 8 Digit Client ID For example if your DP ID is IN300*** and Client ID is 12****** then your user ID is IN300***12******.
b) For Members who hold shares in demat account with CDSL.	16 Digit Beneficiary ID For example if your Beneficiary ID is12********** then your user ID is 12**********
c) For Members holding shares in Physical Form.	EVEN Number followed by Folio Number registered with the company For example if folio number is 001*** and EVEN is 101456 then user ID is 101456001***

5. Password details for shareholders other than Individual shareholders are given below:

   a) If you are already registered for e-Voting, then you can user your existing password to login and cast your vote.

   b) If you are using NSDL e-Voting system for the first time, you will need to retrieve the 'initial password' which was communicated to you. Once you retrieve your 'initial password', you need to enter the 'initial password' and the system will force you to change your password.

   c) How to retrieve your 'initial password'?

      (i) If your email ID is registered in your demat account or with the company, your 'initial password' is communicated to you on your email ID. Trace the email sent to you from NSDL from your mailbox. Open the email and open the attachment i.e. a .pdf file. Open the .pdf file. The password to open the .pdf file is your 8 digit client ID for NSDL account, last 8 digits of client ID for CDSL account or folio number for shares held in physical form. The .pdf file contains your 'User ID' and your 'initial password'.

      (ii) If your email ID is not registered, please follow steps mentioned below in **process for those shareholders whose email ids are not registered.**

6. If you are unable to retrieve or have not received the "Initial password" or have forgotten your password:

   a) Click on "**Forgot User Details/Password?**" (If you are holding shares in your demat account with NSDL or CDSL) option available on www.evoting.nsdl.com.

   b) "**Physical User Reset Password?**" (If you are holding shares in physical mode) option available on www.evoting.nsdl.com.

   c) If you are still unable to get the password by aforesaid two options, you can send a request at **evoting@nsdl.com** mentioning your demat account number/folio number, your PAN, your name and your registered address etc.

   d) Members can also use the OTP (One Time Password) based login for casting the votes on the e-Voting system of NSDL.

7. After entering your password, tick on Agree to "Terms and Conditions" by selecting on the check box.

8. Now, you will have to click on "Login" button.

9. After you click on the "Login" button, Home page of e-Voting will open.

Step 2: Cast your vote electronically and join General Meeting on NSDL e-Voting system.

How to cast your vote electronically and join General Meeting on NSDL e-Voting system?

1. After successful login at Step 1, you will be able to see all the companies "EVEN" in which you are holding shares and whose voting cycle and General Meeting is in active status.

2. Select "EVEN" of company for which you wish to cast your vote during the remote e-Voting period and casting your vote during the General Meeting. For joining virtual meeting, you need to click on "VC/OAVM" link placed under "Join Meeting".
3. Now you are ready for e-Voting as the Voting page opens.
4. Cast your vote by selecting appropriate options i.e. assent or dissent, verify/modify the number of shares for which you wish to cast your vote and click on "Submit" and also "Confirm" when prompted.
5. Upon confirmation, the message "Vote cast successfully" will be displayed.
6. You can also take the printout of the votes cast by you by clicking on the print option on the confirmation page.
7. Once you confirm your vote on the resolution, you will not be allowed to modify your vote.

General Guidelines for shareholders

1. Institutional shareholders (i.e. other than individuals, HUF, NRI etc.) are required to send scanned copy (PDF/JPG Format) of the relevant Board Resolution/ Authority letter etc. with attested specimen signature of the duly authorized signatory(ies) who are authorized to vote, to the Scrutinizer by e-mail to acsramkumar@gmail.com with a copy marked to evoting@nsdl.com. Institutional shareholders (i.e. other than individuals, HUF, NRI etc.) can also upload their Board Resolution / Power of Attorney / Authority Letter etc. by clicking on "Upload Board Resolution / Authority Letter" displayed under "e-Voting" tab in their login.
2. It is strongly recommended not to share your password with any other person and take utmost care to keep your password confidential. Login to the e-voting website will be disabled upon five unsuccessful attempts to key in the correct password. In such an event, you will need to go through the "Forgot User Details/Password?" or "Physical User Reset Password?" option available on www.evoting.nsdl.com to reset the password.
3. In case of any queries, you may refer the Frequently Asked Questions (FAQs) for Shareholders and e-voting user manual for Shareholders available at the download section of www.evoting.nsdl.com or call on.: 022 - 4886 7000 or send a request to Ms.Prajaktu Pawle, Executive at evoting@nsdl.com

Process for those shareholders whose email ids are not registered with the depositories for procuring user id and password and registration of e mail ids for e-voting for the resolutions set out in this notice:

1. In case shares are held in physical mode please provide Folio No., Name of shareholder, scanned copy of the share certificate (front and back), PAN (self attested scanned copy of PAN card), AADHAR (self attested scanned copy of Aadhar Card) by email to shares@skmegg.com
2. In case shares are held in demat mode, please provide DPID-CLID (16 digit DPID + CLID or 16 digit beneficiary ID), Name, client master or copy of Consolidated Account statement, PAN (self attested scanned copy of PAN card), AADHAR (self attested scanned copy of Aadhar Card) to shares@skmegg.com. If you are an Individual shareholders holding securities in demat mode, you are requested to refer to the login method explained at **step 1 (A)** i.e. **Login method for e-Voting and joining virtual meeting for Individual shareholders holding securities in demat mode**.

3. Alternatively shareholder/members may send a request to evoting@nsdl.com for procuring user id and password for e-voting by providing above mentioned documents.
4. In terms of SEBI circular dated December 9, 2020 on e-Voting facility provided by Listed Companies, Individual shareholders holding securities in demat mode are allowed to vote through their demat account maintained with Depositories and Depository Participants. Shareholders are required to update their mobile number and email ID correctly in their demat account in order to access e-Voting facility.

THE INSTRUCTIONS FOR MEMBERS FOR e-VOTING ON THE DAY OF THE AGM ARE AS UNDER:-

1. The procedure for e-Voting on the day of the AGM is same as the instructions mentioned above for remote e-voting.
2. Only those Members/ shareholders, who will be present in the AGM through VC/OAVM facility and have not casted their vote on the Resolutions through remote e-Voting and are otherwise not barred from doing so, shall be eligible to vote through e-Voting system in the AGM.
3. Members who have voted through Remote e-Voting will be eligible to attend the AGM. However, they will not be eligible to vote at the AGM.
4. The details of the person who may be contacted for any grievances connected with the facility for e-Voting on the day of the AGM shall be the same person mentioned for Remote e-voting.

INSTRUCTIONS FOR MEMBERS FOR ATTENDING THE AGM THROUGH VC/OAVM ARE AS UNDER:

1. Member will be provided with a facility to attend the AGM through VC/OAVM through the NSDL e-Voting system. Members may access by following the steps mentioned above for **Access to NSDL e-Voting system**. After successful login, you can see link of "VC/OAVM" placed under **"Join meeting"** menu against company name. You are requested to click on VC/OAVM link placed under Join Meeting menu. The link for VC/OAVM will be available in Shareholder/Member login where the EVEN of Company will be displayed. Please note that the members who do not have the User ID and Password for e-Voting or have forgotten the User ID and Password may retrieve the same by following the remote e-Voting instructions mentioned in the notice to avoid last minute rush.
2. Members are encouraged to join the Meeting through Laptops for better experience.
3. Further Members will be required to allow Camera and use Internet with a good speed to avoid any disturbance during the meeting.
4. Please note that Participants Connecting from Mobile Devices or Tablets or through Laptop connecting via Mobile Hotspot may experience Audio/Video loss due to Fluctuation in their respective network. It is therefore recommended to use Stable Wi-Fi or LAN Connection to mitigate any kind of aforesaid glitches.
5. Shareholders who would like to express their views/have questions may send their questions in advance mentioning their name demat account number/folio number, email id, mobile number at shares@skmegg.com. The same will be replied by the company suitably.
6. Registration of Speaker can be done through email to shares@skmegg.com in 5 days advance before the AGM date.

BOARD REPORT

To

The Members,

Your Directors are pleased to present the Thirty-First (31st) Annual Report of the Company together with the Audited Standalone and Consolidated Financial Statements for the financial year ended 31st March 2026.

This Board's Report has been prepared in compliance with the applicable provisions of the Companies Act, 2013, read with the rules made thereunder, as amended from time to time, and the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("SEBI Listing Regulations").

The Report highlights the Company's financial performance, key business developments, corporate governance initiatives, and other material matters pertaining to the financial year ended 31st March 2026 in respect of SKM Egg Products Export (India) Limited.

1. FINANCIAL HIGHLIGHTS & STATE OF AFFAIRS:

STANDALONE

(Rs. in Lacs)

Particular	Year Ended 31.03.2026	Year Ended 31.03.2025
Operating Income	76,679.85	49,336.42
Other Income	1,910.48	1,403.80
Total Income	78,590.33	50,740.22
Earnings before Interest, Taxes, Depreciation and Amortization	18,976.83	9271.95
Less: Financial Cost	1,472.85	1,122.91
Less: Depreciation & Amortization	3,922.84	3,455.31
Profit Before tax	13,581.14	4,693.73
Less: Tax Expenses		
Current	3,191.40	1034.81
Deferred Tax	159.02	147.21
Profit /(Loss) for the period	10,230.72	3,511.71
Other Comprehensive Income (net of Tax)	(137.17)	(212.60)
Profit after Tax and available for appropriation	10,093.55	3,299.12
APPROPRIATIONS		
Dividend Paid	394.95	658.25
Surplus carried to Balance Sheet	9,698.60	2,640.87

CONSOLIDATED **(Rs. in Lacs)**

Particular	Year Ended 31.03.2026	Year Ended 31.03.2025
Operating Income	76,799.52	49,782.94
Other Income	1,910.48	1,403.80
Total Income	78,710.00	51,186.74
Earnings before Interest, Taxes, Depreciation and Amortization	19,067.42	9,265.72
Less: Financial Cost	1,479.91	1,128.29
Less: Depreciation & Amortization	3,923.59	3,455.68
Add: Share of Profit/(Loss) of Associates	74.76	(40.19)
Profit Before tax	13,738.68	4,641.56
Less: Tax Expenses		
Current	3,192.22	1034.81
Deferred Tax	159.02	147.21
Profit /(Loss) for the period	10,387.45	3459.55
Less: Net Profit attributable to Non-controlling Interest	12.29	(1.80)
Other Comprehensive Income (net of Tax)	(761.88)	(184.65)
Profit after Tax and available for appropriation	9,613.27	3276.70
APPROPRIATIONS		
Dividend Paid	394.95	658.25
Surplus carried to Balance Sheet	9,218.32	2,618.45

Standalone Financial Results:

During the Financial Year 2025-26, the Company delivered a strong financial performance, reflecting improved operational efficiencies, favorable market conditions and increased business volumes. The Company's Operating Income increased significantly to Rs.76,679.85 Lakhs as against Rs.49,336.42 Lakhs in the previous financial year, registering a growth of approximately 55.42%.

The Company's Total Income for FY 2025-26 stood at Rs.78,590.33 Lakhs as compared to Rs.50,740.22 Lakhs in FY 2024-25. The Profit Before Tax (PBT) increased to Rs.13,581.14 Lakhs from Rs.4,693.73 Lakhs in the previous year, reflecting a substantial improvement in profitability. Consequently, the Profit After Tax (PAT) rose to Rs.10,093.55 Lakhs as against Rs.3,299.12 Lakhs in FY 2024-25

Consolidated Financial Results:

During the Financial Year 2025-26, the Company recorded a strong growth in its consolidated financial performance driven by improved business volumes, enhanced operational efficiency and better realization from its products. The Company's Operating Income increased significantly to Rs.76,799.52 Lakhs as compared to Rs.49,782.94 Lakhs in the previous financial year, registering a growth of approximately 54.27%.

The Company's Total Income stood at Rs.78,710.00 Lakhs during FY 2025-26 as against Rs.51,186.74 Lakhs in FY 2024-25. The EBITDA increased substantially to Rs.19,067.42 Lakhs from Rs.9,265.72 Lakhs in the previous year, reflecting improved operational performance and effective cost management. The Company's Profit Before Tax (PBT) increased to Rs.13,738.68 Lakhs as compared to Rs.4,641.56 Lakhs in FY 2024-25.

After providing for current and deferred taxes, the Profit for the Year stood at Rs.10,387.45 Lakhs as against Rs.3,459.55 Lakhs in the previous year. After considering the share attributable to non-controlling interests and other comprehensive income, the Profit After Tax and available for Appropriation amounted to Rs.9,613.27 Lakhs, compared to Rs.3,276.70 Lakhs in FY 2024-25.

2. DIVIDEND:

For the FY 2025-26, the Company recommended a final dividend of Rs 1.25 (One rupee twenty five paise only) on equity shares of Rs 5/- each with the total outlay of Rs 658.25 Lakhs.

The dividend, subject to the approval of the shareholders at the ensuing Annual General Meeting, will be paid to the members whose names appear in the Register of Members/beneficial owners as on the record date fixed for the purpose.

Pursuant to the provisions of the Income-tax Act, 1961, as amended by the Finance Act,2020, dividends paid or distributed by the Company are taxable in the hands of the shareholders. Accordingly, the Company shall deduct Tax Deducted at Source (TDS) at the applicable rates while making payment of dividend to eligible shareholders, in accordance with the provisions of the Income-tax Act, 1961 and the rules made thereunder.

3. TRANSFER TO RESERVE:

We do not propose to transfer any amount to the general reserve on declaration of dividend.

4. TRANSFER OF UNCLAIMED DIVIDEND AND SHARES TO THE INVESTOR EDUCATION AND PROTECTION FUND (IEPF):

Pursuant to the provisions of Sections 124 and 125 of the Companies Act, 2013 and the Investor Education and Protection Fund (Accounting, Audit, Transfer and Refund) Rules, 2016 ("IEPF Rules"),any dividend remaining unpaid or unclaimed for a period of seven consecutive years from the date of its transfer to the Unpaid Dividend Account is required to be transferred by the Company to the Investor Education and Protection Fund ("IEPF"). Accordingly, the unpaid/unclaimed dividend pertaining to the Financial Year 2017-18, along with the corresponding shares on which such dividend has remained unclaimed for seven consecutive years, is in the process of being transferred to the IEPF in compliance with the applicable provisions of the Act and the IEPF Rules.

5. SHARE CAPITAL:

During the year under review, the Company sub-divided (split) its equity shares having a face valueof Rs.10/- (Rupees Ten only) each into equity shares having a face value of Rs.5/- (Rupees Five only)each, pursuant to the approval of the shareholders and in compliance with the applicable provisions of the Companies Act, 2013. The Record Date fixed for the purpose of the sub-division of equity shares was 12 January 2026. Consequently, each equity share of Rs.10/- fully paid-up was sub-divided into two equity shares of Rs.5/- each fully paid-up.

Accordingly, the paid-up share capital of the Company as on 31 March 2026 stood at Rs.26,33,00,000 divided into 5,26,60,000 equity shares of Rs.5/- each fully paid-up. The sub-division of equity shares did not result in any change in the aggregate paid-up share capital of the Company.

Save as aforesaid, there were no changes in the issued, subscribed and paid-up share capital of the Company during the year under review. The Company has not issued any sweat equity shares to its directors or employees and has not undertaken any buy-back of shares during the year under review.

6. NUMBER OF MEETINGS OF THE BOARD OF DIRECTORS:

During the Financial Year 2025-26, Seven meetings of the Board of Directors were held. The details of the Board Meetings, including the dates of the meetings and attendance of Directors, are provided in the Corporate Governance Report forming part of this Annual Report.

7. BOARD COMMITTEES:

The particulars relating to the Committees of the Board, including their composition, scope of functions, terms of reference, and details of meetings held during the year, are provided in the Corporate Governance Report forming an integral part of this Annual Report and annexed hereto as **Appendix 1**.

8. CORPORATE GOVERNANCE:

Pursuant to Regulation 34(3) read with Schedule V of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, a separate Report on Corporate Governance, together with the Certificate from the Statutory Auditors confirming compliance with the conditions of Corporate Governance, forms an integral part of this Annual Report and is annexed hereto as **Appendix 1.**

9. MATERIAL CHANGES AND COMMITMENTS BETWEEN THE END OF FINANCIAL YEAR UNDER REVIEW AND THE DATE OF THE REPORT:

Except as disclosed below and elsewhere in this Annual Report, there have been no material changes or commitments affecting the financial position of the Company that have occurred between 31st March 2026, being the end of the financial year under review, and the date of this Report.

Subsequent to the close of the financial year, the Company acquired the remaining equity stake in SKM Universal Marketing Company (India) Private Limited. Consequently, with effect from 21st July, 2026 the said company ceased to be an Associate Company and became a Wholly Owned Subsidiary of the Company.

10. REPORT ON THE PERFORMANCE AND FINANCIAL POSITION OF SUBSIDIARY INCLUDED IN THE CONSOLIDATED FINANCIAL STATEMENTS:

The Company has one foreign Subsidiary, namely, SKM Europe B.V..

During the Financial Year 2025-26, the said subsidiary recorded a turnover of Rs.2,995.44 lakhs and earned a profit of Rs.81.97 lakhs.

Pursuant to Section 129(3) of the Companies Act, 2013 read with Rule 5 of the Companies(Accounts) Rules, 2014, a statement containing the salient features of the financial statements of the Company's subsidiary in Form AOC-1 forms part of this Annual Report and is annexed here to as **Appendix 2**.

11. DEMATERIALISATION OF SHARES:

The equity shares of the Company are compulsorily traded in dematerialised form on the National Stock Exchange of India Limited (NSE) and BSE Limited (BSE). The International Securities Identification Number (ISIN) allotted to the Company's equity shares is INE411D01023.

During the year under review, the Company sub-divided its equity shares from a face value of Rs.10/- each to Rs.5/- each, with 12 January 2026 fixed as the Record Date for the purpose of the sub-division. Pursuant to the applicable SEBI circulars and depository procedures, the entitlement arising out of the stock split in respect of shareholders holding shares in physical form was credited to a Stock Split Escrow Demat Account. Upon receipt of valid demat account details from the concerned shareholders, the shares were transferred from the Stock Split Escrow Demat Account to their respective demat accounts.

Accordingly, as on 31 March 2026, the entire paid-up equity share capital of the Company was held in dematerialised form and there were no shares held in physical form.

The Company's Registrar and Share Transfer Agent is **MUFG Intime India PrivateLimited**, having its branch office at **"Surya", 35, Mayflower Avenue**, Behind **Senthil Nagar,Sowripalayam Road, Coimbatore – 641028, Tamil Nadu**

12. MANAGEMENT DISCUSSION & ANALYSIS REPORT:

Pursuant to Regulation 34(2)(e) read with Schedule V of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, a detailed review of the industry structure and developments, business performance, opportunities and threats, risks and concerns, internal control systems, financial performance, and outlook of the

Company is presented in the Management Discussion and Analysis Report, which forms an integral part of this Annual Report and is annexed hereto as **Appendix 3**.

13. CORPORATE SOCIAL RESPONSIBILITY ('CSR'):

In compliance with the provisions of Section 135 of the Companies Act, 2013 ("the Act"), the Company has constituted a Corporate Social Responsibility (CSR) Committee of the Board and formulated a Corporate Social Responsibility Policy ("CSR Policy"), which is available on the Company's website at www.skmegg.com

The Annual Report on Corporate Social Responsibility activities undertaken by the Company during the Financial Year 2025-26, as required under Section 135 of the Act read with the Companies (Corporate Social Responsibility Policy) Rules, 2014, forms an integral part of this Report and is annexed hereto as **Appendix 4**.

14. VIGIL MECHANISM / WHISTLE BLOWER POLICY

Pursuant to the applicable provisions of the Companies Act, 2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Company has established a Vigil Mechanism / Whistle Blower Policy to provide a formal avenue for directors, employees and other stakeholders to report genuine concerns regarding unethical behaviour, actual or suspected fraud, violation of the Company's Code of Conduct, or any other improper practices.

The Vigil Mechanism enables stakeholders to communicate their concerns directly to the Management and the Audit Committee in a confidential and transparent manner without fear of retaliation. The Company is committed to maintaining the highest standards of ethical, moral and legal conduct in its business operations.

The Board hereby affirms that during the financial year under review, no director, employee or other stakeholder was denied access to the Audit Committee.

The Vigil Mechanism / Whistle Blower Policy is available on the Company's website at www.skmegg.com

15. RELATED PARTY TRANSACTIONS:

The Board has adopted a Policy on Related Party Transactions in accordance with the provisions of Section 188 of the Companies Act, 2013 and the applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

During the financial year under review, all contracts, arrangements and transactions entered into by the Company with related parties were in the ordinary course of business and on an arm's length basis. All Related Party Transactions are placed before the Audit Committee for prior approval in accordance with the requirements of the Companies Act, 2013 and the Listing Regulations. Further, a statement containing details of all Related Party Transactions is placed before the Audit Committee on a quarterly basis for its review.

During the year, the Company did not enter into any materially significant Related Party Transactions that could have had a potential conflict with the interests of the Company. There were no transactions with related parties that were not at arm's length or material in nature.

The Policy on Materiality of Related Party Transactions and dealing with Related Party Transactions, as approved by the Audit Committee and the Board of Directors, is available on the Company's website at www.skmegg.com.

The particulars of contracts or arrangements entered into with related parties as required under Section 188(1) of the Companies Act, 2013 and the Listing Regulations are provided in **Appendix 5** forming part of this Report.

16. BUSINESS RISK MANAGEMENT:

The Risk Management policy has been placed on the website of the Company and the web link thereto is www.skmegg.com

17. INTERNAL FINANCIAL SYSTEM AND THEIR ADEQUACY:

The Company has established adequate internal financial controls commensurate with the size, scale and complexity of its operations. These controls are designed to ensure the orderly and efficient conduct of business, safeguarding of assets, prevention and detection of frauds and errors, accuracy and completeness of accounting records, and timely preparation of reliable financial information.

The Company's internal control systems encompass monitoring of business processes, financial reporting and compliance with applicable laws, regulations and internal policies. The effectiveness of these controls is periodically reviewed to identify control gaps, if any, and to implement appropriate corrective actions within defined time lines to enhance operational efficiency and strengthen the control environment.

The Audit Committee of the Board regularly reviews the adequacy and effectiveness of the internal control systems, significant risk areas, observations and recommendations of the Internal Auditors, and the status of implementation of corrective actions. The Committee also reviews the reports of the Statutory Auditors, significant accounting policies, key audit matters and critical financial reporting processes.

Based on the evaluation carried out during the financial year under review, the Board is of the opinion that the Company has adequate Internal Financial Controls with reference to the financial statements and that such controls were operating effectively.

The Statutory Auditors have provided a report on the adequacy and operating effectiveness of the Internal Financial Controls over Financial Reporting pursuant to Section 143(3)(I) of the Companies Act, 2013, which forms part of the Auditors'Report.

18. CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION, FOREIGN EXCHANGE EARNINGS AND OUTGO:

Information as per Section 134 of the Companies Act, 2013 read with Rule 8 of the Companies (Accounts) Rules, 2014 relating to conservation of energy, technology absorption, foreign exchange earnings and outgo is given in **Appendix 6**

19. ANNUAL RETURN:

Pursuant to the provisions of Section 92(3) and Section 134(3)(a) of the Companies Act,2013 read with Rule 12 of the Companies (Management and Administration) Rules, 2014, as amended from time to time, the Annual Return of the Company as on March 31, 2026 is available on the Company's website and can be accessed at www.skmegg.com.

20. BOARD EVALUATION:

Pursuant to the provisions of the Companies Act, 2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Board of Directors has carried out an annual evaluation of its own performance, the performance of its Committees and that of the individual Directors.

The evaluation of the Board was conducted after seeking inputs from all Directors on various aspects, including the

composition and structure of the Board, effectiveness of Board processes, quality and timeliness of information flow, strategic guidance, governance standards and overall functioning of the Board.

The performance of the Board Committees was evaluated by the Board after considering inputs from the respective Committee members. The evaluation covered, inter alia, the composition of the Committees, effectiveness of meetings, discharge of responsibilities and contribution towards the achievement of the Company's objectives. The evaluation criteria were broadly based on the Guidance Note on Board Evaluation issued by the Securities and Exchange Board of India (SEBI).

In a separate meeting of the Independent Directors, the performance of the Non-Independent Directors, the Chairperson of the Company and the Board as a whole was evaluated, taking into account the views of the Executive Directors and Non-Executive Directors.

The Nomination and Remuneration Committee and the Board also reviewed the performance of individual Directors based on various parameters such as participation and contribution in Board and Committee meetings, preparedness, professional expertise, strategic inputs, governance oversight and value addition to the deliberations and decision-making process.

The performance evaluation of the Independent Directors was carried out by the entire Board of Directors, excluding the Director being evaluated. The Board is satisfied with the overall effectiveness of the Board, its Committees and individual Directors.

21. Policy for Remuneration to Directors:

I) Non-Executive Directors including Independent Directors:

The Nomination and Remuneration Committee (NRC) is entrusted with the responsibility of recommending the remuneration payable to Non-Executive Directors, including Independent Directors, in accordance with the provisions of the Companies Act, 2013, the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and the Company's Remuneration Policy. The remuneration may comprise sitting fees, commission, reimbursement of expenses, or such other permissible payments as may be approved by the Board and shareholders, wherever required.

While determining the remuneration, the NRC considers various factors including the Directors' attendance and participation in Board and Committee meetings, their contribution to strategic decision-making, leadership roles such as Chairmanship or membership of Committees, time devoted to the affairs of the Company, responsibilities undertaken, guidance provided to the management, and the duties and obligations prescribed under Schedule IV of the Companies Act, 2013 and the Listing Regulations. The NRC may also consider such other relevant factors as it deems appropriate to ensure that the remuneration is fair, reasonable, and commensurate with the Directors' roles, responsibilities, and contributions to the Company.

II) Whole Time Director(s) / Executive Director(s) Key Managerial Personnel and other employees

The remuneration payable to the Whole-Time Directors and Executive Directors, including the Managing Director, is determined and recommended by the Nomination and Remuneration Committee (NRC) and approved by the Board of Directors and shareholders, wherever required, in accordance with the provisions of the Companies Act, 2013 and other applicable laws. The remuneration shall be within the limits approved by the shareholders and shall be

commensurate with the individual's qualifications, experience, responsibilities, performance, and contribution to the Company's growth and profitability.

The overall remuneration structure is designed to attract, motivate, and retain competent professionals and is aligned with the Company's long-term objectives and industry practices. The total compensation package for the Key Managerial Personnel (KMPs), as defined under the Companies Act, 2013, and other employees may comprise the following components:

» Fixed Compensation – Basic salary, allowances, and other fixed pay components.

» Variable Compensation – Performance-linked incentives, annual bonuses, and other reward mechanisms based on individual and organizational performance.

» Employee Benefits – Contributions to provident fund, gratuity, superannuation fund, leave encashment, insurance coverage, and other statutory and non-statutory benefits.

» Perquisites and Work-Related Facilities – Company-provided facilities, reimbursements, and other perquisites as may be approved from time to time in accordance with the Company's policies and applicable laws.

The NRC periodically reviews the remuneration structure to ensure that it remains competitive, performance-driven, and aligned with the interests of the Company and its stakeholders.

III) Performance Evaluation by the Board of its own performance and its Committees

The performance of the Board is evaluated by the Board in the overall context of understanding by the Board of the Company's principle and values, philosophy and mission statement, strategic and business plans and demonstrating this through its action on important matters, the effectiveness of the Board and the respective Committees in providing guidance to the Management of the Company and keeping them informed, open communication, the constructive participation of members and prompt decision making, level of attendance in the Board meetings, constructive participation in the discussion on the Agenda items, monitoring cash flow profitability, income & expenses, productivity & other financial indicators, so as to ensure that the Company achieves its planned results, effective discharge of the functions and roles of the Board, etc

22. INDEPENDENT DIRECTOR MEETING:

Pursuant to the provisions of Schedule IV of the Companies Act, 2013, Secretarial Standard on Meetings of the Board of Directors (SS-1), and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, a separate meeting of the Independent Directors was held on 30th March, 2026. During the meeting, the Independent Directors, inter alia, reviewed and evaluated the performance of the Board as a whole, its Committees, the Chairman, and the Non-Independent Directors. They also assessed the quality, quantity, and timeliness of the flow of information between the Management and the Board to ensure that the Board is able to effectively and reasonably perform its duties. Further, the Independent Directors discussed and carried out a self-assessment of their performance and reviewed their training and familiarization requirements to enhance their effectiveness in discharging their roles and responsibilities.

23. DECLARATION BY INDEPENDENT DIRECTOR:

All the Independent Directors of the Company have submitted the requisite declarations confirming that they meet the criteria of independence as prescribed under Section 149(6) of the Companies Act, 2013, as amended, and Regulations 16(1)(b) and 25 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The Board is of the opinion that the Independent Directors possess the requisite integrity, expertise, experience, and proficiency required to discharge their duties and responsibilities effectively. The Independent Directors have further confirmed their compliance with the provisions of Rule 6 of the Companies (Appointment and Qualifications of Directors) Rules,2014, as amended, relating to the registration of their names in the Independent Directors' Databank maintained by the Indian Institute of Corporate Affairs (IICA). They have also confirmed that they are not aware of any circumstances or situation that exist or may reasonably be anticipated that could impair or impact their ability to discharge their duties with an objective and independent judgment and without any external influence.

The Board has taken on record the declarations and confirmations submitted by the Independent Directors and is satisfied that all the Independent Directors continue to fulfil the conditions specified under the Companies Act, 2013 and the Listing Regulations and remain independent of the Management.

24. DEPOSITS:

During the year under review, the Company has not accepted any deposits from the public within the meaning of Sections 73 to 76 of the Companies Act, 2013 read with the Companies (Acceptance of Deposits) Rules, 2014. Accordingly, no amount of principal or interest was outstanding as on 31st March, 2026.

There were no deposits remaining unclaimed or unpaid as at the end of the financial year.

25. POLICY ON PREVENTION OF SEXUAL HARASSMENT:

The Company is committed to providing a work environment that is safe, secure, and free from any form of discrimination, harassment, or intimidation. The Company firmly believes in promoting a culture of mutual respect, dignity, and equal opportunity for all employees, irrespective of gender, sexual orientation, or any other personal characteristic.

In compliance with the provisions of the Sexual Harassment of Women at Workplace(Prevention, Prohibition and Redressal) Act, 2013 ("PoSH Act"), the Company has adopted a Policy on Prevention of Sexual Harassment and has constituted an Internal Committee to address and redress complaints relating to sexual harassment at the workplace. The Company continues to undertake necessary measures to create awareness and ensure a safe and conducive working environment for all employees.

The details relating to complaints received and disposed of during the financial year are as follows:

No. of complaints received during the year – Nil

No. of complaints disposed off during the year – Nil

No. of complaints pending as on end of the year – Nil

The Company affirms that during the year under review, no complaint pertaining to sexual harassment was received under the PoSH Act.

26. MATERNITY BENEFIT

The Company is committed to providing a supportive, inclusive, and equitable workplace for all employees. In compliance with the provisions of the Maternity Benefit Act, 1961, as amended from time to time, the Company extends all statutory maternity benefits to eligible women employees.

During the financial year under review, the Company has duly complied with the applicable provisions of the Act and has provided eligible employees with maternity leave and other benefits as prescribed thereunder. The Company

continues to promote employee well-being by fostering a work environment that supports women employees during maternity and facilitates their smooth transition back to work, in accordance with applicable laws and organizational policies.

27. DIRECTORS & KEY MANAGERIAL PERSONNEL:

During the financial year ended 31 March 2026, there were no changes in the composition of the Board of Directors and Key Managerial Personnel of the Company.

Based on the recommendation of the Nomination and Remuneration Committee, the Board of Directors, at its meeting held on 24 th June 2026, approved, subject to the approval of the Members at the ensuing Annual General Meeting, the appointment of Shri. SKM Maeilanandhan (DIN: 00002380) as Chairman Emeritus of the Company on such terms and conditions as set out in the Notice convening the Annual General Meeting.

The Board of Directors of the Company comprises an optimum combination of Executive, Non-Executive, Independent and Nominee Directors, which is in compliance with the requirements of the Companies Act, 2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

In accordance with the provisions of Section 152 of the Companies Act, 2013 and the Articles of Association of the Company, Smt S Kumutaavalli (DIN: 00002390), Director, retires by rotation at the ensuing Annual General Meeting and, being eligible, offers herself for re-appointment. The Board recommends her re-appointment for the approval of the Members.

The Company has received declarations from all the Independent Directors confirming that they meet the criteria of independence as prescribed under Section 149(6) of the Companies Act, 2013 and Regulation 16(1)(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. In the opinion of the Board, the Independent Directors possess the requisite integrity, expertise, experience and proficiency required to effectively discharge their duties and responsibilities.

Pursuant to the provisions of Section 203 of the Companies Act, 2013, the following officials continued to serve as the Key Managerial Personnel of the Company during the year under review:

i) Shri. SKM.Maeilanandhan, Executive Chairman,

ii) Shri. SKM Shree Shivkumar, Managing Director,

iii) Shri SK Sharath Ram, Executive Director

iv) Shri. K.S. Venkatachalapathy, Chief Financial officer

v) Shri. P. Sekar, Company Secretary and Compliance Officer.

28. DIRECTORS' RESPONSIBILITY STATEMENT:

The Directors' Responsibility Statement referred to in Section 134 (3) (c) of the Companies Act, 2013, shall state that:

(a) in the preparation of the annual accounts, the applicable accounting standards had been followed along with proper explanation relating to material departures;

(b) the directors had selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of the financial year and profit of the Company for that period;

(c) the directors had taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of Companies Act, 2013 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;

(d) the directors had prepared the annual accounts on a going concern basis;

(e) the directors had devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

29. SIGNIFICANT AND MATERIAL ORDERS PASSED BY THE REGULATORS OR COURTS:

There have been no significant and material orders passed by the Regulators, Courts or Tribunals which would impact the going concern status and Company's operations in future.

30. CHANGE IN THE NATURE OF THE BUSINESS, IF ANY:

During the financial year ended 31 March 2026, there was no change in the nature of business of the Company. The Company continued to carry on its existing business activities during the year under review.

31. THE DETAILS OF APPLICATION MADE OR ANY PROCEEDING PENDING UNDER THE INSOLVENCY AND BANKRUPTCY CODE, 2016 (31 OF 2016) DURING THE FINANCIAL YEAR:

During the financial year ended 31 March 2026, no application was made and no proceedings were pending against the Company under the Insolvency and Bankruptcy Code, 2016.

32. THE DETAILS OF DIFFERENCE BETWEEN AMOUNT OF THE VALUATION DONE AT THE TIME OF ONE TIME SETTLEMENT AND THE VALUATION DONE WHILE TAKING LOAN FROM THE BANKS OR FINANCIAL INSTITUTIONS ALONG WITH THE REASONS THEREOF DURING THE FINANCIAL YEAR:

The requirement to disclose the details of the difference between the amount of valuation done at the time of one-time settlement and the valuation done while availing loans from banks or financial institutions, along with the reasons thereof, is not applicable to the Company during the financial year ended 31 March 2026.

33. AUDITORS & AUDITORS REPORT

A) STATUTORY AUDITOR

M/s. N.C. Rajagopal & Co., Chartered Accountants, Erode (Firm Registration No. 003398S),were appointed as the Statutory Auditors of the Company at the 27th Annual General Meeting held on 16 September 2022 for a term of five consecutive years, to hold office from the conclusion of the 27 th Annual General Meeting until the conclusion of the 32 nd Annual General Meeting of the Company.

The Statutory Auditors have confirmed that they continue to satisfy the eligibility criteria and are not disqualified from holding office as Statutory Auditors of the Company in terms of the provisions of the Companies Act, 2013 and the rules made thereunder.

B) SECRETARIAL AUDITORS

Pursuant to the provisions of Section 204 of the Companies Act, 2013 read with the rules made thereunder and Regulation 24A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Members of the Company at the 30th Annual General Meeting held on 03 September 2025, upon the recommendation of the Board of Directors, approved the appointment of Mr. R. Saiprasath, Practising Company Secretary, Coimbatore(Membership

No. F11555; Certificate of Practice No. 16979), as the Secretarial Auditor of the Company for a term of five consecutive financial years commencing from FY 2025-26and ending with FY 2029-30.

The Secretarial Audit Report for the financial year ended 31 March 2026, issued by the Secretarial Auditor pursuant to Section 204 of the Companies Act, 2013 and Regulation 24A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, forms part of this Annual Report as **Appendix 7.**

C) INTERNAL AUDITOR

Pursuant to the provisions of Section 138 of the Companies Act, 2013 and the rules made there under, the Company has appointed M/s. VRBB Associates, Chartered Accountants, Chennai, as the Internal Auditors of the Company.

The Internal Auditors conduct periodic audits of the Company's operations and processes to evaluate the adequacy and effectiveness of the internal control systems and risk management framework. The internal audit reports, together with management responses and corrective actions, are periodically reviewed by the Audit Committee and the Board of Directors.

d) COST AUDITOR

The maintenance of cost records and the requirement of cost audit as specified under Section 148 of the Companies Act, 2013 read with the Companies (Cost Records and Audit) Rules, 2014 are not applicable to the Company and its business activities during the financial year ended 31 March 2026.

34. REPORTING OF FRAUD BY STATUTORY AUDITORS

During the financial year ended 31 March 2026, the Statutory Auditors have not reported any instance of fraud committed in the Company by its officers or employees under Section 143(12) of the Companies Act, 2013.

35. COMMENTS ON AUDITORS' REPORT:

The Statutory Auditors' Report and the Secretarial Audit Report for the financial year ended 31March 2026 do not contain any qualification, reservation, adverse remark or disclaimer. Accordingly, no explanation or comments of the Board are required in this regard. However with reference to the observation made by the Secretarial Auditor the company has taken note of the shares and is in the process of transfering the unpaid / unclaimed dividend percaintaing to the financial year 2017-2018.

36. PARTICULARS OF LOANS/GUARANTEE/INVESTMENTS:

The particulars of investments made by the Company are provided in the notes forming part of the Financial Statements. During the financial year ended 31 March 2026, the Company did not grant any loans or provide any guarantees or securities covered under the provisions of Section 186 of the Companies Act, 2013.

37. PARTICULARS OF EMPLOYEES AND RELATED DISCLOSURES:

Pursuant to the provisions of Section 197(12) of the Companies Act, 2013 read with Rule 5 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014,the prescribed disclosures relating to remuneration and other employee-related particulars are set out in **Appendix – 8**, which forms an integral part of this Annual Report.

The disclosures pursuant to Rule 5(1) of the Companies (Appointment and Remuneration of Managerial Personnel)

Rules, 2014 are provided in **Appendix – 8** forming part of this Report.

38. PROHIBITION OF INSIDER TRADING:

Pursuant to the provisions of the Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015, as amended from time to time ("PIT Regulations"), the Company has adopted a comprehensive **Code of Conduct to Regulate, Monitor and Report Trading by Designated Persons and their Immediate Relatives** ("Code"). The Code is applicable to all Directors, Designated Persons, Connected Persons and their immediate relatives who may have access to unpublished price sensitive information ("UPSI") relating to the Company.

In compliance with the PIT Regulations, the Company has also formulated and implemented a **Code of Practices and Procedures for Fair Disclosure of Unpublished Price Sensitive Information**, with a view to ensuring timely, adequate and uniform dissemination of UPSI to the public.

Mr. P. Sekar, Company Secretary, acts as the Compliance Officer for the administration and monitoring of the aforesaid Codes. The Company has established adequate systems and processes to ensure compliance with the PIT Regulations and the internal codes adopted thereunder.

All Directors, Designated Persons and Senior Management Personnel have affirmed compliance with the applicable codes and policies of the Company during the year under review. The Company has also complied with the applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The aforesaid Codes are available on the Company's website at www.skmegg.com.

39. SECRETARIAL STANDARDS

The Company has complied with the applicable Secretarial Standards issued by the Institute of Company Secretaries of India (ICSI), namely Secretarial Standard–1 (SS-1) on Meetings of the Board of Directors and Secretarial Standard–2 (SS-2) on General Meetings, as mandated under Section 118(10) of the Companies Act, 2013.

The Company continues to adhere to the principles and procedures prescribed under the aforesaid Secretarial Standards in conducting its Board and General Meetings, thereby ensuring robust corporate governance and compliance with statutory requirements.

40. CEO/CFO CERTIFICATION:

Pursuant to Regulation 17(8) read with Part B of Schedule II of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the certificate issued by Shri SKM Shree Shivkumar, Managing Director (CEO) and Mr. K. S. Venkatachalapathy, Chief Financial Officer (CFO), confirming the accuracy of the financial statements and the adequacy and effectiveness of internal controls and financial reporting systems, was placed before the Board of Directors at its meeting held on 22nd May 2026.

The said certificate forms part of this Annual Report and is annexed as **Appendix – 9.**

41. INDUSTRIAL RELATIONS:

The industrial relations between the Management and employees remained cordial, harmonious and constructive throughout the year under review. The Company continued to maintain a positive work environment through effective communication, employee engagement and a collaborative approach towards addressing workplace matters.

The Board places on record its appreciation for the commitment, dedication and contribution of all employees, whose continued support has been instrumental in the Company's performance and growth. The Company remains committed to fostering a culture of mutual trust, respect, teamwork and employee well-being.

42. STATEMENT REGARDING OPINION OF THE BOARD WITH REGARD TO INTEGRITY, EXPERTISE AND EXPERIENCE (INCLUDING THE PROFICIENCY) OF THE INDEPENDENT DIRECTORS APPOINTED DURING THE YEAR:

In the opinion of the Board, the Independent Directors of the Company possess the requisite integrity, expertise, experience and proficiency as required under the provisions of the Companies Act, 2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. The Independent Directors are persons of high repute and bring with them rich and diverse experience across various fields, including business management, finance, governance, strategy, industry, law and administration.

The Board is of the view that the Independent Directors fulfil the conditions of independence specified under the Companies Act, 2013 and the SEBI Listing Regulations and are independent of the management. Their extensive knowledge, professional expertise, leadership qualities and objective judgement contribute significantly to the deliberations and decision-making processes of the Board and its Committees.

The Board is satisfied that the composition of the Board reflects an appropriate balance of skills, experience, expertise, financial acumen and professional competence, enabling it to effectively discharge its governance and oversight responsibilities in the best interests of the Company and its stakeholders.

43. FAMILIARISATION PROGRAMME FOR INDEPENDENT DIRECTORS:

In compliance with the requirements of the Companies Act, 2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Company has established a structured Familiarisation Programme for its Independent Directors to enable them to understand the Company's business, industry, operations, regulatory environment and governance practices.

Upon appointment, all Directors, including Independent Directors, are provided with a comprehensive induction and orientation programme. As part of the familiarisation process, the Directors are encouraged to visit the Company's manufacturing facilities and other operational locations and interact with members of the senior management team to gain insights into the Company's business operations and processes.

The senior management periodically makes presentations to the Board and its Committees covering, inter alia, the Company's business model, strategy, operations, products, markets, financial performance, industry developments, risk management framework, internal control systems, regulatory updates, group structure and governance practices. These interactions facilitate a deeper understanding of the Company's business environment and enable the Independent Directors to effectively discharge their duties and responsibilities.

44. CREDIT RATING:

During the year under review, the credit ratings assigned by CARE Ratings Limited to the Company's banking facilities were reaffirmed, reflecting the Company's stable financial position and credit profile. The details of the ratings are provided below:

Facilities/Instruments	Rating	Rating Action
Long term Bank Facilities	CARE A-; Stable	Re-affirmed
Long Term /Short term Bank Facilities	CARE A-; Stable / CARE A2+	Re-affirmed
Short-term Bank Facilities	CARE A2+	Re-affirmed

45. GREEN INITIATIVE:

In line with the Ministry of Corporate Affairs' ("MCA") Green Initiative and as part of its commitment towards environmental sustainability, the Company supports the electronic dissemination of Annual Reports, Notices and other shareholder communications to Members through their registered email addresses.

The Company encourages all shareholders to register and update their email addresses to enable prompt and efficient electronic communication and to contribute towards a greener environment by reducing paper consumption.

Shareholders holding shares in dematerialized form are requested to register/update their email addresses with their respective Depository Participants ("DPs"). Shareholders holding shares in physical form may register/update their email addresses with the Company's Registrar and Share Transfer Agent ("RTA") by submitting a duly signed request mentioning their Folio Number and other requisite details.

The Company appreciates and solicits the continued support of its shareholders in promoting this environmentally responsible initiative.

46. CAUTIONERY STATEMENT:

Statements contained in this Annual Report, including those in the Directors' Report and the Management Discussion and Analysis Report, describing the Company's objectives, expectations, estimates, projections or forecasts may constitute "forward-looking statements" within the meaning of applicable laws and regulations. Actual results may differ materially from those expressed or implied in such statements due to various risks, uncertainties and other factors beyond the Company's control.

Important factors that could influence the Company's operations and performance include, among others, changes in market demand and supply conditions, fluctuations in input costs, changes in government policies and regulations, tax laws, economic conditions, industry developments, foreign exchange fluctuations and other incidental factors.

The Company undertakes no obligation to publicly update, amend or revise any forward-looking statements, whether as a result of new information, future events or otherwise, except as required under applicable laws and regulations.

47. ACKNOWLEDGEMENT:

The Board of Directors places on record its sincere gratitude to the Company's shareholders, customers, bankers, financial institutions, vendors, business associates and all other stakeholders for their continued trust, support and cooperation extended to the Company during the year under review. The Board looks forward to their continued encouragement and support in the years ahead.

The Directors also express their deep appreciation to all employees of the Company for their dedication, commitment, professionalism and valuable contributions. Their unwavering efforts and collective commitment have played a significant role in the Company's performance and achievements during the year.

For and on behalf of the Board of Directors
Sd/-
SKM Shree Shivkumar
Chairman cum Managing Director
DIN:00002384

Place: Erode
Date: 29.07.2026

APPENDIX - 1

CORPORATE GOVERNANCE REPORT

The Directors are pleased to present the Corporate Governance Report of the Company for the financial year ended 31st March, 2026, in compliance with Regulation 34 read with Schedule V of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements)Regulations, 2015 ("SEBI Listing Regulations").

1. COMPANY'S PHILOSOPHY

Your Company remains committed to upholding the highest standards of corporate governance and business ethics. The Company conducts its affairs with integrity, fairness, transparency and accountability, while ensuring full compliance with all applicable laws, regulations and internal policies. This commitment reflects the Company's continuous endeavour to enhance and protect long-term stakeholder value.

The Company has established robust governance frameworks and internal control mechanisms founded on ethical conduct, regulatory compliance and professional excellence. It maintains transparency in its accounting practices, policy formulation and implementation processes and reinforces responsibility and accountability through periodic reviews and audits of its policies, systems and procedures.

Your Company fully complies with the corporate governance requirements prescribed under the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements)Regulations, 2015 ("SEBI Listing Regulations"). The Company is committed to providing timely, accurate and comprehensive disclosures relating to its financial position, operational performance, ownership and governance practices to the Stock Exchanges, shareholders and other stakeholders. It follows prescribed accounting and disclosure standards and disseminates both financial and non-financial information in a transparent, timely and cost-effective manner, thereby ensuring equitable access to information and fostering investor confidence.

2. BOARD OF DIRECTORS

A) Composition of the Board

The Board of Directors provides strategic direction and oversight of the Company's affairs and is committed to upholding the highest standards of corporate governance, integrity and ethical business practices. The Board comprises experienced professionals possessing diverse skills, expertise and industry knowledge, enabling effective decision-making and sustainable value creation for stakeholders.

To facilitate informed deliberations, all relevant information is circulated to the Directors well in advance of the Board and Committee Meetings.

The composition of the Board is in compliance with the provisions of the Companies Act, 2013 and the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements)Regulations, 2015 ("SEBI Listing Regulations"). As on 31st March, 2026, the Board comprised the following Directors:

Category of Director	No of Director
Executive Directors	3
Non-Independent Directors & Non-Executive Directors (including woman Director)	1
Independent Directors	5
Nominee Director-TIDCO	1
Total Strength	10

The Board of Directors acts as a trustee of the shareholders and provides strategic direction and oversight of the Company's affairs with the objective of protecting and enhancing long-term shareholder value. The Board also ensures that the Company effectively addresses the expectations of its stakeholders and discharges its responsibilities towards society.

B) Meetings and attendance

During the financial year 2025–26, seven Board Meetings were held on **30th May, 2025, 23rd June,2025, 30th July, 2025, 29th October, 2025, 15th December, 2025, 28th January, 2026** and **25thMarch, 2026**. The details of the composition of the Board, attendance of Directors at the Board Meetings and the last Annual General Meeting, and particulars of other directorships and committee positions held by them are set out below.

Name of the Director	Category	Attendance		No of other Directorships held in Public Companies	No. of Membership (M)/ Chairmanship (C) in other Board Committee(s)		No. of shares held in the company as on 31.03.2026
		BM	AGM		Member	Chairman	
Shri SKM Maeilanandhan	Promoter, Executive Director	7	Yes	NIL	NIL	NIL	NIL
Shri SKM Shree Shivkumar	Promoter, Executive Director	7	Yes	NIL	NIL	NIL	2,39,92,278
Shri SK Sharath Ram	Promoter, Executive Director	7	Yes	NIL	NIL	NIL	22,60,000
Smt S Kumutaavalli	Promoter, Non-Executive Director	6	Yes	NIL	NIL	NIL	20,010
Shri GN Jayaram	Non-Executive Independent Director	7	Yes	NIL	2	1	NIL
Shri TN Thirukumar	Non-Executive Independent Director	3	No	3	2	1	NIL

Name of the Director	Category	Attendance		No of other Directorships held in Public Companies	No. of Membership (M)/ Chairmanship (C) in other Board Committee(s)		No. of shares held in the company as on 31.03.2026
		BM	AGM		Member	Chairman	
Shri K Vivekanandan Nominee Director(TIDCO)	Non-Executive (Nominee Director-TIDCO)	2	Yes	NIL	NIL	NIL	39,91,600 (TIDCO)
Shri RR Sathiya murthy	Non-Executive Independent Director	7	No	NIL	1	NIL	NIL
Dr Vikram Ramakrishnan	Non-Executive Independent Director	3	No	1	NIL	NIL	14,500
Shri K Ahamed Sheik Mohideen	Non-Executive Independent Director	5	Yes	NIL	1	NIL	NIL

Notes

1. Includes Directorships of all public limited companies whether listed or not and excludes private limited companies, foreign companies and Section 8 companies excluding SKM Egg Products Export (India) Limited are shown.

2. In accordance with the provisions of the SEBI LODR Regulations, 2015, memberships/chairpersonships of only Audit Committee and Stakeholders' Relationship Committee in all public limited companies including SKM Egg Products Exports Limited are shown

3. None of the Directors of the Company hold Directorship in more than ten public companies and none of Independent Directors are serving as Independent Directors in more than seven listed companies.

4. Necessary disclosures regarding Committee positions in other Indian public companies as at March 31, 2026 have been made by the Directors.

5. Shri. SKM Shree Shivkumar, Managing Director, Shri SKM Maeilanandhan, Executive Chairman, Shri SK Sharath Ram, Executive Director and Smt.S. Kumutaavalli, Non-Executive Director are related to each other. There is no inter-se relation among other Directors of the Company

INDEPENDENT DIRECTORS

The Company has issued formal letters of appointment to all its Independent Directors in accordance with the provisions of the Companies Act, 2013. The terms and conditions of their appointment are available on the Company's website.

Each Independent Director has submitted a declaration confirming that he/she meets the criteria of independence as prescribed under Section 149(6) of the Companies Act, 2013 and Regulation 16(1)(b) of the SEBI (Listing Obligations and Disclosure Requirements)Regulations, 2015.

Further, in compliance with Section 150 of the Companies Act, 2013 read with Rule 6 of the Companies (Appointment and Qualification of Directors) Rules, 2014, as amended, all the Independent Directors have registered their names in the Independent Directors' Databank maintained by the Indian Institute of Corporate Affairs (IICA), as notified by the Ministry of Corporate Affairs.

FAMILIARIZATION PROGRAM FOR INDEPENDENT DIRECTORS

The Company has in place a Familiarisation Programme for its Independent Directors to provide them with an understanding of the Company's business, operations, industry, regulatory environment and their roles and responsibilities. Periodic updates on business performance, statutory and regulatory developments, and other significant matters are also provided to enable them to effectively discharge their duties.

SKILLS/EXPERTISE/COMPETENCIES OF THE BOARD OF DIRECTORS

The Board is of the opinion that its present composition comprises an appropriate mix of skills, expertise, experience, independence and diversity, enabling it to provide effective leadership, strategic guidance and oversight to the Company's affairs while upholding the highest standards of governance, ethics and transparency.

The core skills, expertise and competencies identified by the Board as required in the context of the Company's business and sector, and those available with the Board, are set out below:

Skill	Description
Leadership	Experience of playing leadership roles in large businesses, with competencies around strategy development & implementation, sales & marketing, business administration/ operations and Organisations and people Management.
Financial	Practical knowledge and experience in corporate Finance, accounting and reporting and internal financial control, including strong ability to assess financial impact of decision making and ensure profitable and sustainable growth.
Governance	Board level experience in reputed organizations, with a strong understanding of and experience in directing the management in the best interests of the Company and its stakeholders and in upholding high standards of governance.
Regulatory	Strong expertise and experience in regulatory compliance in India(Including industry specific laws)

The skills/ expertise/competence matrix of the Board of Directors with names are as follows;

Name of the Director	Leadership / Strategy	Financial	Governance	Regulatory
Shri SKM Maeilanandhan	✓	✓	✓	✓
Shri SKM Shree Shivkumar	✓	✓	✓	✓
Shri SK Sharath Ram	✓	✓	✓	✓
Smt S Kumutaavalli	✓	✓	✓	✓
Shri TN Thirukumar	✓	✓	✓	✓
Shri GN Jayaram	✓	✓	✓	✓
Shri RR Sathiyamurthi	✓	✓	✓	✓
Dr Vikram Ramakrishnan	✓	✓	✓	✓
Mr K Ahamed sheik Mohideen	✓	✓	✓	✓
Shri K Vivekanandan	✓	✓	✓	✓

CONFIRMATION ON THE FULFILLMENT OF THE CONDITIONS OF INDEPENDENCE:

Based on the declarations received, the Board is of the opinion that all the Independent Directors fulfil the criteria of independence prescribed under the Companies Act, 2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and are independent of the Management.

SEPARATE MEETING OF THE INDEPENDENT DIRECTORS:

Pursuant to Schedule IV of the Companies Act, 2013 and Regulation 25(3) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, a separate meeting of the Independent Directors, without the presence of Non-Independent Directors and members of the Management, was held on 30th March, 2026. The Independent Directors reviewed the performance of the Non-Independent Directors, the Board as a whole, the Chairperson of the Company and assessed the quality, quantity and timeliness of the flow of information between the Management and the Board.

The composition of and attendance at Committee of Independent Directors meeting are given below

S No	Name of the Member	No. of Meetings held	No. of Meetings attended
1	Shri TN Thirukumar	1	1
2	Shri.GN Jayaram	1	1
3	Shri.RR Sathiyamurthi	1	1
4	Dr Vikram Ramakrishnan	1	1
5	Mr K Ahamed Sheik Mohideen	1	1

RESIGNATION OF INDEPENDENT DIRECTORS BEFORE EXPIRY OF TENURE:

None of the Independent Directors resigned during the year under review before the expiry of their respective terms of office.

COMMITTEES OF THE BOARD

The Board has constituted the following Committees to assist in the effective discharge of its responsibilities:

1) Audit Committee, 2) Nomination and Remuneration Committee, 3) Stakeholders' Relationship Committee 4) Corporate Social Responsibility Committee 5) Finance and Administrative Committee 6) Investment Committee

AUDIT COMMITTEE

The Audit Committee has been constituted in accordance with the provisions of Section 177of the Companies Act, 2013 and Regulation 18 read with Part C of Schedule II of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. The composition of the Committee is in conformity with the aforesaid provisions, and all the members, including the Chairman of the Committee, are Independent Directors.

The terms of reference of the Audit Committee are in line with the requirements of the Companies Act, 2013 and the SEBI Listing Regulations. The Committee, inter alia, oversees the financial reporting process, reviews the quarterly and annual financial statements, internal financial controls, risk management framework, internal and statutory audit functions, related party transactions, and compliance with applicable statutory and regulatory requirements.

During the financial year 2025–26, the Audit Committee met four times on 30th May, 2025,30th July, 2025, 29th October, 2025 and 28th January, 2026.

The composition of the Audit Committee and the attendance details of members are as follows:

Name of the Members	Category	No. of Meetings held during the year	No. of Meetings Attended
Shri. GN Jayaram (Chairman)	Independent - Non-Executive	4	4
Shri.TN Thirukumar (Member)	Independent - Non-Executive	4	3
Mr K Ahamed Sheik Mohideen (Member)	Independent - Non-Executive	4	2

During the year under review, all the recommendations of the Audit Committee were accepted by the Board of Directors.

NOMINATION AND REMUNERATION COMMITTEE

The Nomination and Remuneration Committee has been constituted in accordance with the provisions of Section 178 of the Companies Act, 2013 and Regulation 19 read with Part D of Schedule II of the SEBI (Listing Obligations and Disclosure Requirements) Regulations,2015.

The terms of reference of the Committee, inter alia, include identifying and recommending persons for appointment to the Board and Senior Management, formulating criteria for determining the qualifications, positive attributes and independence of Directors, carrying out the evaluation of Directors, and recommending the remuneration policy for Directors, Key Managerial Personnel and Senior Management.

During the financial year 2025–26, the Committee met once on 23rd June, 2025.

The composition of the Committee and the attendance of its members are given below:

Name of the Members	Category	No. of Meetings held during the year	No. of Meetings Attended
Dr Vikram Ramakrishnan (Chairman)	Independent - Non-Executive	1	1
Shri.RR Sathiyamurthi	Independent - Non-Executive	1	1
Shri GN Jayaram(Member)	Independent - Non-Executive	1	1

The Nomination and Remuneration Policy of the Company is annexed to the Board's Report and is also available on the Company's website at www.skmegg.com.

PERFORMANCE EVALUATION OF THE BOARD, COMMITTEES AND DIRECTORS

Pursuant to the provisions of the Companies Act, 2013 and Regulation 17(10) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the annual performance evaluation of the Board, its Committees and the individual Directors was carried out during the year. The evaluation covered various aspects of the functioning of the Board and its Committees, composition, diversity, governance practices, participation and contribution of the Directors, and the effectiveness of the decision-making process. The feedback received formed the basis for assessing the overall effectiveness of the Board and its Committees.

DIRECTORS REMUNERATION:

NON EXECUTIVE DIRECTORS

The Non-Executive Directors are paid sitting fees of Rs.10,000 for each meeting of the Board of Directors attended. They do not receive any other remuneration, except as may be permitted under applicable law. The criteria for payment of remuneration to Non-Executive Directors are set out in the Nomination and Remuneration Policy, which is available on the Company's website at www.skmegg.com.

EXECUTIVE DIRECTORS:

The remuneration of the Executive Directors is determined by the Board of Directors based on the recommendations of the Nomination and Remuneration Committee and is subject to the approval of the Shareholders and other statutory approvals, wherever applicable.

Details of remuneration paid to the Directors for the year ended 31st March 2026.

(in Rs)

Name of the Directors	Salary, Allowance and Perquisities	Service Contract
Shri SKM Maeilanandhan, Executive Chairman	60,14,604	5 years
Shri SKM Shree Shivkumar, Managing Director	5,79,53,663	3 years
Shri SK Sharath Ram, Executive Director	58,29,912	5 years

No service contracts have been entered into with the Directors. Their appointments are governed by the resolutions approved by the Shareholders in accordance with the provisions of the Companies Act, 2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

STAKEHOLDERS RELATIONSHIP COMMITTEE

The Stakeholders' Relationship Committee has been constituted in accordance with the provisions of Section 178(5) of the Companies Act, 2013 and Regulation 20 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The terms of reference of the Committee are in line with the aforesaid provisions and, inter alia, include redressal of security holders' grievances relating to transfer and transmission of shares, issue of duplicate share certificates, dematerialisation/ rematerialisation of shares, non-receipt of dividends and annual reports, and other investor-related matters.

During the financial year 2025–26, the Committee met four times on 30th May, 2025, 30thJuly, 2025, 29th October, 2025 and 28th January, 2026.

The composition of the Committee and the attendance of its members are given below:

Name of the Members	Category	No. of Meetings held during the year	No. of Meetings Attended
Shri TN Thirukumar(Chairman)	Independent - Non-Executive	4	3
Shri GN Jayaram(Member)	Independent - Non-Executive	4	4
Shri RR Sathiyamurthi(Member)	Independent - Non-Executive	4	4

Shri P. Sekar, Company Secretary and Compliance Officer, acts as the Secretary to the Committee.

During the financial year ended 31st March, 2026, the Company received one investor complaint, which was resolved satisfactorily. There were no pending investor complaints as on 31st March, 2026.

UNCLAIMED SUSPENSE ACCOUNT (IF ANY)

Pursuant to Regulation 39(4) read with Schedule VI of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, there were no shares required to be transferred to the Unclaimed Suspense Account during the financial year 2025–26

DETAILS OF SHARES TRANSFERRED TO IEPF AUTHORITY DURING 2025-26

Pursuant to Sections 124 and 125 of the Act read with the Investor Education and Protection Fund Authority (Accounting, Audit, Transfer and Refund) Rules, 2016("IEPF Rules"), dividends, if not claimed for a consecutive period of seven years from the date of transfer to Unpaid Dividend Account of the Company, are liable to be transferred to the Investor Education and Protection Fund ("IEPF")

In compliance with the mentioned regulations, no shares were transferred to the IEPF Authority during the financial year 2025–26.

CORPORATE SOCIAL RESPONSIBILITY COMMITTEE:

The Corporate Social Responsibility (CSR) Committee has been constituted in accordance with the provisions of Section 135 of the Companies Act, 2013 and the Companies(Corporate Social Responsibility Policy) Rules, 2014.

The Committee, inter alia, formulates and recommends the CSR Policy, recommends the CSR expenditure to the Board, and monitors the implementation of the CSR Policy and CSR activities.

During the financial year 2025–26, the Committee met once on 25th March, 2026.

The composition of the Committee and the attendance of its members are given below:

Name of the Members	Category	No. of Meetings held during the year	No. of Meetings Attended
Mr K Ahamed Sheik Mohideen (Chairman)	Independent - Non-Executive	1	1
Smt S Kumutaavalli(Member)	Non Independent - Non-Executive	1	1
Shri TN Thirukumar(Member)	Independent - Non-Executive	1	1

FINANCE AND ADMINISTRATIVE COMMITTEE

The Finance and Administrative Committee is an internal committee constituted by the Board to oversee matters relating to finance and administration, including monitoring and facilitating remittances from Russia in accordance with the Company's internal policy and applicable regulatory requirements.

The Committee comprises Shri SKM Shree Shivkumar (Chairman), Shri T.N.Thirukumar (Member) and Shri G.N. Jayaram (Member). The Committee functions in accordance with the terms of reference approved by the Board and meets periodically to review matters within its scope.

INVESTMENT COMMITTEE:

The Investment Committee was constituted with the following directors.

Name of the Members	Designation
Shri SKM Shree Shivkumar	Chairman
Shri SK Sharath Ram	Member
Shri TN Thirukumar	Member
Mr K Ahamed Sheik Mohideen	Member
Shri Vikram Ramakrishnan	Member

During the financial year, no meeting of Investment Committee of the Board was held

MANAGEMENT DISCUSSION AND ANALYSIS

Pursuant to the applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements)Regulations, 2015, the Management Discussion and Analysis Report forms an integral part of this Annual Report.

GENERAL BODY MEETINGS

Details of the Annual General Meetings conducted over the pas8hree financial years are provided below.

Year	Date	Time	Special Resolutions passed
2023	06.09.2023	4.00 P.M.	1. To appoint Shri SK Sharath Ram (DIN 09469919) as a Non-Executive Director of the Company 2. To appoint Shri B Elangovan (DIN: 00133452) as a Nominee Director of the Company 3. To Consider and approve Commission to executive Director 4. To Consider and approve remuneration to Executive Chairman 5. Approval of Material Related Party Transactions
2024	25.09.2024	4.00 P.M.	1. Re-appointment of Shri. TN Thirukumar as an Independent Director for a second term of 5 years. 2. Re-appointment of Shri. GN Jayaram as an Independent Director for a second term of 5 years 3. Appointment of Shri RR Sathiyamurthi as an Independent Director of the Company for a term of 5years 4. Appointment of Shri K Ahamed Sheik Mohideen as an Independent Director of the Company for a term of 5 years 5. Appointment of Dr Vikram Ramakrishnan as an Independent Director of the Company for a term of 5 years 6. Appointment of Shri K Vivekanandan as a Nominee Director of the Company
2025	03.09.2025	4.00 P.M.	1. Re-appointment of Shri. SKM Shree Shivkumar as a Managing Director for a term of three years 2. Appointment of Mr R. Saiprasath, practicing Company Secretary Coimbatore as The Secretarial Auditor of the Company

Year	Venue
2023	AGM was held through Video Conferencing/Other Audio Visual Means (Deemed Venus for the meeting: Registered Office at 133, 133/1, Gandhiji Road, Erode-638001)
2024	AGM was held through Video Conferencing/Other Audio Visual Means (Deemed Venus for the meeting: Registered Office at 133, 133/1, Gandhiji Road, Erode-638001)
2025	AGM was held through Video Conferencing/Other Audio Visual Means (Deemed Venus for the meeting: Registered Office at 133, 133/1, Gandhiji Road, Erode-638001)

EXTRA ORDINARY GENERAL MEETING:

During the financial year under review, no Extra-Ordinary General Meeting of the Members was held

POSTAL BALLOT

During the financial year 2025-26 the Company conducted a Postal Ballot trough remote e-voting for obtaining the approval of the Members for the sub-division (Stock Split) of the existing Equity Shares of the Company from a face value of Rs.10/- each to Rs.5/-.The requisite resolution was duly approved by the Members with the requisite majority.

MEANS OF COMMUNICATION:

The Company recognizes the importance of timely, transparent, and effective dissemination of information to its shareholders, investors, and other stakeholders. In line with this commitment, notices relating to Board Meetings, General Meetings, Book Closure, and the publication of quarterly and annual financial results are published in Trinity Mirror (English daily) and Makkal Kural (Tamil daily), in compliance with the applicable statutory and regulatory requirements.

The Company also maintains a comprehensive and user-friendly website, www.skmegg.com,which serves as an effective platform for disseminating information to stakeholders. The website is regularly updated with the Company's profile, corporate information, quarterly and annual financial statements, Annual Reports, shareholding pattern, Corporate Governance Reports, policies and codes adopted by the Company, including the Code of Conduct for Directors and Senior Management Personnel, details of the Company's products and operations, investor presentations, official press releases, stock exchange disclosures, and other information of relevance to shareholders, investors, and the public at large.

GENERAL INFORMATION FOR SHAREHOLDERS

31st Annual General Meeting

Date: 18.09.2026

Time: 10.00 A.M

Venue: The Annual General Meeting is being convened through Video Conferencing ("VC")/ Other Audio-Visual Means ("AVM") in accordance with the applicable provisions of the Companies Act, 2013 and the relevant circulars issued by the Ministry of Corporate Affairs and the Securities and Exchange Board of India. Accordingly, the Registered Office of the Company shall be deemed to be the venue of the Meeting.

Financial Year: **1st April 2025 to 31st March 2026**

Date of Book Closure: **12.09.2026 to 18.09.2026**

Dividend Payment Date: within 30 days from the date of approval of shareholders.

FINANCIAL CALENDER:

Approval of quarterly results for the period ending:

1.30th June 2025	: 30th July, 2025
2.30th September 2025	: 29th October, 2025
3.31st December 2025	: 28th January, 2026
4.31st March 2026	: 22nd May, 2026

STOCK EXCHANGE INFORMATION:

The Company's Equity Shares are listed on the following Stock Exchanges:
1. BSE Limited, Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai – 400 001.
2. National Stock Exchange of India Limited (NSE), Exchange Plaza, Bandra-Kurla Complex, Bandra (East), Mumbai – 400 051.

The annual listing fees for the financial year 2026–27 have been duly paid to both the Stock Exchanges. Consequently, the Company's Equity Shares continued to remain listed and traded on BSE Limited and the National Stock Exchange of India Limited throughout the year under review.

Details of Stock code

The stock codes of the Company at the Stock Exchanges are as follows:

BSE Limited : Scrip code:**532143**

National Stock Exchange of India Limited : Symbol **SKMEGGPROD**

EQ Company's ISIN: **INE411D01023**

Movement in the Market Price of the Company's Shares on the National Stock Exchange and Bombay stock exchanges

National Stock Exchange of India Limited			
MONTH	**HIGH (Rs)**	**LOW (Rs)**	**QUANTITY(Nos)**
Apr 25	209.50	154.00	11,76,645
May 25	238.00	178.82	14,90,528
Jun 25	266.00	192.60	20,96,334
Jul 25	320.35	257.30	15,05,483
Aug 25	371.60	300.00	12,13,953
Sep 25	385.00	287.30	11,38,640
Oct 25	421.50	300.65	12,77,040
Nov 25	465.00	395.20	30,34,602
Dec 25	454.75	372.00	20,27,972
Jan 26	429.90	154.60	96,22,034
Feb 26	208.00	162.00	52,53,709
Mar 26	169.95	143.10	29,57,375

Bombay Stock Exchange Limited			
MONTH	**HIGH (Rs)**	**LOW (Rs)**	**QUANTITY(Nos)**
Apr 25	210.00	151.00	1,34,001
May 25	237.00	180.00	1,58,172
Jun 25	265.00	193.00	2,45,305
Jul 25	320.05	255.65	3,24,721
Aug 25	376.35	301.55	1,81,306
Sep 25	390.00	288.60	1,93,219
Oct 25	425.00	298.10	2,36,131
Nov 25	464.70	400.35	2,46,145
Dec 25	452.35	370.00	1,61,488
Jan 26	430.95	155.25	6,84,913
Feb 26	205.00	162.40	5,42,328
Mar 26	168.20	144.00	2,84,680

REGISTRAR AND SHARE TRANSFER AGENT (RTA):

MUFG INTIME INDIA PRIVATE LIMITED
(Formerly Link Intime India Private Limited
"Surya", 35, May flower Avenue,
Behind Senthil Nagar,
Sowripalayam Road,
Coimbatore-641028,
Tamil Nadu (RTA).

RECONCILIATION OF SHARE CAPITAL AUDIT

A Practising Company Secretary carries out a Reconciliation of Share Capital Audit on a quarterly basis in accordance with the applicable provisions of the SEBI (Depositories and Participants) Regulations, 2018 and the directions issued by the Securities and Exchange Board of India (SEBI).

The purpose of the audit is to reconcile the total admitted capital held in dematerialised form with the National Securities Depository Limited (NSDL) and Central Depository Services(India) Limited (CDSL), with the total issued, listed and paid-up equity share capital of the Company. The audit confirms that the total issued, listed and paid-up equity share capital is in agreement with the aggregate of the equity shares held in physical form, if any, and those held in dematerialised form with NSDL and CDSL. No discrepancies were observed during the financial year under review.

SHARE TRANSFER SYSTEM

Since the company's shares fall under the compulsory dematerialized (demat) category, they are transferable via the depository system. All dematerialization requests are handled and confirmed to the depositories—NSDL and CDSL—within a 15-day time frame. The Stakeholders Relationship Committee convenes as needed to address matters pertaining to shareholder relations.

CATEGORIES OF SHAREHOLDERS AS ON 31st MARCH, 2026

Category	No. of Shares	No of holders	% To Total
Alternate Invest Funds-III	188184	1	0.3574
Body Corporate-Ltd Liability Partnership	76657	10	0.1456
Corporate Bodies (Promoter Co)	3991600	1	7.5799
Directors	18056838	3	34.2895
Escrow Account	3573240	2	6.7855
FPI (Corporate)- I	238876	5	0.4536
FPI (Corporate)-II	20979	1	0.0398
Hindu Undivided Family	267246	175	0.5075
Investor Education and Protection Fund	799543	1	1.5183
Key Managerial Personnel	5500	1	0.0104
Non Resident (Non-Repatriable)	224601	215	0.4265
Non Resident Indians	231725	225	0.4400
Other Bodies Corporate	214151	53	0.4067
Public	6641982	8868	12.6130
Relatives of Director	2260000	1	4.2917

DISTRIBUTION OF SHARES AS ON 31ST MARCH 2026

Shareholding (Range)	No.of Holders	% of Holders	No.of Shares	% of shares
1 - 500	26,003	85.3957	26,06,455	4.9496
501 - 1000	2,200	7.2250	17,01,556	3.2312
1001 - 2000	1,132	3.7176	17,57,282	3.3370
2001 - 3000	341	1.1199	8,67,433	1.6472
3001 - 4000	185	0.6076	6,67,975	1.2685
4001 - 5000	145	0.4762	6,88,190	1.3069
5001 - 10000	232	0.7619	16,68,489	3.1684
10001 and above	212	0.6962	4,27,02,620	81.0912
Total	**30,450**	**100.0000**	**5,26,60,000**	**100.0000**

Dematerialization of Shares and liquidity

Pursuant to the subdivision (stock split) of the Equity Shares of the Company, all equity shares previously held in physical form have been transferred to the Stock Split Escrow Account in accordance with the applicable regulatory requirements. Consequently, the Company has achieved 100% dematerialisation of its Equity Share Capital.

The Company has been proactively communicating with the concerned shareholders whose shares are lying in the Stock Split Escrow Account, advising them to open a demat account and complete the prescribed documentation and other formalities for claiming their entitlement. Upon receipt of the requisite documents and successful verification thereof, the corresponding equity shares are transferred from the Stock Split Escrow Account to the respective shareholders' demat accounts through the depository system.

The Stakeholders' Relationship Committee periodically reviews the status of such transfers, monitors investor service requests, and oversees the effective redressal of shareholder grievances to ensure timely and efficient investor services.

Outstanding GDRs/ADRs/Warrants or any Convertible Instruments and their likely impact on equity
There are no outstanding warrants or any convertible instruments. The company has not issued GDR/ADR.

Commodity price risk or foreign exchange risk and hedging activities - Nil

Plant Locations
Factory
Cholangapalayam, Pasur Post,
Erode Taluk

Address for Correspondence

Mr. P. Sekar
Company Secretary
SKM Egg Products Export India Limited
NO 133, 133/1, Gandhiji Road
Erode - 638 001

DISCLOSURES:

a) All related party transactions were entered into in the ordinary course of business, on an arm's length basis, and in compliance with the applicable provisions of the Companies Act,2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.During the year, there were no materially significant related party transactions with Promoters, Directors, Key Managerial Personnel or other related parties that could have a potential conflict with the interests of the Company.

Details of related party transactions are disclosed in the Financial Statements in accordance with the applicable Accounting Standards. All related party transactions are placed before the Audit Committee and the Board for review, and omnibus approvals are obtained for repetitive transactions, wherever applicable. A quarterly statement containing the nature, value and terms of such transactions is also placed before the Audit Committee for its review.

b) **Details of Non-Compliance, Penalties and Strictures**

During the last three financial years, no penalties or strictures have been imposed on the Company by the Stock Exchanges, SEBI or any other statutory authority on any matter relating to the capital markets.

c) **Whistle Blower Policy**

The Company has established a Whistle Blower Policy (Vigil Mechanism) to enable directors and employees to report genuine concerns or unethical practices without fear of retaliation. Regular employee meetings are conducted, providing an open platform for interaction with the Managing Director, who is also accessible through e-mail and telephone. All significant concerns raised, whether resolved or otherwise, are placed before the Audit Committee for its review. The Company affirms that no director or employee has been denied access to the Audit Committee.

d) **Compliance with Mandatory Requirements and Adoption of Non-MandatoryRequirements**

The Company has complied with all the mandatory requirements of Corporate Governance prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations,2015.

As a part of the non-mandatory requirements, the Internal Auditors report directly to the Audit Committee, in line with Regulation 27(1) read with Part E of Schedule II of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

e) **Web link where policy for determining "material" subsidiaries is disclosed**

The company has framed a Material Subsidiaries Policy and the same is placed on the company's website www.skmegg.com

f) **Web link where policy on dealing with related party transactions.**

The company has framed Related Party Transaction Policy and the same is placed on thecompany's website www.skmegg.com

g) **Disclosure of commodity price risks and commodity hedging activities.**

During the financial year ended 31/03/2026, the company did not engage in commodity hedging activities

h) **Disclosure on accounting treatment.**

The Financial Statements have been prepared in accordance with the Indian Accounting Standards (Ind AS) prescribed under Section 133 of the Companies Act, 2013, read with the applicable rules made thereunder. The significant accounting policies applied consistently are disclosed in the notes to the Financial Statements.

i) **Disclosure on risk management**

Business risk evaluation and management is an on-going process within the company. The assessment is periodically examined by the board.

j) **Credit Rating:**

The company does not have any debt instruments or fixed deposit programme or any scheme or proposal involving mobilization of funds either in India or abroad that requires credit rating.

There has been no instance of non-compliance of any requirement of corporate governance report as stated above.

The company has complied with all the mandatory requirements specified in Regulations 17to 27 and clauses (b) to (i) of Regulation 46(2) of SEBI (Listing Obligation and Disclosures Requirements) Regulations, 2015.

The company has not provided the disclosure pertaining to the list of core skills / expertise /competency required by the board of directors in the corporate governance report as required under Regulation 34 (3) read with Schedule V (C)(2)(h)(I) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as the board of directors are yet to identify the same.

Other disclosures:

The Company has not raised any funds through preferential allotment or qualified institutions placement during the year under review. Accordingly, the disclosure requirements under Regulation 32(7A) of the SEBI (Listing Obligations and Disclosure Requirements)Regulations, 2015 are not applicable.

A certificate from the Practising Company Secretary confirming that none of the Directors on the Board of the Company have been debarred or disqualified from being appointed or continuing as Directors by the Securities and Exchange Board of India, the Ministry of Corporate Affairs or any other statutory authority has been obtained and is annexed to this Report.

During the year under review, all recommendations made by the Committees of the Board were accepted by the Board of Directors.

During the year, the Company paid a consolidated remuneration of Rs.5,00,000 (Rupees Five Lakhs only), excluding out-of-pocket expenses and applicable taxes, to the Statutory Auditors and the entities in their network for the services rendered.

CEO/CFO Certification

The CEO and CFO Certification on the Financial Statements for the financial year 2025–26,as required under the SEBI (Listing Obligations and Disclosure Requirements) Regulations,2015, was placed before the Board of Directors at its meeting held on 22nd May, 2026. The certificate forms part of this Annual Report.

All Board Members and Senior Management Personnel have affirmed their compliance with the Company's Code of Conduct for the financial year 2025–26.

Code for Prevention of Insider Trading

The company has framed a code of conduct for monitoring the trading done by Insiders based on The SEBI (Prohibition of Insider Trading) Regulations, 2015. This code is applicable to all directors / officers and such designated persons who are expected to have access to unpublished price sensitive information relating to the company. The company has also formulated "The Code of Practices and Procedures for Fair Disclosure of Unpublished Price Sensitive Information (UPSI)" in compliance with The SEBI (Prohibition of Insider Trading)Regulations, 2015

STRUCTURED DIGITAL DATA BASE

SDD (Structured Digital Database) software has been installed in compliance with the SEBI Insider Trading Regulations

DECLARATION BY THE MANAGING DIRECTOR / CEO UNDER THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS)REGULATIONS, 2015 REGARDING COMPLIANCE WITH THE CODE OF CONDUCT

I hereby confirm that, in accordance with Regulation 26(3) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, all the Members of the Board of Directors and Senior Management Personnel of the Company have affirmed their compliance with the Company's Code of Conduct for the financial year ended 31st March, 2026.

(By Order of the Board)

For SKM Egg Products Export (India) Limited

Sd/-

SKM Shree Shivkumar
Chairman cum Managing Director
(DIN:00002384)

Place : Erode
Date : 29.07.2026

AUDITORS' CERTIFICATE OF CORPORATE GOVERNANCE

To

The members,

SKM Egg Products Export (India) Limited

We have examined the compliance of conditions of Corporate Governance by M/s. SKM Egg Products Export (India) Limited, for the year ended on 31st March 2026, as stipulated under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The compliance of conditions of Corporate Governance is the responsibility of the management. Our examination was been limited to procedures and implementation thereof, adopted by the Company for ensuring the compliance with the conditions of the Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion and to the best of our information and according to the explanations given to us and based on the representations made by the directors and the management, we certify that the company has complied with the conditions of Corporate Governance as stipulated in the above mentioned SEBI (Listing Obligations and Disclosure Requirements) Regulations,2015.

We state that no investor grievance is pending for period exceeding one month against the company, as per the records maintained by it.

We state that such compliance is neither an assurance as to future viability of the company nor the efficiency or effectiveness with which the management has conducted the affairs of the company.

Sd/-

N C Rajagopal & Co.,
Chartered Accountant
Firm Registration No : 003398S

Place : Erode
Date : 22.05.2026

CERTIFICATE OF NON-DISQUALIFICATION OF DIRECTORS

(Pursuant to Regulation 34(3) and Schedule V Para C clause (10)(i)
Of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015)

To

The Members,

SKM Egg Products Export (India) Limited

I have examined the relevant registers, records, forms, returns and disclosures received from the directors of M/s. SKM Egg Products Export (India) Limited having CIN:L01222TZ1995PLC006025 and having registered office at No 133, 133/1, Gandhiji Road, Erode - 638001 (hereinafter referred to as 'the company'), produced before me by the company for the purpose of issuing this certificate, in accordance with Regulation 34(3) read with Schedule V Para-C Sub clause 10(i) of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

In my opinion and to the best of my information and according to the verifications (including Directors Identification Number (DIN) status at the portal www.mca.gov.in) as considered necessary and explanations furnished to me by the company & its officers, I hereby certify that none of the directors on the board of the company for the financial year ending on 31stMarch 2026 have been debarred or disqualified from being appointed or continuing as directors of companies by the Securities and Exchange Board of India, Ministry of Corporate Affairs or any such other statutory authority

Ensuring the eligibility for the appointment / continuity of every director on the board is the responsibility of the management of the company. My responsibility is to express an opinion on these based on my verification. This certificate is neither an assurance as to the future viability of the company nor of the efficiency or effectiveness with which the management has conducted the affairs of the company.

Sd/-

R Saiprasath
FCS No. 11555
C P No. 16979
UDIN: F011555H000956103
Peer Review No: 2626/2022

Place : Coimbatore
Date : 29.07.2026

APPENDIX-2

FORM AOC-1

(Pursuant to first proviso to sub-section (3) of section 129 read with rule 5 of Companies(Accounts) Rules, 2014)

Statement containing salient features of the financial statement of subsidiaries/associatecompanies/joint ventures

Part "A": Subsidiaries
(Information in respect of each subsidiary to be presented with amounts in Rs.)

Sl. No.	Particulars	Details	
1.	Name of the subsidiary company	SKM Europe BV, The Netherlands	
2.	The date since which subsidiary company was acquired	02.09.2005	
3.	Currency of Subsidiary company	Euro	
4.	Reporting currency	Indian Rupee (INR)	
5.	Percentage of shareholding	85%	
	Particulars	**INR (In lakhs)**	**EURO (In lakhs)**
6.	Equity Share capital	9.80	0.18
7.	Other Equity	550.78	5.14
8.	Total assets	970.85	9.22
9.	Total Liabilities	410.27	3.90
10.	Investments	-	-
11.	Revenue from Operations	2995.44	29.84
12.	Profit before taxation	82.78	0.04
13.	Provision for taxation	0.82	0.01
14.	Profit after taxation	81.97	0.03
15.	Other Comprehensive Income	18.41	-
16.	Total Comprehensive Income	100.37	0.03
17.	Proposed dividend	-	-

Notes: The following information shall be furnished at the end of the statement:

1. Names of subsidiaries which are yet to commence operations
2. Names of subsidiaries which have been liquidated or sold during the year.

Part "B": Associates and Joint Ventures

Statement pursuant to Section 129 (3) of the Companies Act, 2013 related to Associate Companies and Joint Ventures

(Rs.in lakhs)

S No	Particulars	Information
1	Name of Associates	SKM Universal Marketing Company India Private Limited
2	Latest audited Balance Sheet Date	31/03/2025
3	Date on which the Associate was associated or acquired	01/04/2010
4	Shares of Associate or ~~Joint Ventures~~ held by the company on the year end	
	(i) Number of shares	7,89,700
	(ii) Amount of Investment in Associates	118.46
	(iii) Extent of Holding (in percentage)	26%
5	Description of how there is significant influence of equity shares & voting power in the investee company	Company holds not less than 20%
6	Reason why the associate/~~joint venture~~ is not consolidated	Not Applicable
7	Net-worth attributable to shareholding as per latest audited Balance Sheet (as on 31.03.2025)	Rs. 110.58
8	Profit / (Loss) for the year 2025-26 (Unaudited) of the company	Rs.290.27
	(i) Considered in Consolidation (26%)	Rs. 75.47
	(ii) Not Considered in Consolidation	–

Note: This Form is to be certified in the same manner in which the Balance Sheet is to be certified.

N.C. RAJAGOPAL & CO.,
CHARTERED ACCOUNTANT
N.C.VIJAY KUMAR,
Membership No : 208276
FRN : 003398S

For SKM Egg Products Export (India) Limited

SKM MAEILANANDHAN
Executive Chairman

SKM SHREE SHIVKUMAR
Managing Director

K.S.VENKATACHALAPATHY
Chief Financial Officer

P.SEKAR
Company Secretary

APPENDIX-3

MANAGEMENT DISCUSSION AND ANALYSIS REPORT

Key factors which affect the performance of the Company:

01. The Company recorded revenue of Rs.78,590 lakhs (including other income of Rs.1,910 lakhs) for the year ended 31st March,2026 as against Rs.50,740 lakhs(including other income of Rs.1,404 lakhs) in the previous year ended 31st March,2025.

02. The Profit before tax was at Rs.13,581 lakhs for the year ended 31st March,2026 as compared to Rs.4,694 lakhs during the corresponding in the last year.

03. The Net Profit was at Rs.10,094 lakhs as on 31st March,2026 as against Rs.3,299 lakhs in the previous year.

04. The quantity sold during the year 2025-26, of both egg powder and egg liquid stood at 13,987 Tons in aggregate, when compared to 9,620 Tons during the previous year ended 31st March,2025.

CAPITAL EXPENDITURE AND FUNDING

01.The capital expenditure incurred and funded for the year is Rs.1,424 lakhs of which Rs.202 lakhs pertain to plant and machinery.

02. During the year and review, your company has sold/deleted/adjusted assets worth Rs.538 lakhs.

SALES AND MARKETING

SKM Egg Products Export (India) Limited has successfully completed 29 years as one of India's leading manufacturers and exporters of value-added egg products. The Company continued to strengthen its presence across key international markets including Russia, Europe, Japan, Southeast Asia, the Middle East and Africa through its continued focus on quality, customer relationships and reliable supply.

During the year, the global egg products market experienced strong demand, particularly for Egg Yolk Powder, due to supply constraints in several producing countries affected by Avian Influenza. Despite increasing global competition and market challenges, SKM successfully maintained uninterrupted supplies to its customers and continued to strengthen its position in key export markets, including Russia.

The Company intensified its focus on the South Korean market, where recent changes in import duty have created new opportunities for Indian egg products. Participation in an international food exhibition in Seoul generated encouraging responses for Whole Egg Powder and Frozen Liquid Egg Products. SKM also expanded its activities in the African market, supplying industrial customers through established business partners.

As part of its market diversification strategy, the Company continued to strengthen its network of non-exclusive distributors across Southeast Asia, with particular emphasis on Indonesia, which offers significant long-term growth potential. Customer visits, technical discussions and participation in international exhibitions continued to play an important role in developing new business opportunities and strengthening existing customer relationships.

Going forward, the Company will continue to focus on expanding its global presence through value-added products, strategic distribution partnerships and entry into new international markets while maintaining its commitment to quality and customer satisfaction.

SUBSIDIARY COMPANY-SKM EUROPE:

Our subsidiary has played a significant role in identifying new customers across Europe and enhancing customer confidence by providing timely and quality services. As a result, the Company has acquired a number of new customers in the European Union (EU) countries and has commenced shipments of Whole Egg Powder and Egg Yolk Powder to these customers, who continue to place repeat orders with the Company.

HUMAN RESOURCES:

The Company considers its human resources as its most valuable asset and remains committed to fostering a productive, inclusive, and performance-driven work environment. The Human Resources (HR) Division is responsible for talent acquisition, employee development, compensation and benefits, performance management, and ensuring compliance with applicable labour and employment laws.

The Company provides various employee welfare measures, including Mediclaim insurance, transportation, uniforms, accommodation, and statutory social security benefits such as Employees' Provident Fund (EPF), Employees' State Insurance (ESI), and Gratuity, as applicable. The Board places on record its sincere appreciation for the dedication and valuable contributions of all employees towards the Company's continued growth and success.

APPENDIX-4

ANNUAL REPORT ON CSR ACTIVITIES

1. Brief Outline on CSR Policy of the Company

The Company has constituted a CSR Committee within the Board and developed a CSR Policy, which has received formal approval. This policy emphasizes undertaking CSR initiatives in the Company's surrounding areas. Key focus areas include community development, water and sanitation, education, healthcare, rural infrastructure, and technical training. Current CSR efforts are being aligned with the provisions of the approved policy. The complete CSR policy is available on the Company's website: www.skmegg.com.

2. Composition of CSR Committee:

Name of the Director	Category of Directorship	No. of CSR Committee Meetings held	No. of CSR Committee Meetings attended
Mr K Ahamed Sheik Mohideen (Chairman)	Independent Director	1	1
Smt S Kumutaavalli (Member)	Non Executive Non Independent Director	1	1
Shri TN Thirukumar (Member)	Independent Director	1	1

3. Web-link where composition of CSR committee, CSR Policy and CSR projects approved by the board are disclosed on the website of the company: www.skmegg.com.

4. Impact assessment of CSR projects carried out in pursuance of sub-rule (3) of rule 8of the Companies (Corporate Social Responsibility Policy) Rules,2014, if applicable(attach the report): Not Applicable.

5. Details of the amount available for set off in pursuance of sub-rule (3) of rule 7 of the Companies (Corporate Social Responsibility Policy) Rules, 2014 and amount required for set off for the financial year, if any: Not Applicable

S. No	Financial Year	Amount available for set-off from preceding financial years, if any (in Rs)	Amount required to be set off for the financial year, if any (in Rs)
NA			

6. Average net profit of the company as per section 135(5): Rs.87,11,90,359/-

7. (a) Two percent of average net profit of the company as per section 135(5):Rs.1,74,23,807

(b) Surplus arising out of the CSR projects or programmes or activities of theprevious financial years. NA

(c) Amount required to be set off for the financial year, if any: NA

(d) Total CSR obligation for the financial year (7a+7b-7c): Rs. 1,74,23,807

8. (a) CSR amount spent or unspent for the financial year:

Total Amount Spent for the Financial Year (in Rs)	Amount Unspent (in Rs)				
	Total Amount transferred to Unspent CSR Account as per section 135(6)		Amount transferred to any fund specified under Schedule VII as per second proviso to section 135(5)		
	Amount	Date of Transfer	Name of the Fund	Amount	Date of Transfer
1,74,24,000/-	----------NA----------				

(b) Details of CSR amount spent against ongoing project for the financial year

1	2	3	4	5		6	7	8	9	10	11	
Sl No	Name of the Project	Item from the list of activities in Schedule VII to the Act	Local area (Yes/ No)	Location of the project		Project duration	Amount allocated for the project (in Rs)	Amount spent in the current financial Year (in Rs)	Amount transferred to Unspent CSR Account for the project as per Section 135(6) (in Rs)	Mode of Implementation Direct (Yes/No)	Mode of Implementation Through Implementing Agency	
				State	District						Name	CSR Registration No
NIL												

(c) Details of CSR amount spent against other than ongoing projects for the financial year:

1	2	3	4	5		6	7	8
Sl No	Name of the Project	Item from the list of activities in Schedule VII to the Act	Local Area Yes/No	Location of the Project		Amount spent for projects	Mode of Implementation Direct (Yes/No)	Mode of Implementation - Through Implementing Agency
				State	District			
	Undertaking and supporting activities that promote social welfare, community development, environmental sustain ability, education, healthcare and other initiatives that contribute to the betterment of society.	Schedule VIIof the Companies Act, 2013	Yes	TN	Erode	1,74,24,000/-	No	Shree Foundation CSR Reg No. CSR00069616

(d) Amount spent in Administrative Overheads: NIL

(e) Amount spent on Impact Assessment, if applicable: Nil

(f) Total amount spent for the Financial Year (8b+8c+8d+8e): Rs. 1,74,24,000/-

(g) Excess amount for set off, if any: Nil

Sl No	Particulars	Amount (in Rs)
(i)	Two percent of average net profit of the company as per section 135(5)	1,74,23,807.00
(ii)	Total amount spent for the Financial Year	1,74,24,000.00
(iii)	Excess amount spent for the financial year [(ii)-(I)]	193
(iv)	Surplus arising out of the CSR projects or programmes or activities of the previous financial years, if any	NIL
(v)	Amount available for set off in succeeding financial years [(iii)-(iv)]	NIL

9 (a) Details of Unspent CSR Amount for the preceding three financial years:

Sl No	Preceding Financial Year	Amount transferred to Unspent CSR account under section 135 (6) (in Rs)	Amount spent in the Reporting Financial Year (in Rs)	Amount transferred to any fund specified under Schedule VII as per section 135(6), if any			Amount remaining to be spent in succeeding Financial Year (in Rs)
				Name of the Fund	Amount (in Rs)	Date of transfer	
NIL							

b) Details of CSR amount spent in the financial year for ongoing projects of the preceding financial year(s):

1	2	3	4	5	6	7	8	9
Sl No	Project ID	Name of the Project	Financial Year in which the project was commenced	Project duration	Total amount allocated for the project (in Rs)	Amount spent on the project in the reporting Financial Year (in Rs)	Cumulative amount spent at the end of reporting Financial Year. (in Rs)	Status of the project - Completed / On -going
NIL								

10. In case of creation or acquisition of capital asset, furnish the details relating to the asset so created or acquired through CSR spent in the financial year (asset-wise details): NA

    (a) Date of creation or acquisition of the capital asset(s): NA

    (b) Amount of CSR spent for creation or acquisition of capital asset: NA

    (c) Details of the entity or public authority or beneficiary under whose name such capital asset is registered, their address, etc.: NA

(d) Provide details of the capital asset(s) created or acquired (including complete address and location of the capital asset): NA

11. Specify the reason(s), if the company has failed to spend two per cent of the average net profit as per section 135(5): NA

For and on behalf of the Board

Sd/-

SKM Shree Shivkumar,
Chairman cum Managing Director
DIN: 00002384

Place : Erode
Date : 29.07.2026

Certificate for utilisation of funds disbursed for CSR activities

To

Board of Directors

This is to certify that the following funds were disbursed and utilised for CSR projects, as approved by the Board of Directors and monitored by the CSR Committee, during the period 01.4.2025 to 31.03.2026

Name of CSR Project / Activities	Implemented through	Amount Sanctioned	Amount Disbursed	Amount Utilised	Unspent Amount, if any
Undertaking and supporting activities that promote social welfare, community development, environmental sustain ability, education, healthcare and other initiatives that contribute to the betterment of society.	CSR: Shree Foundation	1,74,24,000.00	1,74,24,000.00	1,74,24,000.00	Nil

The books of account and other records of CSR projects, as available with the company/Implementing Agency, gives reasonable assurance about the utilisation of the funds disbursed by the company to Implementing Agencies for undertaking approved CSR activities.

KS Venkatachalapathy
(Chief Financial Officer)

APPENDIX-5

FORM AOC-2

[Pursuant to clause (h) of sub-section (3) of section 134 of the Act and Rule 8(2) of the Companies (Accounts) Rules, 2014]

Form for disclosure of contracts/arrangements entered into by the Company with related parties referred to in sub-section (1) of section 188 of the Companies Act, 2013 including certain arm's length transactions under third proviso thereto. (1) of section 188 of the Companies Act, 2013 including certain arm's length transactions under third proviso thereto.

1. Details of contracts or arrangements or transactions not at arm's length basis - Not Applicable
2. Details of material contracts or arrangement or transactions at arm's length basis

1	Name of related party and Nature of relationship	SKM Universal Marketing Company India Private Limited: Common Directors SKM Siddha and Ayurvedha Company (India)Private Limited: Common Directors SKM Animal Feeds and Foods India Private Limited: Relative of Directors
2	Nature of contracts/ arrangements/ transactions	Sale of Egg Shell Waste, Purchase of Wind power, Sale/Purchase of Eggs, Poultry Feeds, Egg related Products, Poultry Feed Supplement
3	Duration of the contracts/arrangements/ transactions	FY 2025-26
4	Salient terms of the contracts or arrangements or transactions including the value, if any;	Nil
5	Date(s) of approval by the Board, if any.	Every Quarter
6	Amount paid as advances, if any.	Nil

For and on behalf of the Board

Sd/-
SKM Shree Shivkumar,
Chairman cum Managing Director
DIN: 00002384

Place : Erode
Date : 29.07.2026

APPENDIX-6

DETAILS OF POWER & FUEL CONSUMPTION, FOREIGN EXCHANGE EARNINGS AND OUTGO:

PARTICULARS	2025-2026	2024-2025
(I) POWER AND FUEL CONSUMPTION		
(1) Electricity		
a. Purchased units (Kwh)	1,13,17,362	96,26,807
Total Amount (Rs.)	10,34,16,489	8,14,39,377
Rate / Unit (Rs.)	9.14	8.46
b. Own Generation through Diesel Generator		
Units (Kwh)	2,92,336	1,76,432
Total Amount (Rs.)	67,95,805	51,73,662
Units per litre of Diesel	3.44	2.74
Cost/Unit (Rs.)	23.25	29.32
(2) Furnace Oil		
Quantity (Litres)	59,600	32,800
Total Cost (Rs.)	29,14,216	16,00,434
Average Rate (Rs.)	48.90	48.79
(3) Coal		
Quantity (Metric Tons)	8,871	6,611
Total Cost (Rs.)	6,53,41,874	4,71,46,813
Average Rate (Rs.)	7,366	7,132
(II) CONSUMPTION PER UNIT OF PRODUCTION		
Product - Egg Powder (Metric Tons)	6,859	3,521
Electricity (Rs. Per Metric Tons)	16,067	24,602
Fuel (Rs. Per Metric Tons)	9,951	13,846
FOREIGN EXCHANGE EARNINGS AND OUTGO : (Rs. In lacs)		
Earnings :	51,829	24,179
Outgo :	7,599	3,466

CONSERVATION OF ENERGY:

The Company continues to focus on improving energy efficiency and reducing energy consumption through the adoption of energy-efficient equipment, optimisation of electrical loads, and implementation of process improvements. During the year under review, the following measures were undertaken:

1. Replacement of Street Lighting:

Replaced 55 numbers of 150 W Sodium Vapour (SON) streetlights with energy-efficient 100W LED streetlights. This initiative has resulted in reduced electricity consumption, lower maintenance requirements, and improved lighting efficiency.

2. Installation of APFC Panel:

Installed an Automatic Power Factor Correction (APFC) panel to improve the power factor of the electrical system. The initiative has helped optimise electrical power utilisation and reduce power losses in the system.

3. Maximum Demand Control System:

Implemented a Maximum Demand Control System to monitor and optimise the Company's electrical demand. The system facilitates better load management and helps avoid unnecessary peak-demand charges and associated electricity costs.

4. Energy Optimisation in Effluent Treatment Plant (ETP):

Installed a UASB (Up flow Anaerobic Sludge Blanket) system in the Effluent Treatment Plant(ETP), resulting in improved treatment efficiency and reduction in the aeration load. Following the implementation, the aeration requirement has been optimised, with only one of the three aeration tanks currently in operation. Consequently, two 40 HP blowers have been taken out of operation, resulting in significant savings in electrical energy consumption.

5. Installation of VFD for Boiler Feed Water Pump:

Installed a Variable Frequency Drive (VFD) for the coal boiler feed water pump to enable demand-based operation and optimise motor speed according to process requirements. This measure has reduced unnecessary power consumption and improved the overall energy efficiency of the pumping system.

The above initiatives form part of the Company's continuing efforts to optimise energy consumption, improve operational efficiency, reduce energy losses and minimise the environmental impact of its operations.

RESEARCH AND DEVELOPMENT:

Health mix product :

Formulation of Egg White Protein Drink Mix with new ingredient composition and focusing on products with High Protein and High Calorie for pre- and post-match.

New Product Developments:

Planning to develop High protein breads and bun using egg powders along with required ingredients and additives without sugar before December 2026.

Focusing on Sugar free high protein breakfast cereals and currently in progress for the development.

Developing Ready to Cook tetra pack flavoured omlette mix for easy household applications.

Planning to develop Sugar free steamed egg white pudding (Utilization of fruit pulp and recommended artificial sweeteners)

Shelf-life extension

Egg White Cube:

Regular trails were performed for extension of shelf life of cube from 60 to 90 days by maintaining the GMP/GHP protocols.

Modification of the existing egg white cube packing machine to increase the filling efficiency and to increase the shelf life of the cube to 90 days for export requirements.

For and on behalf of the Board

Sd/-
SKM Shree Shivkumar,
Chairman cum Managing Director
DIN: 00002384

Place : Erode
Date : 29.07.2026

APPENDIX-7

Form No. MR-3
Secretarial Audit Report
For the financial year ended 31st March, 2026
[Pursuant to Section 204(1) of the Companies Act, 2013 and Rule No.9 of the Companies]

To

The Members,
SKM Egg Products Export (India) Limited,
CIN: L01222TZ1995PLC006025,
No 133, 133/1, Gandhiji Road,
Erode 638001

I have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by SKM Egg Products Export (India)Limited (CIN: L01222TZ1995PLC006025) (hereinafter called the "Company"). Secretarial Audit was conducted in a manner that provided me a reasonable basis for evaluating the corporate conducts/ statutory compliances and expressing my opinion thereon.

Based on my verification of the Company's books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, I hereby report that in my opinion, the Company has, during the period covered by my audit , that is to say-**1 st April 2025 to 31 st March 2026**(hereinafter referred toas 'Audit Period') complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

I have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended on 31 March 2026 according to the provisions of:

(i) The Companies Act, 2013 (the Act) and the rules made thereunder;

(ii) The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made thereunder;

(iii) The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder;

(iv) Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings;

(v) The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ('SEBI Act') to the extent it was applicable during the Audit Period:

(a) The Securities and Exchange Board of India (Substantial Acquisition of Share sand Takeovers) Regulations, 2011;

(b) The Securities and Exchange Board of India (Prohibition of Insider Trading)Regulations, 2015;

© The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018

(d) The Securities and Exchange Board of India (Share Based Employee Benefits) Regulations, 2021;

(e) SEBI (Issue and Listing of Non-Convertible Securities) Regulations, 2021;

(f) The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with client;

(g) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2009;

(h) The Securities and Exchange Board of India (Buyback of Securities) Regulations2018; and

(I) The Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

(vi) The following Laws / specific Act(s) and Rules made thereunder specifically applicable to the Company namely:

1. Food and Safety and Standards Act, 2006

2. The Export (Quality Control and Inspection) Act, 2013

I have also examined compliance with the applicable clauses of the following:

(I) Secretarial Standards issued by The Institute of Company Secretaries of India; and

(ii) The Listing Agreements entered into by the Company with Stock Exchanges and the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

During the audit period under review the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. mentioned above subject to the specific observations made in Annexure B. I further report that the compliance of applicable financial laws including Direct and Indirect Tax Laws by the Company has not been reviewed in this Audit since the same has been subject to review by the Statutory Auditors and other designated professionals.

I further report that, having regard to the compliance system prevailing in the Company and on examination of the relevant documents and records in pursuance thereof on test check basis, the Company has complied with the Industry/company specific laws as applicable to the Company.

I further report that the Board of Directors of the Company is duly constituted with proper balance of Executive Directors, Non-Executive Directors and Independent Directors. There were changes in composition of the Board of Directors during the year under review which were carried out in compliance with the provisions of the Companies Act, 2013 and SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, wherever applicable, in respect of such changes.

Adequate notice of meetings of the Board of Directors were given to all directors and agenda and detailed notes on agenda in respect of such meetings were sent at least seven days in advance, other than those held at shorter notice, and a system

exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

Majority decision is carried through and recorded as part of the Minutes of the Meetings. I did not find any dissenting directors' views in the minutes.

I further report that there are adequate systems and processes in the Company commensurate with the size and operations of the Company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines subject to our specific observations in Annexure-B to this report

I further report that during the Audit Period there were no events/actions [like Public/Rights/Preferential Issue of Shares /debentures/sweat equity etc, Redemption /buy-back of securities/Major decisions taken by members in pursuance to section 180 of the Companies Act, 2013, Merger/amalgamation/reconstruction etc,] having a major bearing on the Company's affairs in pursuance of the above referred laws, rules, regulations, guidelines, standards etc.

Place: Coimbatore
Date: 28.07.2026
UDIN: F011555H000956004

R. Saiprasath
Company Secretary in Practice
FCS No.: 11555 / CoP No:16979
Peer Review No: 2626/2022

SECRETARIAL AUDIT REPORT
FOR THE FINANCIAL YEAR ENDED 31.03.2026

[Pursuant to section 204(1) of the Companies Act, 2013 and rule 9 of the Companies]

Annexure -A to Secretarial Audit Report of even Date

To

The Members

SKM Egg Products Export (India) Limited,

CIN: L01222TZ1995PLC006025

No 133, 133/1, Gandhiji Road,

Erode 638001

My Report of even date is to be read along with this letter.

1. Maintenance of secretarial record is the responsibility of the management of the company. My responsibility is to express an opinion on these secretarial records based on my audit.
2. I have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the Secretarial records. The verification was done on to ensure that correct facts are reflected in secretarial records. I believe that the processes and practices, I followed provide a reasonable basis for my opinion.
3. I have not verified the correctness and appropriateness of financial records and books of accounts of the company.
4. Where ever required, I have obtained the Management representation about the compliance of laws, rules and regulations and happening of events etc.
5. The compliance of the provisions of Corporate and other applicable laws, rules, regulations, standards is the responsibility of management. My examination was limited to the verification of procedures on test basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the company nor of the efficacy or effectiveness with which the management has conducted the affairs of the company.

R. Saiprasath
Company Secretary in Practice
FCS No.: 11555 / CoP No:16979
Peer Review No: 2626/2022

Place: Coimbatore
Date: 28.07.2026
UDIN: F011555H000956004

Annexure -B to Secretarial Audit Report of even Date- Observations

1. Pursuant to regulation 25(3) requires the Independent Directors to meet once year and discuss the items mentioned in regulation 25(4). However, we were unable to verify matters transacted at the meeting as informed by the company secretary of the company that minutes of the meeting of the Independent Directors are confidential and only Board Members have an access to the minutes.
2. The details of Board Evaluation and that of Independent Directors are kept confidential and hence not made available for this audit.
3. The Company had filed Form IEPF-1 vide SRN F61667366 dated on 01/06/2023 for Statement of amounts credited to IEPF interim dividend for the Financial Year 2015-16 however, the form has not yet been processed due to technical glitches on the portal. The Company has taken up the matter with the concerned authorities and is in the process of resolving the issue for necessary compliance.
4. The Company has filed e-Form IEPF-1; however, the corresponding unpaid/unclaimed dividend pertaining to the financial year 2017-18 has not been transferred to the Investor Education and Protection Fund (IEPF). Consequently, e-Form IEPF-2 has also not been filed.

R. Saiprasath
Company Secretary in Practice
FCS No.: 11555 / CoP No:16979
Peer Review No: 2626/2022

Place: Coimbatore
Date: 28.07.2026
UDIN: F011555H000956004

APPENDIX-8

Information pursuant to Section 197 of the Act with Rule 5(1) of the Companies

(Appointment and Remuneration of Managerial Personnel) Rules, 2014 and Regulation 24A of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015]

a. The percentage increase in remuneration of each director, Chief Financial Officer, Chief Executive Officer, Company Secretary during the financial year 2025-26 and Ratio of the remuneration of each Director to the median remuneration of the employees of the company for the financial year 2025-26:

Name of the Director / Key Managerial Personnel		% increase in remuneration in the Financial Year 2025-2026	Ratio of the remuneration to the median remuneration of the employees
Shri SKM Maeilanandhan	(Chairman)	-------	19.43:1
Shri SKM Shree Shivkumar	(Managing Director)	--------	103.69:1
Sri SK Sharath Ram	(Executive Director)	--------	18.24:1
Smt.S.Kumutaavalli	(Director)	--------	--------
Shri TN Thirukumar	(Independent Director)	--------	--------
Shri GN Jayaram	(Independent Director)	--------	--------
Shri RR Sathiyamurthi	(Independent Director)	--------	--------
Dr Vikram Ramakrishnan	(Independent Director)	--------	--------
Mr K Ahamed sheik Mohideen (Independent Director)		--------	--------
Shri K Vivekanandan	Nominee Director (TIDCO)	--------	--------
Shri.K.S.Venkatachalapathy	(Chief Financial Officer)	--------	8.59:1
Shri.P. Sekar	(Company Secretary)	--------	3.87:1

During the year, the Non-Executive Directors received only the sitting fees as remuneration.

b. The percentage increase in the median remuneration of employees in the financial year 2025-26: -1%

c. The number of permanent employees on the rolls of company: 253

d. Average percentile increase already made in the salaries of employees other than the managerial personnel in the last financial year and its comparison with the percentile increase in the managerial remuneration and justification thereof and point out if there are any exceptional circumstances for increase in the managerial remuneration: NIL

The average decrease in the salaries of employees other than the managerial personnel in 2025-26 was NIL. The Percentage increase in the managerial remuneration for the same financial year was : NIL

e. Affirmation that the remuneration is as per the remuneration policy of the company.

It is hereby affirmed that the remuneration paid to the Directors and Key Managerial Personnel are as per the Nomination and Remuneration Policy of the Company.

For and on behalf of the Board

Place :Erode
Date : 29.07.2026

Sd/-
SKM Shree Sivakumar,
Chairman cum Managing Director
DIN: 00002384

APPENDIX-9

CERTIFICATE OF CHIEF EXECUTIVE OFFICER AND CHIEF FINANCIAL OFFICER

[As per Listing Agreement and Regulation 17(8) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015]

The Board of Directors

M/s. SKM Egg Products Export India Limited

We have reviewed the financial statements and the cash flow statement of SKM Egg Products Export India Limited for the financial year 2025-26 and certify that:

a) These statements to the best of our knowledge and belief:

I. Do not contain any materially untrue statements or omit any material facts or contain statements that might be misleading:

II. Present a true and fair view of the Company's affairs and are in compliance with existing accounting standards, applicable laws and regulations.

b) To the best of our knowledge and belief, there are no transactions entered into by the Directors and Senior Management Personnel during the year, which are fraudulent, illegal or violative of the Company's Code of Conduct.

c) We accept responsibility for establishing and maintaining internal controls for financial reporting and have evaluated the effectiveness of the internal control systems of the Company for such reporting. We have disclosed to the Auditors and the Audit Committee, deficiencies, if any, in the design or operation of such internal controls, of which we are aware of and the steps taken and/or proposed to be taken to rectify these deficiencies.

d) We have also indicated to the Auditors and the Audit Committee.

(I) Significant changes in Internal Controls with respect to financial reporting during the year.

(ii) Significant changes in accounting policies during the Year and these have been disclosed in the notes to the financial statements.

e) To the best of our knowledge and belief, there are no instances of significant fraud involving either the management or employees having a significant role in the Company's internal control systems with respect to financial reporting.

Place :Erode
Date : May 22, 2026

SKM SHREE SHIVKUMAR
Managing Director

K.S.VENKATACHALAPATHY
Chief Financial Officer

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF SKM EGG PRODUCTS EXPORT (INDIA) LIMITED

Report on the Standalone financial statements

Opinion:

We have audited the accompanying standalone financial statements of M/s. SKM EGG PRODUCTS EXPORT (INDIA) LIMITED, ("the Company") (Registered Office at 133, 133/1, Gandhiji Street, Erode – 638 001), which comprise the Balance Sheet as at March 31, 2026, the Statement of Profit and Loss (Including Other Comprehensive Income), the Statement of changes in equity and Statement of Cash Flows for the year then ended and a summary of the significant accounting policies and other explanatory information (hereinafter referred to as "standalone financial statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended, ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at 31st March, 2026; the Profit and total comprehensive income, changes in equity and its cash flows for the year ended on that date.

Basis for Opinion:

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Standalone Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the standalone financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the standalone financial statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the Standalone Financial Statements of the current period. These matters were addressed in the context of our audit of Standalone Financial Statements as a whole, and in forming our opinion thereon and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

S No	Key Audit Matter	How our audit addressed the key audit matter
1	**Inventory Existence and Valuation:** As on 31st March 2026, the Company carries inventories to the tune of Rs.116.04 crores. We considered the amount of inventories as a key audit matter given the relative size of the balance in the financial statements. Also there are complexities and manual process involved in determining inventory quantities on hand and valuation of the same due to the diverse & numerous inventory products and stocks held in overseas branch and price fluctuations of products. Therefore inventory quantities and valuation is identified as a key audit matter.	• We have attended inventory counts for certain products, which we have selected based on financial significance and risk, observed management's inventory count procedures to assess the effectiveness, selected a sample of inventory products and compared the quantities counted to the quantities recorded and ensured inventory adjustments, if any, are recorded in the books of accounts. • With regard to the stocks held in the overseas branch, we have received the certificate from the overseas branch auditor and obtained management representation and verified the relevant documents relating to goods sent from head office to the branch. • Reviewed the management report regarding physical verification of inventories and traced adjustments on sample basis. • Comparative analysis of inventory as at the end of the year with the inventory at the beginning of the year. • We assessed whether the management's controls relating to inventory's valuation are appropriately designed and implemented and verified the correctness of valuation made by the management on a sample basis, with regard to the cost and net realizable value of inventory.
2	**Amortisation of livestock:** For the company, the primary raw material is the egg, for which the company is operating the poultry farm owned by the company as well as certain additional poultry farms and feed mills by taking the same on lease.	• Examined the method used to amortize the livestock expenses with reference to the company's historical experience and technical evaluation by internal experts (doctors) appointed by management. • Evaluated the rationale in arriving at the amortization rate with regard to the number of eggs expected from birds during the laying stage, residual value of culled birds, manner and timing of amortization.

S No	Key Audit Matter	Auditor's Response
	The amortization of livestock during the year amounts to 23.68 crores. Also there are complexities and manual process involved in arriving at the amortization rate considering a variety of factors such as age, productivity of the birds, life of birds, residual value, if any, etc., Therefore amortization of livestock is identified as a key audit matter.	• Analyzed the flow of transactions starting from accumulating the various expenditure incurred for raising the birds such as feeds, medicines, vaccines, growing and supervision charges, etc., till the birds attain laying stage. After the birds start laying eggs, the expenses so accumulated are amortized over the useful life of the birds in proportion to the eggs laid after adjusting for the residual value of culled birds on the basis of past experiences and estimation. • Assessed the objectivity and competence of the Company's internal experts involved in the process.
3	**Evaluation of Contingent liabilities:** The company has an uncertain direct & indirect tax position and other contingent liabilities in respect of bills discounted which involve significant judgment to determine the possible outcome of these matters.	• Obtained the details of completed direct & indirect tax assessments and demands as on 31.03.2026 from the management. • We have also reviewed the company's correspondences and appellate documents and considered legal precedence and other rulings in evaluating management's position on these uncertain tax positions • In respect of bills discounted, analyzed the history of the business transactions of the company with the debtors whose bills were discounted and the trend of payments made by the debtors in the past and also had taken into account the transactions occurring after the balance sheet date in assessing the recoverability of debtors for the bills discounted. • Ascertained the chances of crystallization of liability are probable / possible / remote and ensured appropriate disclosure under Notes on accounts.

Information Other than the Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the holding company's annual report, but does not include the standalone financial statements and our auditor's report thereon.

Our opinion on the standalone financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the standalone financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Management's Responsibility for the Standalone financial statements:

The Company's Board of Directors is responsible for the matters stated in Section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these standalone financial statements that give a true and fair view of the financial position, financial performance, total comprehensive income, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under Section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the standalone financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those Board of Directors are also responsible for overseeing the company's financial reporting process.

Auditor's Responsibility for the Audit of Standalone financial statements:

Our objectives are to obtain reasonable assurance about whether the standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the standalone financial statements, including the disclosures, and whether the standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the standalone financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matters:

We did not audit the financial statements / information of 1 branch (Foreign branch) (In Russia) included in the standalone financial statements of the Company whose financial statements / financial information reflect total assets of Rs.1761.81 lakhs as at 31st March, 2026 and total revenues of Rs.8567.75 lakhs for the year ended on that date, as considered in the standalone financial statements. The financial statements / information of this branch have not been audited by us and have been audited by Russian Auditor whose audit report has been furnished to us and our opinion is based on those Financial Statements received from the Branch Office and certified by the Russian Auditor. Our opinion is not qualified / modified in respect of this matter.

Report on Other Legal and Regulatory Requirements:

1) As required by section 143(3) of the Act, we report that:

a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit.

b) In our opinion proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books and proper returns adequate for the purposes of our audit have been received from the branches not visited by us.

c) The Balance Sheet, the Statement of Profit and Loss (including Other Comprehensive Income), Statement of Changes in Equity and the Statement of Cash Flow dealt with by this Report are in agreement with the books of account and with the returns received from the branches not visited by us.

d) In our opinion, the aforesaid standalone financial statements comply with the Indian Accounting Standards specified under Section 133 of the Act read with relevant rules issued thereunder.

e) On the basis of written representations received from the directors as on March 31, 2026 taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2026, from being appointed as a director in terms of Section 164(2) of the Act.

f) With respect to the adequacy of the internal financial controls with reference to standalone financial statements of the company and the operating effectiveness of such controls, refer to our separate report in "**Annexure A**";

g) With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of section 197(16) of the Act, as amended, in our opinion and according to the information and the explanations given to us, the remuneration paid / provided by the company during the year to its directors is in accordance with the provisions of section 197 of the Act.

h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

I. The Company has disclosed the impact of pending litigations on its financial position in its Standalone Ind AS financial statements – Also Refer Note number 2(ii) of Notes on Accounts to the Standalone Ind AS financial statements;

ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.

iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company except for an amount of Rs.10,17,670/- pertaining to the financial year 2017-18.

iv. a) The management has represented that, to the best of its knowledge and belief, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other persons or entities, including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the intermediary shall:

- directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever ("Ultimate Beneficiaries") by or on behalf of the Company or
- provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.

b) The management has represented, that, to the best of its knowledge and belief, no funds have been received by the Company from any persons or entities, including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall:

- directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever ("Ultimate Beneficiaries") by or on behalf of the Funding Party or
- provide any guarantee, security or the like from or on behalf of the Ultimate Beneficiaries; and

c) Based on such audit procedures as considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (iv) (a) and (iv) (b) contain any material mis-statement.

v. The final dividend proposed, declared and paid by the company during the year is in compliance with Section 123 of the Act, as applicable.

vi. Based on our examination which included test checks, the Company has used accounting softwares for maintaining its books of account, which have a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the respective software.

Further, for the periods where audit trail (edit log) facility was enabled and operated throughout the year for the respective accounting software, we did not come across any instance of the audit trail feature being tampered with and the audit trail has been preserved by the company as per the statutory requirements for record retention.

2) As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, we give in the "**Annexure - B**" a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

N.C.VIJAY KUMAR, PARTNER
Membership No : 208276
FRN : 003398S
UDIN : 26208276MVHSDS1825

Place :Erode
Date : 22.05.2026

ANNEXURE - A

TO THE INDEPENDENT AUDITORS' REPORT ON THE STANDALONE FINANCIAL STATEMENTS OF SKM EGG PRODUCTS EXPORT (INDIA) LIMITED

Referred to in paragraph 1 (f) under Report on Other legal and Regulatory Requirements of our Report of even date

Report on the Internal Financial Controls over Financial Reporting under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls with reference to Standalone Financial Statements of M/s. SKM EGG PRODUCTS EXPORT (INDIA) LIMITED,("the Company") as of 31st March 2026 in conjunction with our audit of the Standalone financial statements of the Company as at and for the year ended on that date.

Management's Responsibility for Internal Financial Controls:

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility:

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to the financial statements of the company and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the standalone financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls over Financial Reporting:

A company's internal financial control with reference to the financial statements of the company is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with reference to Financial Statements:

Because of the inherent limitations of internal financial controls with reference to the financial statements of the company, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to the financial statements of the company to future periods are subject to the risk that the internal financial control with reference to the financial statements of the company may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion:

In our opinion, the Company has, in all material respects, an adequate internal financial controls system with reference to the financial statements of the company and such internal financial controls with reference to the financial statements of the company were operating effectively as at 31 March 2026, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India.

N.C. Rajagopal & Co.,
Chartered Accountants,
N.C.VIJAY KUMAR, PARTNER
Membership No : 208276
FRN : 003398S
UDIN : 26208276MVHSDS1825

Place :Erode
Date : 22.05.2026

"ANNEXURE B"

TO THE INDEPENDENT AUDITOR'S REPORT ON THE STANDALONE FINANCIAL STATEMENTS OF SKM EGG PRODUCTS EXPORT (INDIA) LIMITED

Referred to in Paragraph 2 under the Heading of "Report on Other Legal and Regulatory Requirements" section of our report of even date

1. a. A. The Company has maintained proper records showing full particulars including quantitative details and situation of Property, Plant and Equipment:

   B. The company does not have any intangible assets and hence the question of maintenance of records relating to intangible assets does not arise;

   b. The Property, Plant and Equipment have been physically verified by the management at reasonable intervals and no material discrepancies were noticed on such verifications.

   c. According to the information and explanations given to us and on the basis of our examination of the records of the company, the title deeds of immovable properties (other than properties where the company is the lessee and the lease agreements are duly executed in favour of the lessee) disclosed in the financial statements are held in the name of the Company.

   d. The company has not revalued its Property, Plant and Equipment (including Right of Use assets) during the year.

   e. No proceedings have been initiated or are pending against the company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and rules made thereunder.

2. a. The Management has conducted physical verification of inventory at reasonable intervals. In our opinion the coverage and procedure of such verification by the management is appropriate and no discrepancies of 10% or more in the aggregate for each class of inventory were noticed on physical verification.

   b. According to the information and explanations given to us and on the basis of our examination of the records of the company, the company has been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks on the basis of security of current assets. In our opinion, the quarterly returns or statements filed by the Company with such banks are in agreement with the books of account of the Company except for a difference of Rs.55.21 lakhs which is higher as per the statement furnished to the bank. The difference is considered immaterial having regard to the amount of inventory as per books of accounts as on 31.03.2026.

3. The Company during the year has not made investments in, provided any guarantee or security or granted any secured or unsecured loans to companies, firms, Limited Liability Partnerships or other parties during the year and hence the requirement to report under sub clauses (a) to (f) of this clause do not arise for consideration.

4. According to the information and explanations given to us and on the basis of our examination of the records, the Company has not granted any loans, or provided any guarantee or security as specified under Section 185 and 186 of the Companies Act, 2013. Further, the company has complied with the provisions of Section 186 of the Companies Act, 2013 in relation to the investments made.

5. The Company has not accepted any deposits or any amounts which are deemed to be deposits from the public and hence this clause is inapplicable.

6. According to the information and explanations given to us, the Central Government has not prescribed the maintenance of cost records under Section 148(1) of the Companies Act, 2013 for the products manufactured by it (and / or services provided by it). Accordingly, this clause is not applicable to the company.

7. a. According to the records of the company, the company is regular in depositing undisputed statutory dues including Goods and Services Tax, provident fund, employees state insurance, income-tax, sales-tax, service Tax, duty of customs, duty of excise, value added tax, cess and other statutory dues, to the extent applicable, with the appropriate authorities. According to the information and explanation given to us, no undisputed amounts payable in respect of the aforesaid dues were outstanding as at 31st March, 2026 for a period of more than six months from the date they became payable.

b. Statutory dues referred to in sub-clause (a) on account of dispute, if any, pending as at 31st March, 2026 are given below:

Nature of the Statute	Nature of dues	Forum where the dispute is pending	Period to which the amount relates	Amount (Rs in lakhs)
Income Tax Act, 1961	Income Tax	Commissioner of Income Tax (Appeals) - 20, Chennai	AY 2021-22 (FY 2020-21)	169.22
Income Tax Act, 1961	Income Tax	Commissioner of Income Tax (Appeals) - 20, Chennai	AY 2022-23 (FY 2021-22)	114.77
Goods and Services Tax Act, 2017	Goods and Services Tax	High Court,	FY 2023-24	1213.13
Goods and Services Tax Act, 2017	Goods and Services Tax	High Court,	FY 2024-25	1523.53
Goods and Services Tax Act, 2017	Goods and Services Tax	High Court,	FY 2025-26	440.33
Finance Act, 1994	Service Tax	CESTAT, Chennai	August, 2012 to March, 2015	43.97
Finance Act, 1994	Service Tax	Assistant Commissioner of Central Excise & GST, Erode.	April, 2015 to March, 2017	39.64

8. According to the information and explanations given to us and on the basis of our examination of the relevant records of the company, there are no unrecorded transactions in the books of account which have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (43of 1961).

9. On the basis of our examination of books of account and other relevant documents and according to the information and explanations given to us we report that:

(a) the company has not defaulted in repayment of loans or other borrowings or in the payment of interest thereon to any lender during the year.

(b) the company has not been declared as a wilful defaulter by any bank or financial institution or other lender.

(c) the term loans were applied for the purpose for which the loans were obtained.

(d) the funds raised on short term basis have not been utilised for long term purposes.

(e) the company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries, associates or joint ventures.

(f) the company has not raised loans during the year on the pledge of securities held in its subsidiaries, joint ventures or associate companies.

10. (a) The company during the year has not raised any money by way of initial public offer or further public offer (including debt instruments) and hence this clause is inapplicable to the company.

(b) The company has not made any preferential allotment or private placement of shares or convertible debentures (fully, partially or optionally convertible) during the year and and hence this clause is inapplicable to the company.

11. (a) According to the information and explanation given to us and from the audit procedures adopted by us, we are of opinion that, no fraud by the company or no fraud on the company has been noticed or reported during the year.

(b) Consequent to fraud not being noticed or reported during the year, no report under sub-section (12) of section 143 of the Companies Act has been filed by the auditors in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government.

(c)There is no whistle-blower complaints received during the year by the company;

12. The Company is not a “Nidhi company” and hence sub clauses (a) to (c) of this clause is inapplicable to the company.

13. According to the information and explanation given to us, and on the basis of verification of books of accounts & financial statements, we are of the opinion that all transactions with the related parties are in compliance with Section 177 and 188 of the Companies Act, 2013, and the details have been disclosed in the financial statements as required by the applicable accounting standards.

14. (a) The company has an internal audit system commensurate with the size and nature of its business.

(b) The reports of the Internal Auditors for the period under audit have been considered.

15. According to the information and explanation given to us and from our audit observation, we are of opinion that, the company has not entered into any non-cash transactions with its directors or persons connected with them and hence this clause is inapplicable to the company.

16. The company is not a Non-banking financial company and hence the company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934 and hence the requirement to get registered under Reserve Bank of India Act, 1934 does not arise. The company is also not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Hence sub clauses (a) to (d) of this clause is inapplicable to the company.

17. The company has not incurred any cash losses in the financial year and in the immediately preceding financial year.

18. There has not been any resignation of the statutory auditors during the year and hence this clause is inapplicable to the company.

19. On the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, other information accompanying the financial statements, the auditor's knowledge of the Board of Directors and management plans, we are of the opinion that no material uncertainty exists as on the date of the audit report and that the company is capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date.

20. On the basis of our examination of books of account and other relevant documents and according to the information and explanations given to us, we report that the company undertakes the CSR Activities through an Implementing Agency and requisite funds have been transferred to the Implementing Agency in accordance with Section 135 of the Act. Based on our examination of relevant records and on the information obtained, we report that there are no unspent amount relating to the Corporate Social Responsibility (CSR) provisions in accordance with Section 135 of the Act and hence the requirement to report under sub clauses (a) & (b) of this clause do not arise for consideration.

N.C. Rajagopal & Co.,
Chartered Accountants,
N.C.VIJAY KUMAR, PARTNER
Membership No : 208276
FRN : 003398S
UDIN : 26208276MVHSDS1825

Place :Erode
Date : 22.05.2026

STANDALONE BALANCE SHEET AS AT 31.03.2026

CIN : L01222TZ1995PLC006025

₹ Lakhs

Particulars	Note No.	As at 31.03.2026	As at 31.03.2025
I. Assets			
(1) Non-current assets			
(a) Property, Plant and Equipment			
(i) Own assets	3(a)	**15,763.94**	16,250.13
(ii) Right to Use Lease Assets	3(b)	**2,044.38**	2,537.44
(b) Capital work-in-progress	3(c)	**632.78**	46.80
(c) Financial Assets			
(i) Investments	4(a)	**983.45**	126.78
(ii) Loans	4(b)	**17.64**	16.20
(iii) Other Financial Assets	4(c)	**373.31**	318.06
(2) Current assets			
(a) Inventories	5	**11,604.03**	9,978.59
(b) Financial Assets			
(i) Investments	6(a)	**7,553.94**	620.13
(ii) Trade receivables	6(b)	**6,020.44**	2,799.50
(iii) Cash and cash equivalents	6(c)	**9,307.33**	14,620.86
(iv) Bank balances other than (iii) above	6(d)	**150.78**	130.03
(v) Other financial assets	6(e)	-	120.86
(c) Other current assets	7	**4,865.44**	1,011.99
Total Assets		**59,317.46**	48,577.38
II. EQUITY AND LIABILITIES			
EQUITY			
(a) Equity Share capital	8(a)	**2,633.00**	2,633.00
(b) Other Equity	8(b)	**36,963.11**	27,264.52
LIABILITIES			
(1) Non-current liabilities			
(a) Financial Liabilities			
(i) Borrowings	9(a)	**3,042.40**	3,845.14
(ia) Lease Liabilities - Non current	9(b)	**1,921.96**	2,330.47
(b) Provisions	10	**77.81**	18.52
(c) Deferred tax liabilities (Net)	11	**919.85**	806.96
(2) Current liabilities			
(a) Financial Liabilities			
(i) Borrowings	12(a)	**8,757.79**	8,410.90
(ia) Lease Liabilities	12(b)	**362.69**	336.82
(ii) Trade payables	12(c)		
(A) total outstanding dues of micro enterprises and small enterprises; and		**319.13**	164.04
(B) total outstanding dues of creditors other than micro enterprises and small enterprises.		**2,737.42**	2,005.84
(iii)Other financial liabilities	12(d)	**196.94**	130.03
(b) Other current liabilities	13	**808.55**	273.92
(c) Provisions	14	**576.83**	357.23
Total Equity and Liabilities		**59,317.46**	48,577.38

See accompanying Notes to the Financial Statements

For N.C.Rajagopal & Co.,
Chartered Accountants
N.C.VIJAY KUMAR
Partner
Membership No. : 208276
Firm Reg. No.: 003398S

Place : Erode
Date : 22.05.2026

FOR AND ON BEHALF OF THE BOARD

SKM MAEILANANDHAN
Executive Chairman & Whole Time Director

SKM SHREE SHIVKUMAR
Managing Director

K.S.VENKATACHALAPATHY
Chief Financial Officer
Membership No. : 029064

P. SEKAR
Company Secretary
Membership No.F10744

STANDALONE STATEMENT OF PROFIT AND LOSS FOR THE PERIOD ENDED 31.03.2026

CIN : L01222TZ1995PLC006025

₹ Lakhs

Particulars	Note No.	2025-26	2024-25
Revenue from operations	17	**76,679.85**	49,336.42
Other Income	18	**1,910.48**	1,403.80
Total Income		**78,590.33**	50,740.22
EXPENSES			
Cost of materials consumed	19	**43,674.10**	28,252.17
Purchases of Stock-in-Trade	20	**3,142.17**	2,320.67
Changes in inventories of finished goods,			
Stock-in -Trade and work-in-progress	21	**17.86**	1,427.10
Employee benefits expense	22	**3,467.69**	3,364.31
Finance costs	23	**1,472.85**	1,122.91
Depreciation and amortization expense	24	**3,922.84**	3,455.31
Other expenses	25	**9,311.68**	6,104.03
Total expenses		**65,009.20**	**46,046.49**
Profit/(loss) before tax		**13,581.14**	**4,693.73**
Tax expense:			
(1) Current tax	26(i)	**3,191.40**	1,034.81
(2) Deferred tax	26(ii)	**159.02**	147.21
Profit/(loss) for the period		**10,230.72**	**3,511.71**
Other Comprehensive Income			
(A) Items that will not be reclassified to Statement of Profit and loss			
(i) Re measurement of Defined Benefit Plans		**(43.75)**	51.22
(ii) Income tax relating to items that will not be reclassified to Statement of Profit and loss		**27.47**	-
(iii) Income tax relating to items that will not be reclassified to Statement of Profit and loss		**(4.10)**	12.89
(B) Items that will be reclassified to Statement of Profit and loss			
(I) Effective portion of cash flow hedge on derivative instruments		**(167.03)**	(335.32)
(ii) Income tax relating to items that will be reclassified to Statement of Profit and loss		**(42.04)**	(84.39)
Total Comprehensive Income for the year		**10,093.55**	**3,299.12**
Earning per equity share of face value Rs.5 each	27		
Basic (in Rs)		**19.43**	6.67
Diluted (in Rs)		**19.43**	6.67

See accompanying Notes to the Financial Statements

For N.C.Rajagopal & Co.,
Chartered Accountants
N.C.VIJAY KUMAR
Partner
Membership No. : 208276
Firm Reg. No.: 003398S
Place : Erode
Date : 22.05.2026

FOR AND ON BEHALF OF THE BOARD

SKM MAEILANANDHAN
Executive Chairman & Whole Time Director

SKM SHREE SHIVKUMAR
Managing Director

K.S.VENKATACHALAPATHY
Chief Financial Officer
Membership No. : 029064

P. SEKAR
Company Secretary
Membership No.F10744

SKM EGG PRODUCTS EXPORT (INDIA) LIMITED

STANDALONE STATEMENT OF CHANGES IN EQUITY

A. Equity Share Capital

₹ Lakhs

Balance at the beginning of the reporting period (i.e. 1st April, 2025)	Changes in equity share capital during the year 2025-26	Balance at the end of the reporting period (i.e. 31st March, 2026)
2,633.00	-	2,633.00
Balance at the beginning of the reporting period (i.e. 1st April, 2024)	**Changes in equity share capital during the year 2024-25**	**Balance at the end of the reporting period (i.e. 31st March, 2025)**
2,633.00	-	2,633.00

B. Other Equity

As on 31st March 2026

₹ Lakhs

Particulars	Reserves & Surplus				
	Securities Premium	General Reserve	Retained Earnings	Other Comprehensive Income	Total
Balance at the beginning of the reporting period (i.e. 1st April, 2025)	4.01	4.33	27,064.14	192.04	27,264.52
Total Comprehensive Income for the year	-	-	10,230.72	(137.17)	10,093.55
Dividends			(394.95)		(394.95)
Balance at the end of the reporting period (i.e. 31st March, 2026)	4.01	4.33	36,899.91	54.86	36,963.11

As on 31st March 2025

₹ Lakhs

Particulars	Reserves & Surplus				
	Securities Premium	General Reserve	Retained Earnings	Other Comprehensive Income	Total
Balance at the beginning of the reporting period (i.e. 1st April, 2024)	4.01	4.33	24,210.68	404.63	24,623.65
Total Comprehensive Income for the year	-	-	3,511.71	(212.60)	3,299.12
Dividends			(658.25)		(658.25)
Balance at the end of the reporting period (i.e. 31st March, 2025)	4.01	4.33	27,064.14	192.04	27,264.52

See accompanying Notes to the Financial Statements

FOR AND ON BEHALF OF THE BOARD

For N.C.Rajagopal & Co.,
Chartered Accountants
N.C.VIJAY KUMAR
Partner
Membership No. : 208276
Firm Reg. No.: 003398S

SKM MAEILANANDHAN
Executive Chairman & Whole Time Director

K.S.VENKATACHALAPATHY
Chief Financial Officer
Membership No. : 029064

SKM SHREE SHIVKUMAR
Managing Director

P. SEKAR
Company Secretary
Membership No.F10744

Place : Erode
Date : 22.05.2026

STANDALONE CASH FLOW STATEMENT FOR THE PERIOD FROM 1ST APRIL, 2025 TO 31ST MARCH, 2026

₹ Lakhs

Particulars	2025-2026	2024-2025
CASH FLOW FROM OPERATING ACTIVITIES:		
Net Profit Before Tax as per Statement of Profit and Loss	**13,581.14**	4,693.73
Adjusted for:		
Depreciation	**1,555.09**	1,376.95
Financial Cost	**1,472.85**	1,122.91
(Profit) / Loss on Sale of Assets	**(0.84)**	(2.06)
(Profit) / Loss on Sale of Investments	**(4.04)**	-
Unrealised (Gain) / Loss on Sale of Investments	**3.04**	(47.14)
Gain or Loss on Assets withdrawal	**(1.06)**	-
Gain or Loss on Lease Termination	**(5.05)**	-
Asset Retirement by Scrapping (write-off)	**144.04**	-
Interest income	**(1,052.72)**	(1,034.62)
Operating profit before Working capital changes	**15,692.43**	6,109.76
Adjusted for:		
Trade & Other Receivables	**(7,010.23)**	1,217.03
Inventories	**(1,625.44)**	1,035.54
Trade & Other Payables	**1,556.31**	(921.57)
Cash Generated from Operations	**8,613.08**	7,440.76
Taxes Paid (Net)	**(3,191.40)**	(1,034.81)
Net Cash from / (used in) Operating Activities - A	**5,421.69**	**6,405.95**
CASH FLOW FROM INVESTING ACTIVITIES:		
Purchase of Fixed Assets	**(1,423.56)**	(3,312.92)
Purchase of Current Investments	**(8,055.75)**	0.00
Sale of Current Investments	**293.75**	-
Sale of Fixed Assets	**67.65**	8.75
Interest income	**1,052.72**	1,034.62
Net Cash from / (used in) Investing Activities - B	**(8,065.19)**	**(2,269.55)**
CASH FLOW FROM FINANCING ACTIVITIES:		
Long Term Borrowings	**(866.82)**	(237.26)
Financial Cost (excluding Interest on lease Liability)	**(1,246.74)**	(1,004.96)
Lease Liability paid	**(551.74)**	(534.25)
Dividend paid	**(394.95)**	(658.25)
Net Cash Flow from / (used in) Financing Activities - C	**(3,060.25)**	**(2,434.71)**
Net Increase / (Decrease) in Cash and Cash equivalents	**(5,703.75)**	1,701.69
Opening Cash & Cash Equivalents	**7,209.44**	5,507.75
Closing Cash & Cash Equivalents	**1,505.69**	7,209.44

1. Cash and cash equivalents include cash on hand, in banks and demand deposits with banks, net of outstanding bank overdrafts that are repayable on demand and are considered part of the Company's cash management system. Also refer note number 6(c) & 6(d).
2. The above cashflow statement has been prepared following the indirect method as set out in Ind AS-7.

FOR AND ON BEHALF OF THE BOARD

For N.C.Rajagopal & Co.,
Chartered Accountants
N.C.VIJAY KUMAR
Partner
Membership No. : 208276
Firm Reg. No.: 003398S

SKM MAEILANANDHAN
Executive Chairman & Whole Time Director

SKM SHREE SHIVKUMAR
Managing Director

K.S.VENKATACHALAPATHY
Chief Financial Officer
Membership No. : 029064

P. SEKAR
Company Secretary
Membership No.F10744

Place : Erode
Date : 22.05.2026

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

1. GENERAL INFORMATION & COMPANY BACKGROUND

SKM Egg Products Export India Limited ("the company") is a public listed company incorporated and domiciled in India.

The address of its registered office is No.133, 133/1, Gandhiji Street, Erode - 638001 and the address of the principal place of business is Cholangapalayam, Erode which addresses are also disclosed in the introduction to the annual report. The Company has its primary listing with Bombay Stock Exchange and National Stock Exchange in India.

The Company is an Export Oriented Undertaking engaged in the production and sale of eggs and manufacture and sale of Egg Products. The company's revenue is mainly on account of export of egg products.

SIGNIFICANT ACCOUNTING POLICIES:

BASIS OF PREPARATION AND PRESENTATION:

The financial statements have been prepared on the historical cost basis except for the following assets and liabilities which have been measured at fair value amount :

i) Certain financial assets and liabilities (including derivative instruments)

ii) Defined benefit plans - plan assets

Historical cost is generally based on the fair value of the consideration given in exchange for goods and services. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. All assets and liabilities have been classified as current and non-current as per the Company's normal operating cycle. Based on the nature of transactions involving sale of goods to customers and time elapsed between deployment of resources and the realisation in cash and cash equivalents, the Company has considered an operating cycle of 12 months.

STATEMENT OF COMPLIANCE:

These financial statements have been prepared in accordance with Indian Accounting Standards ('Ind AS'), notified under Section 133 of the Companies Act, 2013 (the Act), read with the Companies (Indian Accounting Standards) Rules, 2015 and other relevant provisions of the Act.

Effective April 1, 2017, the Company has adopted all the applicable Ind AS Standards and the adoption was carried out in accordance with Ind AS 101, First Time adoption of Indian Accounting Standards, with April 1, 2016 as the transition date. The transition was carried out from Indian Accounting Principles Generally Accepted in India (Indian GAAP), as prescribed under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014 (Indian GAAP), which was the previous GAAP.

Accounting Policies have been consistently applied except where a newly issued Accounting Standard is initiallty adopted or a revision to an existing Accounting Standard requires a change in the Accounting Policy hitherto adopted.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

FUNCTIONAL AND PRESENTATION CURRENCY

The financial statements are presented in Indian rupees, the national currency of India, which is the functional currency of the company.

Figures are rounded off to the nearest lakhs with two decimal places.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Inventories

Inventories are valued in line with Ind AS 2 - Inventories. Items of inventories are measured at lower of cost and net realisable value after providing for obsolescence, if any, except in case of by-products which are valued at net realisable value. Cost of inventories comprises of cost of purchase, cost of conversion and other costs including manufacturing overheads net of recoverable taxes incurred in bringing them to their respective present location and condition. The formula used for arriving at the cost for various items of inventories are as follows:

i)	Raw materials	-	Weighted Average Cost
ii)	Packing Materials	-	Weighted Average Cost
iii)	Additives	-	Weighted Average Cost
iv)	Stores & Spares	-	Weighted Average Cost
v)	Semi-finished goods	-	Weighted Average Cost
vi)	Finished goods	-	Weighted Average Cost
vii)	Livestock	-	Weighted Average Cost

Livestocks of the company comprises live birds reared primarily for eggs. Initially Live birds (Chicks) are purchased and grown by the company. After a particular period, the bird enters the stage of grower, in which stage, the bird attains its full growth but is yet to lay eggs. Once, the live bird is fully grown and starts laying eggs, these birds enter the layer stage and are categorized as layer birds. The useful life of the birds will start only from the stage it starts laying eggs.The useful life of the layer birds are normally one year or less than a year, after which the layer birds would become devoid of the egg laying ability and are culled from the flock and the birds so culled are sold as scrap (culled birds).

As the birds are reared by the company for eggs, the live birds are bearer biological assets and are outside the scope of Ind AS 41 and need to be accounted as per Ind AS 16 - Property, Plant, and Equipment. However, since the useful life of the layer bird is comparitively small (one year or less in most cases) for it to be categorized under Ind AS 16 (PPE), live birds at chick stage, grower stage and the unamortized value of layer birds are categorized under Ind AS 2 - inventories. Although layer birds are living animals and contribute to future economic benefits through egg production, they are primarily part of the Company's integrated production process. Accordingly, the Company treats layer birds as inventory under Ind AS 2 – Inventories, recognized at cost. This approach reflects the substance of the transactions and provides more reliable and relevant financial information.

Ind AS 2 - Inventories applies to agricultural produce after harvest. Eggs are therefore valued in line with Ind AS 2 - Inventories.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

Paragraph 30 of Ind AS 41 states as follows:

There is a presumption that fair value can be measured reliably for a biological asset. However, that presumption can be rebutted only on initial recognition for a biological asset for which quoted market prices are not available and for which alternative fair value measurements are determined to be clearly unreliable. In such a case, that biological asset shall be measured at its cost less any accumulated depreciation and any accumulated impairment losses. Once the fair value of such a biological asset becomes reliably measurable, an entity shall measure it at its fair value less costs to sell.

Reason why a reliable estimate of the fair value of the birds cannot be made:

The livestock contains birds of numerous phases ranging from day old chicks, to layer birds of various stages within a year. The fair value of layer birds is not reliably measurable due to variability in age, health, productivity, and market prices. Also, as the birds are reared for eggs and not for their meat, the fair value or marketability of the layer birds does not hold much relevance for the company, (although old and aged birds are culled from the flock and sold as scrap birds, after the birds stop laying eggs) and only the extraction of eggs from the layer birds is relevant to the business of the company. Any attempt to prematurely assess fair value of the biological assets is bound to portray a distorted financial position of the company with respect to the livestock. Hence, having regard to the facts and the impracticalities attached with assessing the fair value of the same, a reliable estimate of the live birds cannot be made and are valued at cost and are held under inventories.

Valuation of livestock:

a.) The livestock is valued on the basis of purchase cost of birds with loaded expenses upto the stage of birds attaining layer stage. The accumulated costs are amortized over the period of the layer birds after it starts laying eggs based on the number of eggs laid by the birds.

b.) Culled birds are valued at market price or net realisable value. The cost is considered in respect of live and culled birds, after taking into account the mortality of the birds.

Revenue Recoginition

Revenue from sale of goods is recognised when the significant risks and rewards of ownership have been transferred to the buyer, recovery of the consideration is probable, the associated cost can be estimated reliably, there is no continuing effective control or managerial involvement with the goods, and the amount of revenue can be measured reliably.

Revenue from sale of goods is meaured at the fair value of consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duties collected on behalf of the government.

Revenue is recognised and expenditure is accounted for on their accrual

Sales of Finished goods, Eggs, Birds & Feeds are recognised on accrual basis and are accounted for in the books of accounts on the dates on which the goods are actually despatched from the Factory, Farm, Feedmill respectively.

Interest Income :

Interest income from a financial asset is recognised using effective interest rate method.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

Dividend Income :

Revenue on account of dividend income recognised when the Company's right to receive the payment has been established.

Government grants / assistance :

Revenue from grants, subsidies or government assistance in any form are recognised when the Company's right to receive the payment has been established.

Grants from the Government are recognized at their fair market value where there is a reasonable assurance that the grant will be received and the company will comply with all attached conditions. Government grants receivable as compensation for expenses or financial support are recognized in profit or loss of the period in which it becomes available.

Government grants relating to the purchase of property, plant and equipment are shown by way of reduction from the value of the Property, plant & equipment in accordance with Ind AS 20 - Accounting for Government Grants and Disclosure of Government Assistance.

Finance Cost

Borrowing costs include exchange differences arising from foreign currency borrowings to the extent they are regarded as an adjustment to the interest cost. Borrowing costs that are directly attributable to the acquisition or construction of qualifying assets are capitalised as part of the cost of such assets. A qualifying asset is one that necessarily takes substantial period of time to get ready for its intended use.

Interest income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

All other borrowing costs are charged to the Statement of Profit and Loss for the period for which they are incurred.

Leases

The Company, as a lessee, recognises a right of use asset and a lease liability for its leasing arrangements, if the contract conveys the right to control the use of an identified asset.

The contract conveys the right to control the use of an identified asset, if it involves the use of an identified asset and the Company has substantially all of the economic benefits from use of the asset and has right to direct the use of the identified asset. The cost of the right of use asset shall comprise of the amount of the initial measurement of the lease liability adjusted for any lease payments made at or before the commencement date plus any initial direct costs incurred. The right-of-use assets is subsequently measured at cost less any accumulated depreciation, accumulated impairment losses, if any and adjusted for any remeasurement of the lease liability. The right-of-use assets is depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset.

The Company measures the lease liability at the present value of the lease payments that are not paid at the commencement date of the lease. The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Company uses incremental borrowing rate.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

Lease liability and ROU asset are separately presented in the Balance Sheet and lease payments are classified as financing cash flows. At the date of commencement of the lease, the Company recognizes a right-of-use ("ROU") asset representing its right to use the underlying asset for the lease term and a lease liability for all lease arrangements in which it is a lessee except for leases with a term of 12 months or less (short term leases) and leases for which the underlying assets is of low value. For short-term and low value leases, the Company recognises the lease payments as an operating expense on a straight-line basis over the lease term.

Earnings Per Share

Basic earnings per share is calculated by dividing the net profit after tax by the weighted average number of equity shares outstanding during the year. Diluted earnings per share adjusts the figures used in determination of basic earnings per share to take into account the conversion of all dilutive potential equity shares. Since the company does not have any potential equity shares, the basic earnings per share and diluted earnings per share are the same for the company.

Provisions

Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event, if it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

Tax Expenses:

The tax expense for the period comprises current and deferred tax. Tax is recognised in Statement of Profit and Loss, except to the extent that it relates to items recognised in the comprehensive income or equity. In which case, the tax is also recognised in other comprehensive income or equity.

Current tax:

Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities based on the tax rates that are enacted or substantively enacted at the Balance Sheet date.

The current income tax expense includes income taxes payable by the Company and its branch in overseas. The current tax payable by the Company in India is the Indian income tax payable on income earned in India and from overseas branch. Current income tax payable by overseas branch of the Company is computed in accordance with the tax laws applicable in the jurisdiction in which the respective branch operates. The taxes paid are generally available for set off against the Indian income tax liability of the Company's worldwide income.

Advance taxes and provisions for current income taxes are presented in the balance sheet after off-setting advance tax paid and income tax provision arising in the same tax jurisdiction and where the relevant tax paying unit intends to settle the asset and liability on a net basis.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

Deferred Tax:

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. The carrying amount of Deferred tax liabilities and assets are reviewed at the end of each reporting period.

Cash Flow Statements

Cash Flow Statement has been prepared under “Indirect Method”. For the purposes of the cash flow statement, cash and cash equivalents include cash on hand, in banks and demand deposits with banks, net of outstanding bank overdrafts that are repayable on demand and are considered part of the Company’s cash management system. In the balance sheet, bank overdrafts are presented under borrowings within current liabilities.

Property, plant & equipment:

Property, plant & equipment are stated at cost, net of recoverable taxes, trade discount and rebates less accumulated depreciation and impairment losses, if any. Such cost includes purchase price, borrowing cost and any cost directly attributable to bringing the assets to its working condition for its intended use, net changes on foreign exchange contracts and adjustments arising from exchange rate variations attributable to the assets.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the entity and the cost can be measured reliably.

Expenses incurred relating to project, net of income earned during the project development stage prior to its intended use are considered as pre-operative expenses and disclosed under Capital Work-in-progress

Depreciation on property, plant & equipment is provided on straight line method as per the useful life prescribed in Schedule II of the Companies Act 2013, except for imported plant & machinery for which the useful life has been taken based upon the technical evaluation by the expert committee on the useful life of the assets. In respect of assets added/adjusted during the year, depreciation is provided on pro-rata basis.

The residual values, useful lives and method of depreciation of property, plant & equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

Gains or losses arising from derecognition of a property, plant & equipment are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Profit and Loss when the asset is derecognised.

Foreign currencies transactions and translation:

Transactions in foreign currencies are recorded at the exchange rate prevailing on the dates of transaction. Monetary assets

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

and liabilities denominated in foreign currencies are translated at the functional currency closing rates of exchange at the reporting rate.

Exchange differences arising on settlement or translation of monetary items are recognised in Statement of Profit and Loss except to the extent of exchange differences which are regarded as an adjustment to interest costs on foreign currency borrowings that are directly attributable to the acquisition or construction of qualifying assets, are capitalized as cost of assets.

Non-monetary items that are measured in terms of historical cost in a foreign currency are recorded using exchange rates at the date of transaction. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was measured. The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with recognition of the gain or loss on the change in fair value of the item (i.e., translation differences on items whose fair value gain or loss is recognised in OCI or Statement of Profit and Loss are also recognised in OCI or Statement of Profit and Loss, respectively.

Employee Benefits Expense:

Short Term Employment Benefits:

The undiscounted amount of short term employee benefits expected to be paid in exchange for the services rendered by employees are recognised as an expense during the period when the employees render the services.

Post-Employment Benefits:

Defined Contribution Plans:

A defined contribution plan is a post-employment benefit plan under which the company pays specified contributions to the specific entity. The company makes specified monthly contributions towards Provident Fund and Pension Scheme. The company's contribution is recognised as an expense in the Statement of Profit and Loss during the period in which the employee renders the related service.

Defined benefit plans:

The gratuity liability amount is contributed to the gratuity fund approved by the respective IT authorities. The present value of the obligation is determined based on actuarial valuation using the Projected Unit credit method, which recognizes each period of service as giving rise to additional unit of employee benefit entitlement and measures each unit separately to build up the final obligation.

The estimates of rate of escalation in salary considered in actuarial valuation, take into account inflation, seniority, promotion and other relevant factors including supply and demand in the employment market.

Impairment of non-financial assets - property, plant and equipment:

The company assesses at each reporting date as to whether there is any indication that any property, plant and equipment or group of assets, called cash generating units (CGU) may be impaired. If any such indication exists, the recoverable amount of an asset or CGU is estimated to determine the extent of impairment, if any. When it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the CGU to which the asset belongs.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

An impairment loss is recognised in the Statement of Profit and Loss to the extent, asset's carrying amount exceeds the recoverable amount. The recoverable amount is the higher of an asset's fair value less cost of disposal and value in use. Value in use is based on the estimated future cash flows, discounted to their present value using pre-tax discount rate that reflects current market assessments of the time value of money and risk specific to the assets. The impairment loss recognised in prior accounting period is reversed if there has been a change in the estimate of recoverable amount.

Events after the reporting period

Where events occurring after the Balance Sheet date provide evidence of conditions that existed at the end of the reporting period, the impact of such events is adjusted within the financial statements. Otherwise, events after the Balance Sheet date of material size and of nature are only disclosed.

CRITICAL ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

The preparation of the company's financial statement requires management to make judgement, estimates and assumptions that affect the reported amount of revenue, expenses, assets and liabilities and the accompanying disclosures. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Depreciation / amortisation and useful lives of property, plant and equipment and Livestock:

Property, plant and equipment / Livestock are depreciated / amortised over their estimated useful lives, after taking into account estimated residual value. Management reviews the estimated useful lives and residual values of the assets annually in order to determine the amount of depreciation / amortisation to be recorded during any reporting period. The useful lives and residual values are based on the company's historical experience with similar assets and take into account anticipated technological changes. The depreciation / amortisation for the future periods is revised if there are significant changes from previous estimates.

Recoverability of trade receivable:

Judgements are required in assessing the recoverability of overdue trade receivables and determining whether a provision against those receivables is required. Factors considered include the credit rating of the counterparty, the amount and timing of anticipated future payments and any possible actions that can be taken to mitigate the risk of non-payment.

Provisions:

Provisions and liabilities are recognized in the period when it becomes probable that there will be a future outflow of funds resulting from past operations or events and the amount of cash outflow can be reliably estimated. The timing of recognition and quantification of the liability requires the application of judgement to existing facts and circumstances, which can be subject to change. The carrying amounts of provisions and liabilities are reviewed regularly and revised to take account of changing facts and circumstances.

Impairment of non-financial assets:

The company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, the company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

Cash Generating Units (CGU's) fair value less costs of disposal and its value in use. It is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or a group of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account, if no such transactions can be identified, an appropriate valuation model is used.

Impairment of financial assets:

The impairment provisions for financial assets are based on assumptions about risk of default and expected cash loss rates. The company uses judgement in making these assumptions and selecting the inputs to the impairment calculation, based on company's past history, existing market conditions as well as forward looking estimates at the end of each reporting period.

Accounting for Government Grants and Disclosure of Government Assistance:

The Government Grants are accounted in line with IND AS 20 - "Accounting for Government Grants and Disclosure of Government Assistance".

Unfulfilled conditions and other contingencies attaching to government assistance that has been recognised - Nil.

The grant was received towards the acquisition of PPE (Property, Plant & equipments) during the years spanning from 2018-19 to 2020-21 and accordingly treated as a capital grant and adjusted against the cost. The value of Property, Plant & Equipments is disclosed net of government grants received from MOFPI (Ministry of Food Processing Industries) of Rs.488.72 lakhs.

APPROVAL OF FINANCIAL STATEMENTS:

The Financial Statements were approved for issue by the board of directors at their meeting held on 22.05.2026.

DETAILS OF LOANS GIVEN, INVESTMENTS MADE AND GUARANTEE GIVEN COVERED UNDER SECTION 186(4) OF THE COMPANIES ACT 2013

i) Loans given - Nil

ii) Investments made

Particulars	No of Shares	Value
SKM Europe BV Netherlands - Subsidiary Company	15,300	Euros 15,300
SKM Universal Marketing Company India Private Limited - Associate Company	7,89,700	Rs.78,70,000

iii) Corporate Guarantees - Nil

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

Income Taxes:

During the financial year 2021-22, a search operation was carried out by the Investigation Wing, Chennai on the company. The search related assessment for the AY 2021-22 & AY 2022-23 was completed and a demand of Rs. 211.53 lakhs & 143.46 lakhs was raised in the said assessment. Out of this, 20% of the demand had been paid as on date and appeal had been preferred with Commissioner of Income Tax (Appeals) - 20, Chennai against the Assessment order passed by the Assessing Offficer. Presently demand of Rs.169.22 lakhs (for AY 2021-22) & Rs.114.77 lakhs (for AY 2022-23) respectively is outstanding for the above cited years. Since the company is confident of coming out successful in the Appeals as per the advice taken from the legal experts, no provision have been made in the books for the said income tax liability and disclosed as a contingent liability.

For the assessment year 2013-14, certain amount was disallowed in the assessment, which has the effect of reducing the loss by of Rs.359.67 lakhs which disallowance was also upheld by the Commissioner of Income Tax (Appeals). Subsequently, the company has preferred appeal against the order of the CIT (Appeals), wherein the honourable ITAT has granted relief to the extent of 340.02 lakhs. Consequently, the loss of the year amounting to Rs.340.02 lakhs was restored. The giving effect order for the said appellate order is passed by the Assessing officer.

For the assessment year 2014-15, the company has opted to discharge the tax liability under Vivad Se Viswas Scheme after withdrawing the appeal filed for the year. As a result of this, the interest liability to the extent of 80.66 lakhs had been waived off. As the tax paid for the assessment year 2014-15 is under MAT provisions of the Income Tax Act, the amount paid is eligible for set off in the subsequent years against the tax liability under normal provisions of the Income Tax Act,1961. Therefore, the company is eligible for refund of the income tax paid in the assessment year 2014-15 in the subsequent years along with applicable interest. Hence, effectively there is no tax liabilty for the AY 2014-15.

Consequent to the giving effect orders passed for AY 2013-14 & 2014-15, there is refund aggregating to Rs.426.83 (including interest) in the subsequent years, out of which Rs.236.94 lakhs have been received and Rs.189.89 lakhs is to be received as income tax refund.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

2. CONTINGENT LIABILITIES & COMMITMENTS:

₹ Lakhs

Particulars	As at 31.03.2026	As at 31.03.2025
(a) Claims against the company / disputed liabilities not acknowledged as debts:		
i) Income Tax Liability	283.99	283.99
ii) Service Tax Liability	83.61	83.61
iii) Goods and Service Tax Liability	3,176.99	-
iv) Claims made against the company	15.49	55.08
(b) Other money for which the Company is contingently liable:		
i) Liability in respect of bills discounted with banks	3,306.01	1,206.13

No provision has been made in respect of the above demand of Income Tax, Service Tax and Goods and Service Tax for which the company has filed appeals with various Higher Appellate Forums, against the orders of the Lower Authorities since the company is confident of coming out successful in the Appeals as per the advice taken from the legal experts.

Also no provision has been made in respect of the claims made against the company since the company has filed appeal in the High Court against the claims made and the company is confident of coming out successful in the said appeal as per the advice taken from the legal experts.

03. PROPERTY, PLANT & EQUIPMENT

₹ Lakhs

S. No.	Particulars	Gross Block				Depreciaton				Net Block	
		01.04.2025	Addition during the year	Deduction during the year	31.03.2026	01.04.2025	Depreciation for the year	Deduction / Adjustment during the year	31.03.2026	31.03.2026	31.03.2025
(a)	**Tangible Assets**										
	(Own assets)										
	Land	493.97	82.66	-	576.63	-	-	-	-	576.63	493.97
	Building	9,374.06	116.79	366.39	9,124.46	2,404.27	293.35	189.32	2,508.30	6,616.16	6,969.79
	Plant & Machinery	15,295.17	37.25	158.33	15,174.09	7,896.19	539.53	126.91	8,308.82	6,865.27	7,398.98
	Electrical Installation and equipments	1,016.02	50.20	2.60	1,063.63	720.91	38.12	2.08	756.95	306.67	295.11
	Lab Equipment	466.24	6.26	-	472.50	387.40	8.25	-	395.65	76.86	78.85
	Office Equipment	229.04	152.51	-	381.55	177.93	31.07	-	209.01	172.54	51.10
	Computers	486.93	23.13	0.65	509.42	392.47	44.31	0.65	436.13	73.28	94.46
	Furniture & Fixtures	141.14	2.49	-	143.63	109.62	4.64	-	114.26	29.37	31.52
	Motor Vehicles	1,357.07	366.29	10.06	1,713.30	520.73	154.70	9.28	666.15	1,047.16	836.34
	SUB TOTAL (a)	28,859.64	837.58	538.02	29,159.21	12,609.52	1,113.98	328.23	13,395.27	15,763.94	16,250.13
(b)	**Tangible Assets**										
	(Right to Use Assets)										
	Plant & Machinery	4,242.99	-	87.81	4,155.18	1,705.55	441.11	35.86	2,110.80	2,044.38	2,537.44
	SUB TOTAL (b)	4,242.99	-	87.81	4,155.18	1,705.55	441.11	35.86	2,110.80	2,044.38	2,537.44
(c)	**Capital Work-in-progress**										
	Plant & Machinery	8.02	193.32	28.42	172.92	-	-	-	-	172.92	8.02
	Others	38.78	1,016.83	595.75	459.86			-		459.86	38.78
	SUB TOTAL (C)	46.80	1,210.15	624.18	632.78	-	-	-	-	632.78	46.80
	Total (a+b+c) (Current Year)	**33,149.44**	**2,047.74**	**1,250.01**	**33,947.17**	**14,315.07**	**1,555.09**	**364.09**	**15,506.07**	**18,441.10**	**18,834.37**
	(Previous Year)	27,775.20	12,095.89	6,721.65	33,149.44	12,959.12	1,376.95	21.01	14,315.07	18,834.37	14,816.08

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

Depreciation:

Depreciation has been provided under Straight Line Method on the basis of useful lives prescribed under Schedule II of the Companies Act, 2013, except for the Imported Plant & Machinery, whose useful life is different from that prescribed in Schedule II of the Companies Act, 2013 and its useful life is adopted on the basis of engineering & other expert guidance and depreciated accordingly as follows:

Imported Plant & Machinery acquired upto 31.03.2007	Useful life - 25 years
Imported Plant & Machinery acquired from 01.04.2007 to 31.03.2015	Useful life - 20 years

Impairment of Assets :

The recoverable amount of the CGU is determined on the basis of Fair Value less Cost of Disposal (FVLCD). The FVLCD of the CGU is determined based on the market capitalization approach, using the turnover and earnings multiples derived from observable market data. The fair value measurement is categorized as a level 3 fair value based on the inputs in the valuation techniques used.

Based on the above, no impairment was identified as of March 31, 2026 and 2025 as the recoverable value of the CGUs exceeded the carrying value. Further, none of the CGU's tested for impairment as of March 31, 2026 and 2025 were at risk of impairment. An analysis of the calculation's sensitivity to a change in the key parameters (revenue growth, operating margin, discount rate and long-term growth rate) based on reasonably probable assumptions, did not identify any probable scenarios where the CGU's recoverable amount would fall below its carrying amount.

Mortgage / Charge on Property, plant & equipments:

Plant & Machinery are under the first charge on account of the Term Loan with banks.
The property, plant & equipments are under the second charge for short term borrowings with banks.

Government Grants:

The value of property, plant & equipments is disclosed net of government grants received from MOFPI (Ministry of Food Processing Industries) of Rs.488.72 Lakhs during 2018-19 to 2020-21.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

₹ Lakhs

Particulars	As at 31.03.2026	As at 31.03.2025
04 (a) INVESTMENTS		
Investment measured at cost:		
In equity shares of subsidiary company:		
SKM Europe BV , The Netharlands of Euro 1 each		
Number of Units (Absolute Numbers)	15,300	15,300
Value (Rs)	8.33	8.33
In equity shares of associate company:		
SKM Universal Marketing Company India Private Limited of Rs.10 each		
Number of Units (Absolute Numbers)	7,89,700	7,89,700
Value (Rs)	975.12	118.46
Classification based on market:		
Aggregate amount of quoted investments	-	-
Aggregate amount of unquoted investments	983.45	126.78
Classification based on measurement:		
Investment measured at cost	8.33	126.78
Investment measured at amortised cost	-	-
Investment measured at fair value	975.12	-
Total	**983.45**	**126.78**

The details of subsidiary & associate along with proportion of ownership interest held and country of incorporation are disclosed below:

Name of the subsidiary/associate	Country of Incorporation	Proportion of ownership interest
SKM Europe BV	Netherlands	85%
SKM Universal Marketing Company India Private Limited	India	26%

Particulars	As at 31.03.2026	As at 31.03.2025
04 (b) LOANS (UNSECURED AND CONSIDERED GOOD)		
Advances	17.64	16.20
Total	**17.64**	**16.20**
04 (c) OTHER FINANCIAL ASSETS - NON CURRENT		
Security Deposits	238.41	179.19
Rental Caution Deposits	134.89	138.86
Corpus Fund	-	-
Total	**373.31**	**318.06**

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

₹ Lakhs

Particulars	As at 31.03.2026	As at 31.03.2025
05. INVENTORIES		
Raw Material, additives & packing materials	3,622.78	1,810.91
Finished Goods	4,487.08	4,485.97
Stock in Trade	11.52	30.49
Stores and spares & consumables	547.27	517.67
Livestock - Birds	2,935.37	3,133.55
Total	**11,604.03**	**9,978.59**
06 (a) INVESTMENTS		
Investment measured at Fair value:		
In mutual funds		
Number of Units (Absolute Numbers)	1,66,62,597	6,08,392
Value (Rs)	7,553.94	620.13
Classification based on market:		
Aggregate amount of quoted investments	7,553.94	620.13
Aggregate amount of unquoted investments	-	-
Classification based on measurement:		
Investment measured at Fair value	7,553.94	620.13
Total	**7,553.94**	**620.13**
06 (b) TRADE RECEIVABLES		
(a) Trade Receivables considered good - Secured	-	-
(b) Trade Receivables considered good - Unsecured	6,020.44	2,799.50
(c) Trade Receivables which have significant increase in Credit Risk and	-	-
(d) Trade Receivables - credit impaired	-	-
Total	**6,020.44**	**2,799.50**

1. Trade receivables are netted with Bill discounting of Rs.3,306.01 Lakhs (Previous year Rs.1,206.13 Lakhs)
2. Trade receivables ageing schedule is given in Annexure no.6(b)(I)

06 (c) CASH AND CASH EQUIVALENTS		
Balances with banks		
Current Accounts	1,114.47	487.23
Demand deposits	8,162.64	14,114.04
Cash on hand	30.23	19.59
Sub Total	**9,307.33**	**14,620.86**

Demand deposits includes Bank Guarantee of Rs.71.34 Lakhs (Previous year Rs.69.62 Lakhs)

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

₹ Lakhs

Particulars	As at 31.03.2026	As at 31.03.2025
06 (d) BANK BALANCES OTHER THAN ABOVE		
Balances with banks - Unclaimed dividend		
Current Accounts	150.78	130.03
Sub Total	150.78	130.03
Total	**9,458.11**	**14,750.90**

The Company's cash and cash equivalents consist of cash on hand and in banks and demand deposits with banks, which can be withdrawn at any time, without prior notice and without penalty on the principle.

For the purposes of the cash flow statement, cash and cash equivalents include cash on hand, in banks, demand deposits with banks and net of outstanding bank overdrafts that are repayable on demand and are considered part of the Company's cash management system. In the balance sheet, bank overdrafts are presented under borrowings within current liabilities.

Cash and Cash equivalents consists of the following for the purpose of cash flow statement:		
Cash and Cash equivalents	9,458.11	14,750.90
Bank Overdrafts	(7,952.42)	(7,541.46)
Total	**1,505.69**	**7,209.44**
06 (e) OTHER FINANCIAL ASSETS - CURRENT		
Subsidies receivable & Income accrued on deposits	-	-
Forward contracts - Asset	-	120.86
Total	**-**	**120.86**
07. OTHER CURRENT ASSETS		
Input Tax Credit and Tax Refund receivables	562.01	459.77
Staff Advances	19.94	16.22
Trade Advances	3,904.10	184.46
Prepaid Expenses	124.88	136.74
Others	254.52	214.81
Total	**4,865.44**	**1,011.99**
08 (a) EQUITY SHARE CAPITAL		
Authorised Capital:		
6,00,00,000 Equity Shares of Rs. 5/- each	3,000.00	3,000.00
(Previous year 3,00,00,000 Equity Shares of Rs. 10/- each)		
Issued, Subscribed & Paid-up:		
526,60,000 equity Shares of Rs. 5/- each each fully paid-up	2,633.00	2,633.00
(Previous year 263,30,000 Equity Shares of Rs.10/- each)		
Total	**2,633.00**	**2,633.00**
Reconciliation of the number of shares outstanding is set out below:	**As at 31.03.2026**	**As at 31.03.2025**
Equity Shares:	No. of Shares	No. of Shares
At the beginning of the year	2,63,30,000	2,63,30,000
Changes during the year on account of stock split (1:2)	2,63,30,000	-
At the end of the year	5,26,60,000	2,63,30,000

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

₹ Lakhs

On 15.12.2025, the Board of Directors approved a 2 for 1 stock split of the Company's equity shares. Shareholders of record on 12.01.2026, received one additional share for every share held. As a result, the authorized share capital was adjusted to 6,00,00,000 shares of Rs.5 each & the equity shares of the Company were split from 1 share with face value of Rs.10 each to 2 shares with face value of Rs.5 each. Consequently, the paid-up capital of 2,63,30,000 shares of Rs.10 each now stands as 5,26,60,000 shares of Rs.5 each.

Terms, Rights, preferences and restrictions:

(i) The company has one class of equity shares having par value of Rs.5 each. Each share holder is eligible for one vote per share held and carry a right to dividend. In the event of liquidation, the equity share holders are eligible to receive the remaining assets of the company after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

(ii) There are no restrictions attached to equity shares

Particulars	As at 31.03.2026	As at 31.03.2025
Details of shareholders holding more than 5% shares:		
Name of the Share Holders		
SKM Shree Shivkumar		
No of Equity Shares Held as on Balance sheet dt.	2,39,92,278	1,14,50,139
% of Holdings	45.56%	43.49%
Tamilnadu Industrial Development Corporation Limited		
No of Equity Shares Held as on Balance sheet dt.	39,91,600	19,95,800
% of Holdings	7.58%	7.58%
Total No of Equity Shares	5,26,60,000	2,63,30,000
Face value of Equity shares	5	10
08 (b) OTHER EQUITY		
Securities Premium Account :		
Opening Balance	4.01	4.01
Add : Collected during the year	-	-
less: Written back	-	-
Closing Balance	4.01	4.01
General Reserve:		
Opening Balance (Revenue Reserve)	4.33	4.33
Add : Current year transfer	-	-
less: Written back	-	-
Closing Balance	4.33	4.33
Retained Earnings:		
Opening Balance	27,064.14	24,210.68
Add: Current Year Balance before appropriation	10,230.72	3,511.71
Less: Dividend Paid	394.95	658.25
Closing Balance	36,899.91	27,064.14

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

₹ Lakhs

Particulars	As at 31.03.2026	As at 31.03.2025
Other Comprehensive Income:		
Opening balance	192.04	404.63
Movement in OCI during the year	(137.17)	(212.60)
Closing balance	54.86	192.04
Total	**36,963.11**	**27,264.52**

Securities Premium:

This consists of premium realised on issue of shares and will be applied/ utilised in accordance with the provisions of the Companies Act, 2013.

General Reserve:

General Reserve is an accumulation of retained earnings of the Company, apart from the balance in the statement of profit and loss which can be utilised for meeting future obligations.

09 (a) BORROWINGS - NON CURRENT		
Secured - At amortised cost		
Term Loan		
From Banks		
i) Machinery Term Loan - HDFC	85.36	220.17
Nature of loan - Rupee Term Loan		
Maturity date - August 2026		
Terms of repayment - 20 equal quarterly instalments		
Securities offered - Refer note *		
Interest rate - 7.83% p.a.		
Less: Current maturities of long term debt - included in note 12(a)	(85.36)	(133.78)
ii) Term Loan - SBI	3,762.40	4,473.78
Nature of loan - Rupee Term Loan		
Maturity date - December 2030		
Terms of repayment - 78 monthly instalments		
Securities offered - Refer note *		
Interest rate - 8.2% p.a.		
Less: Current maturities of long term debt - included in note 12(a)	(720.00)	(720.00)
iii) Vehicle Term Loan - HDFC	-	20.64
Nature of loan - Rupee Term Loan		
Maturity date - July 2026, but, prepaid and closed		
Terms of repayment - 48 equal monthly instalments		
Securities offered - Refer note *		
Interest rate - 7.25% p.a.		
Less: Current maturities of long term debt - included in note 12(a)	-	(15.66)
Total	**3,042.40**	**3,845.14**

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

Note : 9(a)(i)* - Machinery Term loans are secured against the first charge against Plant & Machineries & personal guarantee of the Managing Director. Vehicle Term loans are secured against the first charge against Vehicles & personal guarantee of the Managing Director.

₹ Lakhs

Particulars	As at 31.03.2026	As at 31.03.2025
09 (b) Lease Liabilities - Non current		
Lease Liabilities recognized on Lease Farms	1,921.96	2,330.47
Total	**1,921.96**	**2,330.47**
10 PROVISIONS - NON CURRENT		
Provision for Employee Benefits		
Earned Leave Encashment	76.69	70.23
Net Gratuity obligation	1.11	(51.70)
Total	**77.81**	**18.52**
11 Deferred Tax Liability(Net)		
At the start of the year	806.96	731.26
Charge / (credit) to Statement of Profit & Loss	159.02	147.21
Charge / (credit) to Other Comprehensive Income	(46.14)	(71.50)
Deferred Tax effect relating to previous year	-	-
At the end of the year	919.85	806.96
Deferred Tax (Assets) / Liabilities in relation to:		
Property, plant and equipment	944.13	781.21
Provisions	(19.58)	(4.66)
Forward contracts Asset / Liability	(11.62)	30.42
Un-Realised G/(L) on Investment	(208.69)	-
Investments measured at fair value	215.61	-
Total	**919.85**	**806.96**
12 (a) BORROWINGS - CURRENT		
Secured - At amortised cost		
Working Capital Loans		
From Banks		
Foreign Currency Loans	7,952.42	7,312.28
Nature of loan - Packing Credit (Foreign Currency)		
Terms of repayment - On demand		
Interest rate - 4.90% p.a.		
From Banks		
Rupee Loans	-	229.17
Nature of loan - Cash Credit		
Terms of repayment - On demand		
Interest rate - 9.25% p.a.		

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

₹ Lakhs

Particulars	As at 31.03.2026	As at 31.03.2025
Current Maturities of Long Term Debt		
From Banks		
i) Machinery Term Loan - HDFC	85.36	133.78
ii) Term Loan - SBI	720.00	-
iii) Vehicle Term Loan - HDFC	-	15.66
Total	**8,757.79**	**8,410.90**

Working Capital from banks are primarily secured by Hypothecation of stocks of Raw materials, Work-in-progress, finished goods and stores and spares, book debts, receivables, material in transit, etc. Borrowings are secured by second charge on the entire fixed assets of the company and personal guarantees of Executive Chairman and Managing director.

12 (b) LEASE LIABILITIES - CURRENT		
Lease liabilities - current	362.69	336.82
Total	**362.69**	**336.82**
12 (c) TRADE PAYABLES		
Trade Creditors *		
Due to MSME	319.13	164.04
Due to others	2,737.42	2,005.84
Creditors For Expenses & Others		
Due to MSME	-	-
Due to others	-	-
Total	**3,056.55**	**2,169.88**
Details relating to micro, small and medium enterprises:		
(a) the principal amount and the interest due thereon (to be shown separately) remaining unpaid to any supplier at the end of each accounting year;	319.13	164.04
(b) the amount of interest paid by the buyer in terms of section 16 of the Micro, Small and Medium Enterprises Development Act, 2006 (27 of 2006), along with the amount of the payment made to the supplier beyond the appointed day during each accounting year;	Nil	Nil
(c) the amount of interest due and payable for the period of delay in making payment (which has been paid but beyond the appointed day during the year) but without adding the interest specified under the Micro, Small and Medium Enterprises Development Act, 2006;	Nil	Nil
(d) the amount of interest accrued and remaining unpaid at the end of each accounting year; and	Nil	Nil
(e) the amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues above are actually paid to the small enterprise, for the purpose of disallowance of a deductible expenditure under section 23 of the Micro, Small and Medium Enterprises Development Act, 2006.	Nil	Nil

Trade payables ageing schedule is given in Annexure no.12(c)(i)

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

₹ Lakhs

Particulars	As at 31.03.2026	As at 31.03.2025
12 (d) OTHER FINANCIAL LIABILITIES - CURRENT		
Unclaimed Dividends	150.78	130.03
Forward contracts - Liability	46.16	-
Total	**196.94**	**130.03**

The amount outstanding in respect of unclaimed dividend represents amounts due and outstanding to Investor Education and Protection Fund to the extent of Rs.Nil (Previous year Nil).

13. OTHER CURRENT LIABILITIES		
Advances from customers	222.20	100.64
Statutory Dues	546.85	136.19
Salary & other payables	38.43	36.04
Other payables	1.06	1.06
Total	**808.55**	**273.92**
14. PROVISIONS		
Provisions for Employee Benefits		
Bonus Payable	179.38	122.56
Other Provisions	397.46	234.67
Total	**576.83**	**357.23**

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

Annexure - 3(c)(i) - Capital-Work-in Progress (CWIP) ageing schedule: ₹ Lakhs

Particulars	Outstanding for following periods from due date of payment				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) Projects in progress	613.39	19.39	-	-	632.78
(ii) Projects temporarily suspended	-	-	-	-	-
Total	**613.39**	**19.39**	**-**	**-**	**632.78**

Annexure - 6(b)(i) - Trade receivables ageing schedule: ₹ Lakhs

Particulars	Outstanding for following periods from due date of payment					
	Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) Undisputed Trade receivables – considered good	5,988.14	0.51	0.60			5,989.25
(ii) Undisputed Trade Receivables – which have significant increase in credit risk						
(iii) Undisputed Trade Receivables – credit impaired						
(iv) Disputed Trade receivables – considered good				30.80	0.40	31.20
(v) Disputed Trade Receivables – which have significant increase in credit risk						
(vi) Disputed Trade Receivables – credit impaired						
Total	**5,988.14**	**0.51**	**0.60**	**30.80**	**0.40**	**6,020.44**

Similar information shall be given where no due date of payment is specified in that case disclosure shall be from the date of the transaction.
Unbilled dues shall be disclosed separately.

Annexure - 8(a)(i) - Shareholding of promoters schedule:

Shares held by promoters at the end of the year				% Change during the year
S No	Promoter Name	No of shares	% to total shares	
1	SKM Shree Shivkumar	2,39,92,278	45.56%	2.07%
2	S.Kumutaavalli	20,010	0.04%	0%
3	S K.Sharath Ram	22, 60,000	4.29%	0%
4	Tamilnadu Industrial Development Corporation Ltd	39,91,600	7.58%	0%
	Total	**3,02,63,888**	**57.47%**	

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

Annexure - 12(c)(i) - Trade Payables ageing schedule: ₹ Lakhs

Particulars	Outstanding for following periods from due date of payment				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) MSME	319.13	-	-	-	319.13
(ii) Others	2,726.92	4.07	4.83	1.60	2,737.42
(iii) Disputed dues - MSME	-	-	-	-	-
(iv) Disputed dues - Others	-	-	-	-	-
Total	3,046.05	4.07	4.83	1.60	3,056.55

FINANCIAL RATIOS

S No	Particulars	FINANCIAL YEARS		Change	% Change
		2025 - 26	2024 - 25		
a	Current Ratio	2.87	2.51	0.36	14.50%
b	Debt Equity Ratio	0.36	0.50	-0.14	-28.74%
c	Debt Service Coverage Ratio	7.37	3.88	3.49	89.99%
d	Return on Equity Ratio	25.84%	17.75%	0.14	119.97%
e	Inventory Turnover Ratio (Times)	4.69	3.36	1.33	39.61%
	Inventory Turnover Ratio (Days)	77.82	108.64	-30.82	-28.37%
f	Trade Receivables Turnover Ratio (Times)	17.39	18.31	-0.92	-5.03%
	Trade Receivables Turnover Ratio (Days)	20.99	19.93	1.06	5.30%
g	Trade Payables Turnover Ratio (Times)	18.61	13.79	4.81	34.90%
	Trade Payables Turnover Ratio (Days)	19.61	26.46	-6.85	-25.87%
h	Net Capital Turnover Ratio (Times)	1.94	1.65	0.29	17.35%
I	Net Profit Ratio	17.71%	9.51%	0.08	86.17%
j	Return on Capital employed	22.46%	9.52%	0.13	135.96%
k	Return on investment	25.84%	11.75%	0.14	119.97%

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

Ratio	Reasons for change of more than 25% as compared to the preceding year
Debt Equity Ratio	Profit for the year has increased considerably in comparison with the preceding year due to which there is a significant increase in shareholders funds (Equity) in comparison with the preceding year. Due to this, there is a significant decrease and improvement in Debt Equity ratio in comparison to the previous year.
Debt Service Coverage Ratio	Net Profit for the year has increased considerably in comparison with the preceding year and consequently cash flows available for paying term loan instalments have also increased in comparison with the preceding year. Due to this, there is a significant increase and improvement in Debt service coverage ratio in comparison to the previous year.
Return on Equity Ratio	Net Profit for the year has increased considerably in comparison with the preceding year. Due to this, there is a significant increase in Return on Equity Ratio in comparison to the previous year.
Inventory Turnover Ratio	Though the average inventory has increased slighly in comparison to the previous year, cost of goods sold for the year have increased steeply due to the increase in turnover for the year. Due to this there is a significant improvement in the Inventory Turnover Ratio and the number of days inventory have been held has been decreased from erstwhile 109 days to 78 days.
Trade Payables Turnover Ratio	Though the average trade payables have increased slighly in comparison to the previous year, purchases for the year also have increased steeply due to the increase in turnover for the year. Due to this trade payable turnover ratio has improved and increased considerably in comparison to the previous year.
Net Profit Ratio	Net Profit for the year has increased considerably in comparison with the preceding year. Due to this, there is a significant increase in Net Profit Ratio in comparison to the previous year.
Return on Capital employed Ratio	Net Profit for the year has increased considerably in comparison with the preceding year. Due to this, there is a significant increase in Return on Capital employed in comparison to the previous year.
Return on investment Ratio	Net Profit for the year has increased considerably in comparison with the preceding year. Due to this, there is a significant increase in Return on investment in comparison to the previous year.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

Annexure - Ratios: ₹ Lakhs

S No	Particulars	FINANCIAL YEARS	
		2025 - 26	2024 - 25
i	**Current = (Current Assets / Current Liabilities)**		
	Current Assets	39,501.97	29,281.98
	Current Liabilities	13,759.35	11,678.78
ii	**Debt Equity = (Debt / Equity)**		
	Debt		
	Long Term borrowings & lease liability	4,964.35	6,175.61
	Short Term borrowings & lease liability	9,120.48	8,747.71
	Total Debt	**14,084.83**	**14,923.32**
	Equity		
	Share Capital	2,633.00	2,633.00
	Reserves and Surplus	36,963.11	27,264.52
	Total Equity	**39,596.11**	**29,897.52**
iii	**Debt Service Coverage = (Cash flows available for paying EMI / Instalment amount)**		
	Cash flows available for paying EMI		
	Net Profit After Tax	10,230.72	3,511.71
	(+) Depreciation	1,555.09	1,376.95
	(+) Interest on Term Loans & lease liability	459.86	346.61
	Cash flows available for paying EMI	**12,245.67**	**5,235.27**
	Loan repayments during the year (term loan + lease liability)	1,660.93	1,349.12
iv	**Return on Equity = (Net Profit After Tax / Equity)**		
	Return - Net Profit After Tax	10,230.72	3,511.71
	Equity	39,596.11	29,897.52
v	**Inventory turnover = (Cost of goods sold / Average Stock)**		
	Cost of goods sold		
	Cost of materials consumed	43,674.10	28,252.17
	Purchase of Stock-in-Trade	3,142.17	2,320.67
	Changes in inventories of finished goods, work-in-progress and Stock-in-Trade	17.86	1,427.10
	Direct Wages	1,415.52	1,187.17
	Amortised Value of Birds	2,367.75	2,078.36
	Total	**50,617.40**	**35,265.47**
	Average Stock		
	Opening Stock	9,978.59	11,014.13
	Closing Stock	11,604.03	9,978.59
	Average Stock	10,791.31	10,496.36

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

₹ Lakhs

S No	Particulars	FINANCIAL YEARS	
		2025-26	2024-25
vi	**Trade Receivables turnover =**		
	(Revenue from Operations / Average Trade		
	Sales - Revenue from Operations	76,679.85	49,336.42
	Average Trade Receivables		
	Trade Receivables - Opening	2,799.50	2,589.61
	Trade Receivables - Closing	6,020.44	2,799.50
	Average Trade receivables	**4,409.97**	**2,694.56**
vii	**Trade Payables turnover =**		
	(Purchases / Average Trade Payables)		
	Purchases	48,628.14	30,081.89
	Average Trade Payables		
	Trade Payables - Opening	2,169.88	2,191.55
	Trade Payables - Closing	3,056.55	2,169.88
	Average Trade payables	**2,613.21**	**2,180.71**
viii	**Net capital turnover ratio =**		
	(Revenue from Operations / Net Capital)		
	Revenue from Operations	76,679.85	49,336.42
	Net capital (Share Capital + Reserves and Surplus)	39,596.11	29,897.52
ix	**Net Profit ratio = (Net Profit before tax /**		
	Revenue from Operations)		
	Net Profit before tax	13,581.14	4,693.73
	Revenue from Operations	76,679.85	49,336.42
x	**Return on Capital employed =**		
	(Net Profit after tax / Capital Employed)		
	Net Profit after tax	10,230.72	3,511.71
	Capital Employed		
	Equity	39,596.11	29,897.52
	Non current liabilities	5,962.00	7,001.09
	Capital Employed	**45,558.12**	**36,898.61**
xi	**Return on Investment = (Net Profit after tax / Equity)**		
	Net Profit after tax	10,230.72	3,511.71
	Total Equity	39,596.11	29,897.52

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

15. FINANCIAL INSTRUMENTS:

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through Statement of Profit and Loss ('FVTPL')) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit and loss are recognised immediately in Statement of Profit and Loss.

Trade receivables are initially recognised when they are originated. Trade payables are in respect of the amount due on account of goods purchased or services availed in the normal course of business. They are recognised at their transaction and services availed value if the transaction do not contain significant financing component.

a) Financial Assets

(i) Recognition and initial measurement

All financial assets are recognized initially at fair value. Transaction costs that are directly attributable to the acquisition of financial assets (other than financial assets at fair value through Statement of Profit or Loss ('FVTPL')) are added to the fair value of the financial assets, on initial recognition. Transaction cost directly attributable to the acquisition of financial assets at FVTPL are recognized immediately in Statement of Profit and Loss.

(ii) Subsequent measurement

Debt instruments at amortised cost:

A 'debt instrument' is measured at the amortized cost if both the following conditions are met:

- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.
- The asset is held within a business model whose objective is to hold assets for collecting contractual cash flows, and
- Contractual terms of the asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

After initial measurement, such financial assets are subsequently measured at amortized cost using the effective interest rate (EIR) method. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included in finance income in the profit or loss. The losses arising from impairment are recognized in the profit or loss. This category generally applies to trade and other receivables.

Debt instrument at FVTOCI:

A 'debt instrument' is classified as FVTOCI if both of the following criteria are met:

- The objective of the business model is achieved both by collecting contractual cash flows and selling the financial assets, and
- The asset's contractual cash flows represent SPPI.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

- Debt instruments included within the FVTOCI category are measured initially as well as at each reporting date at fair value. Fair value movements are recognized in the other comprehensive income (OCI).

Debt instrument at FVTPL:

FVTPL is a residual category for debt instruments. Any debt instrument, which does not meet the criteria for categorization as amortized cost or as FVTOCI, is classified as FVTPL. Debt instruments included within the FVTPL category are measured at fair value with all changes recognized in the statement of profit and loss.

In addition, the Company may elect to designate a debt instrument, which otherwise meets amortized cost or FVTOCI criteria, as FVTPL. However, such election is chosen only if doing so reduces or eliminates a measurement or recognition inconsistency (referred to as 'accounting mismatch').

(iii) De-recognition of financial assets

A financial asset is de-recognised only when;

a. The entity has transferred the rights to receive cash flows from the financial asset or

b. The entity retains the contractual rights to receive the cash flows of the financial asset, but expects a contractual obligation to pay the cash flows to one or more recipients.

Where entity has transferred an asset, it examines and assesses whether it has transferred substantially all risk and rewards of ownership of financial asset. In such cases, financial asset is de-recognised. Where entity has not transferred substantially all risks and rewards of ownership of financial asset, such financial asset is not de-recognised.

Where the entity has neither transferred a financial asset nor retains substantially all risk and rewards of ownership of the financial asset, the financial asset is de-recognised, if the Group has not retained control of the financial asset. Where the entity retains control of the financial asset is continued to be recognised to the extent of continuing involvement in the financial asset.

(iv) Investments in Equity Instruments in Subsidiary and Associates:

The Company has elected to carry investment in Equity Instruments in Subsidiary at cost in accordance with Paragraphs 10 of 'Ind AS 27 – Separate Financial Statements'.

(v) Investments in Equity Instruments in Associates:

The Company has initially elected to carry investment in Equity Instruments in Associates at cost in accordance with Paragraphs 10 of 'Ind AS 27 – Separate Financial Statements'. However, now upon change in the business model, the investment in associate is reclassified from being measured at cost to fair value through Other Comprehensive Income in accordance with paragraph 5.6.1, which states, "If an entity reclassifies financial assets in accordance with paragraph 4.4.1, it shall apply the reclassification prospectively from the reclassification date. The entity shall not restate any previously recognised gains, losses (including impairment gains or losses) or interest."

Paragraph 4.4.1 states, "When, and only when, an entity changes its business model for managing financial assets it shall reclassify all affected financial assets in accordance with paragraphs 4.1.1–4.1.4"

The company has held investment in associates and have measured it at cost. Initially, the investment in associate was made to comply with the TNEB rules, which specify that certain percentage of shares need to be held by the

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

company to enable the purchase of electricity. Now, the company contemplates to acquire the entire shares and ultimately the business of the company which is presently an associate with 26% shareholding. Since, the company has changed its business model for managing financial assets, the financial assets (Investment in associate) which was erstwhile measured at cost has been reclassified and measured at fair value through Other Comprehensive Income and the reclassification has been applied prospectively in accordance with paragraph 5.6.1 of Ind AS 109.

b) Financial liabilities and equity instruments

(i) Initial recognition and measurement

All financial liabilities are recognized initially at fair value plus transaction cost (if any) that is attributable to the acquisition of the financial liabilities which is also adjusted.

(ii) Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

Loans and borrowings:

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the Effective Interest Rate (EIR) method. Gains and losses are recognized in profit or loss when the liabilities are de-recognised through the EIR amortization process. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included as finance costs in the statement of profit and loss.

Trade and other payables:

These amounts represent liabilities for goods or services provided to the Company which are unpaid at the end of the reporting period. Trade and other payables are presented as current liabilities when the payment is due within a period of 12 months from the end of the reporting period. For all trade and other payables classified as current, the carrying amounts approximate fair value due to the short maturity of these instruments. Other payables falling due after 12 months from the end of the reporting period are presented as non-current liabilities and are measured at amortised cost unless designated at fair value through profit and loss at the inception.

Other financial liabilities at fair value through profit or loss:

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Gains or losses on liabilities held for trading or designated as at FVTPL are recognized in the profit or loss.

(iii) Derecognition of financial liabilities:

A financial liability is de-recognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or Modification is treated as the de-recognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in the statement of profit or loss.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

c) Offsetting

Financial assets and financial liabilities are offset and the net amount is reported in the balance sheet if there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, to realize the assets and settle the liabilities simultaneously.

d) Impairment of Financial assets

The Company assesses at each date of balance sheet whether a financial asset or a group of financial assets is impaired. Ind AS 109 requires expected credit losses to be measured through a loss allowance. The Company recognizes lifetime expected losses for all contract assets and / or all trade receivables that do not constitute a financing transaction. For all other financial assets, expected credit losses are measured at an amount equal to the 12-month expected credit losses or at an amount equal to the life time expected credit losses, if the credit risk on the financial asset has increased significantly since initial recognition.

e) Fair value measurement

The Company measures financial instruments at fair value at each balance sheet date. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability which are accessible to the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

Valuation:

The financial instruments are initially recognized and subsequently re-measured at fair value as described below :

(a) The fair value of Forward Foreign Exchange contracts is determined using forward exchange rates and yield curves at the balance sheet date.

(b) The fair value of the remaining financial instruments is determined using discounted cash flow analysis.

(c) All foreign currency denominated assets and liabilities using exchange rate at the reporting date.

Fair Value measurement hierarchy:

The fair value of cash and cash equivalents, other bank balances, loans, trade receivables, trade payables and others approximates their carrying amount. The company uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation techniques. The fair valuation of current investment is done by Level 1 category v

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

valuation, as the investment is quoted and has active market and the various other financial assets and liabilities are done by adopting Level 3 category valuation, as there are no observable inputs for the same.

Level 1 :

Quoted prices (unadjusted) in active markets for identical assets and liabilities.

₹ Lakhs

Particulars	As at 31.03.2026	As at 31.03.2025
Financial Assets		
At fair value through P & L		
(I) Investments - Current	617.09	620.13
At fair value through OCI		
(i) Investments - Non Current	975.12	-
(ii) Investments - Current	6,936.85	-
(iii) Other financial assets - current	-	120.86

Level 2 :

Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (derived from prices)

Level 3 :

Inputs for the asset or liability that are not based on observable market data (unobservable inputs)

Particulars	As at 31.03.2026	As at 31.03.2025
Financial Assets		
At amortised cost		
(i) Trade receivables	6,020.44	2,799.50
(ii) Cash and cash equivalents	9,307.33	14,620.86
(iii) Bank balances other than (ii) above	150.78	130.03
(iv) Loans	17.64	16.20
(vi) Other Financial Assets	373.31	318.06
Financial Liabilities		
At amortised cost		
(I) Borrowings	11,800.18	12,256.04
(ii) Lease liabilities	2,284.65	2,667.28
(iii) Trade Payables	3,056.55	2,169.88
(iv) Other Financial Liabilities	196.94	130.03

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

f) Derivative financial instruments

Derivative financial instruments are accounted for at FVTPL except for derivatives designated as hedging instruments in cash flow hedge relationships, which require a specific accounting treatment. To qualify for hedge accounting, the hedging relationship must meet several strict conditions with respect to documentation, probability of occurrence of the hedged transaction and hedge effectiveness. These arrangements have been entered into to mitigate currency exchange risk arising on account of repayment of foreign currency term loan and interest thereon.

The Company uses derivative financial instrument i.e. forward contracts to mitigate the risk of foreign exchange exchange rates. At the inception of a hedge relationship, the Company formally designates and documents the hedge relationship to which the Company wishes to apply hedge accounting and the risk management objective and strategy for undertaking the hedge.

Any gains or losses arising from changes in the fair value of derivatives are taken directly to Statement of Profit and Loss, except for the effective portion of cash flow hedge which is recognised in Other Comprehensive Income and later to Statement of Profit and Loss when the hedged item affects profit or loss or is treated as basis adjustment if a hedged forecast transaction subsequently results in the recognition of a Non-Financial Assets or Non-Financial liability.

Hedges that meet the criteria for hedge accounting are accounted for as follows:

A. Cash Flow Hedge:

The Company designates derivative contracts or non-derivative Financial Assets/ Liabilities as hedging instruments to mitigate the risk of movement in interest rates and foreign exchange rates for foreign exchange exposure on highly probable future cash flows attributable to a recognised asset or liability or forecast cash transactions.

B. Fair Value Hedge:

The Company designates derivative contracts or non-derivative Financial Assets/Liabilities as hedging instruments to mitigate the risk of change in fair value of hedged item due to movement in interest rates, foreign exchange rates and commodity prices.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

16. CAPITAL MANAGEMENT - ADDITIONAL CAPITAL DISCLOSURES:

The Company adheres to the Capital Management framework which is underpinned by the following guiding principles:

(a) The key objective is to ensure that it maintains a stable capital structure with the focus on total equity to uphold investor, creditor, and customer confidence and to ensure future development of its business.

(b) Leverage optimally in order to maximize shareholder returns while maintaining strength and flexibility of the Balance Sheet.

(c) The Company also focusses on keeping strong total equity base to ensure independence, security, as well as a high financial flexibility for potential future borrowings, if required without impacting the risk profile of the Company.

(d) Proactively manage exposure in forex, interest and commodities to mitigate risk to earnings.

(e) The Company's goal is to continue to be able to return excess liquidity to shareholders to distribute annual dividends in future years.

This framework is adjusted based on underlying macro-economic factors affecting business environment, financial market conditions and interest rates environment.

The capital structure of the company is as follows:

₹ Lakhs

Particulars	As at 31.03.2026	As at 31.03.2025
Total Equity (A)	39,596.11	29,897.52
% Change 2026 - 25	32.44%	
Current Loans and borrowings	8,757.79	8,410.90
Non-current loans and borrowings	3,042.40	3,845.14
Total loans and borrowings (B)	11,800.18	12,256.04
% Change 2026 - 25	-3.72%	
Loans & borrowings as a percentage of total equity	29.80%	40.99%
Total Capital (A) + (B)	**51,396.29**	**42,153.55**
% Change 2026 - 25	21.93%	

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

₹ Lakhs

Particulars	2025-26	2024-25
17. REVENUE FROM OPERATIONS		
Sale of Products :		
Sale of Egg Powder & Egg Liquid - Export	55,450.45	27,052.75
Sale of Eggs - Export	4,945.86	1,627.32
Sale of Egg Powder & Egg Liquid - Domestic	6,419.92	5,639.06
Sale of Eggs & Poultry Feed - Domestic	8,832.80	14,322.10
Sale of Poultry Suppliment & Organic manure	193.38	-
Sale of Culling Birds, Litter & Egg Shell (Waste)	752.86	643.28
Sale of Declared Goods	66.74	40.40
Lab Analysis Charges Received	17.85	11.52
Total	**76,679.85**	**49,336.42**
18. OTHER INCOME		
Interest Income	1,052.72	1,034.62
Subsidies/Sale of Licence	842.94	317.68
Profit/(Loss) on sale of Assets	0.84	2.06
Profit/(Loss) on sale of Investments	4.04	-
Unrealized gain or loss on investments	(3.04)	47.14
Gain or Loss on Assets withdrawal	1.06	-
Gain or Loss on Lease Termination	5.05	-
Miscellaneous Income	6.85	2.29
Total	**1,910.48**	**1,403.80**
19. COST OF MATERIALS CONSUMED		
Raw materials, additives, vaccines & medicines consumed:		
Opening Stock	1,680.32	2,147.61
Add: Purchased during the year	44,601.84	27,196.23
Less: Closing Stock	(3,500.66)	(1,680.32)
Raw materials consumed (a)	42,781.51	27,663.52
Packing materials consumed:		
Opening Stock	130.59	154.25
Add: Purchased during the year	884.13	564.99
Less: Closing Stock	(122.12)	(130.59)
Packing materials consumed (b)	892.59	588.65
Total (a+b)	**43,674.10**	**28,252.17**
20. PURCHASES OF STOCK-IN-TRADE		
Purchase of Egg Powder (Branch office Russia)	3,142.17	2,320.67
Total	**3,142.17**	**2,320.67**

The above amount of purchases is inclusive of duties & taxes for which credit is not admissible

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

Particulars	2025-26	2024-25
21. CHANGES IN INVENTORIES OF FINISHED GOODS, WORK-IN-PROGRESS AND STOCK-IN-TRADE		
Opening Stock	4,516.46	5,943.56
Closing Stock	(4,498.60)	(4,516.46)
(Increase)/Decrease in Stock	**17.86**	**1,427.10**
22. EMPLOYEE BENEFIT EXPENSES		
Salaries & Wages	3,201.94	3,121.50
Contribution to Provident & Other funds	115.64	107.85
Provision for Gratuity	12.62	21.43
Provision for Earned Leave	32.16	27.94
Staff Welfare Expenses	105.33	85.60
Total	**3,467.69**	**3,364.31**

Defined Contribution Plan:

Particulars	2025-26	2024-25
Employer's contribution to Provident Fund	65.07	61.40
Employer's contribution to Pension Scheme	51.30	47.51

Defined Benefit Plan:

a. Reconciliation of Opening and Closing Balances of Defined Benefit Obligations:

Particulars	Gratuity (Funded)	
	31-03-2026	31-03-2025
Present Value of obligation at the beginning of the year	120.11	145.53
Interest Cost	8.71	17.40
Current Service Cost	16.52	16.47
Benefits paid	(16.73)	(8.06)
Actuarial (gain) / loss	43.75	(51.22)
Present Value of obligation at year end	172.36	120.11

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

b. Reconciliation of Opening and Closing Balances of Fair Value of Plan Assets:

₹ Lakhs

Particulars	Gratuity (Funded)	
	31-03-2026	31-03-2025
Fair Value of plan assets as at beginning of the year	171.81	157.97
Expected return on plan assets	12.61	12.44
Contribution made	3.56	9.46
Benefits Paid	(16.73)	(8.06)
Actuarial gain / (loss) on the plan assets	-	-
Fair Value of plan assets as at year end	**171.25**	**171.81**

c. Reconciliation of Fair Value of Assets and Obligations

Particulars	Gratuity (Funded)	
	31-03-2026	31-03-2025
Present value of the obligation	172.36	120.11
Fair Value of plan assets	171.25	171.81
Funded Status (Surplus / (Deficit))	(1.11)	51.70
Net asset / (liability) recognized in the balance sheet	(1.11)	51.70

d. Expenses recognized during the year

Particulars	Gratuity (Funded)	
	31-03-2026	31-03-2025
Current Service Cost	16.52	16.47
Interest Cost	8.71	17.40
Expected return on plan assets	(12.61)	(12.44)
Actuarial (gain) / loss	43.75	(51.22)
Net Cost	56.37	(29.80)

e. Actual return on the plan assets:

₹ Lakhs

Particulars	Gratuity (Funded)	
	31-03-2026	31-03-2025
Expected return on plan assets	12.61	12.44
Actuarial gain / loss on plan assets	-	-
Actual return on plan assets	12.61	12.44

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

f. Actuarial Assumptions:

Particulars	Gratuity (Funded)	
	31-03-2026	31-03-2025
Discount rate (Per annum)	7.25%	7.25%
Expected rate of return on Plan Assets (Per annum)	7.25%	7.25%
Rate of escalation in salary (Per annum)	6.50%	6.50%

The data required for disclosing information with regard to sensitivity analysis is not made available by the Actuary despite the concerted attempts made by the company to gather the information in this regard and hence the information relating to sensitivity analysis in terms of the amount of responsiveness and the financial impact consequent to change in discount rate, change in rate of salary escalation and change in rate of employee turnover (while holding all the other factors constant), have not been provided for during the year.

These plans typically expose the company to actuarial risks such as:

Investment risk:

The present value of the defined benefit plan liability is calculated using a discount rate which is determined by reference to market yields at the end of the reporting period on government bonds.

Interest risk:

A decrease in the bond interest rate will increase the plan liability, however, this will be partially offset by an increase in the return on the plan debt investments.

Longevity risk:

The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortatility of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.

Salary risk:

The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

DISCLOSURE ON ACCOUNTING FOR REVENUE FROM CUSTOMERS IN ACCORDANCE WITH Ind AS 115:

₹ Lakhs

Particulars	2025 - 26	2024 - 25
A. Disaggregated revenue information		
a. On the basis of type of goods and service:		
Sale of manufactured products	75,649.03	48,641.22
Sale of products	193.38	-
Sale of by-products & declared goods scrap	819.60	683.68
Service Income received	17.85	11.52
Total Operating Revenue	76,679.85	49,336.42
b.On the basis of geographical region:		
In India	16,283.55	20,656.35
Outside India	60,396.31	28,680.07
Total Operating Revenue	76,679.85	49,336.42
c. On the basis of timing of revenue recognition:		
At a point of time	76,679.85	49,336.42
Over a period of time	-	-
Total Operating Revenue	76,679.85	49,336.42
B. Contract Liabilities:		
a. Contract Balances:		
Contract Liabilities	222.20	100.64
C. Revenue recognised during the year in relation to contract liabilities:		
Revenue recognised	100.64	41.90
D. Reconciliation of revenue recognised in the statement of profit and loss with the contracted price		
Revenue at contracted prices	76,679.85	49,336.42
Revenue from contract with customers	76,679.85	49,336.42
Difference	-	-
E. Unsatisfied or partially satisfied performance obligation		
Unsatisfied or partially satisfied performance obligation	Nil	Nil

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

₹ Lakhs

Particulars	2025-26	2024-25
23. FINANCIAL COSTS		
Interest Expenses on Working Capital Loan	520.46	630.71
Interest Expenses on Term Loans	233.75	228.66
Other borrowing costs - bank charges & bill discount	135.57	62.82
Exchange Fluctuation - Net	356.96	82.78
Interest recognized on Lease farm Assets	226.11	117.95
Total	**1,472.85**	**1,122.91**
24. DEPRECIATION & AMORTISATION		
Depreciation on Property, plant & equipment - Own assets	1,113.98	947.14
Depreciation on Property, plant & equipment - Leased assets	441.11	429.81
Amortisation of livestock - Birds	2,367.75	2,078.36
Total	**3,922.84**	**3,455.31**
25. OTHER EXPENSES		
Power & Fuel	2,053.22	1,624.39
Stores & Spares Consumption	731.21	512.30
Repairs and Maintenance:		
a) Building	92.78	101.00
b) Plant & Machinery	217.72	110.49
c) Vehicle - Fuel & Maintenance	763.58	715.67
d) Computer & Software Maintenance	36.19	32.72
e) Other Maintenance	154.24	164.81
Procurement & Direct expenses	601.64	651.45
Foreign Exchange Fluctuation Loss - Net	1,432.15	67.07
Asset Retirement by Scrapping (write off)	144.04	-
Analysing Charges	32.08	27.54
Rates and Taxes, Registration and Renewal	51.09	35.91
Rent Expenses	87.60	52.88
Postage, Courier, Telephone & Internet Charges	25.79	22.45
Printing & Stationery	10.94	8.17
Insurance Premium	46.56	32.47
Advertisement and Publicity	3.71	4.39
Travelling Expenses	87.59	85.75
Foregin Travelling expenses	104.65	52.36
Professional Charges	129.25	69.17
Miscellaneous Expenses	8.74	27.86

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

₹ Lakhs

Particulars	2025-26	2024-25
Bad Debts written off / (Recovered)	(14.67)	(2.10)
Audit Fees	10.00	10.00
Corporate Social Responsibility (CSR) Expenses	174.24	151.14
Donation	17.48	2.13
Directors Sitting Fee	3.30	1.40
Stock Exchange Listing Fee & Secretarial Expenses	31.57	20.39
Sales Commission	130.81	184.90
Selling Expenses	440.67	218.66
Freight and Forwarding Charges	1,703.54	1,118.67
Total	**9,311.68**	**6,104.03**
25 (i) Payment to Auditors as:	**Excluding Taxes**	
(a) Auditor		
Statutory Audit Fees	5.00	5.00
Tax Audit Fees	5.00	5.00
(b) Certification Services - Included in Professional charges	2.33	0.91
(c) For Appeal Representation and Others	4.00	-
(d) Reimbursement of expenses	-	-
Total	**16.33**	**10.91**
25 (ii) Corporate Social Responsibility (CSR) - as per Section 135 read with Schedule VII of the Companies Act, 2013		
i) Amount required to be spent by the company during the year	174.24	150.14
ii) Amount of expenditure incurred	174.24	151.14
iii) Shortfall at the end of the year	-	-
iv) Total of previous year shortfall	-	-
v) Reason for shortfall	N A	N A
vi) Nature of CSR activities Eradicating hunger, poverty & malnutrition, promoting preventive health care and sanitation and making available safe drinking water. Promoting Education, including special education and employment enhancing vocation skills especially among children, women, elderly and the differently abled and livelihood enhancement project.		
vii) Details of related party transactions: Donation to Shree Foundation	174.24	150.14
The trust shall be to undertake and support activities that promote social welfare, community development, environmental sustainability, eduction, health care, and other initiatives that contribute to the betterment of society.		

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

₹ Lakhs

Particulars	2025-26	2024-25
viii) Where a provision is made with respect to a liability by entering into a contractual obligation, the movements in the provision during the year	N A	N A
26 (i) CURRENT TAX		
Income Tax - Normal Provisions	3,354.22	1,034.54
Income Tax - Relating to preceding years	(162.83)	0.27
Total	**3,191.40**	**1,034.81**
26 (ii)DEFERRED TAX		
On account of variation of allowances for tax purpose in :		
Depreciation (DTA)/DTL	162.93	177.80
Provision for gratuity & earned leave - DTL / (DTA)	(3.91)	(30.59)
Sale of Assets (DTA)/DTL	-	-
Total	**159.02**	**147.21**
27 EARNINGS PER SHARE		
(i) Net Profit after Tax as per Statement of Profit and Loss attributable to Equity Shareholders (Rs. In Lakhs)	10,231	3,512
(ii) Weighted Average number of Equity Shares used as denominator for calculating Basic EPS (In absolute numbers)	5,26,60,000	5,26,60,000
(iii) Weighted Average number Potential Equity Shares (Nos)	-	-
(iv) Total Weighted Average number of Equity Shares used as denominator for calculating Diluted EPS (In absolute numbers)	5,26,60,000	5,26,60,000
(v) Basic Earnings per Share (Rs - in absolute figures) (i) / (ii)	19.43	6.67
(vi) Diluted Earnings per Share (Rs - in absolute figures) (i) / (iv)	19.43	6.67
(vii) Face Value per Equity Share (Rs)	5.00	5.00

Since the company does not have any Potential Equity Shares, the denominator used for calculating Basic EPS and Diluted EPS are the same and consequently Basic EPS and Diluted EPS are the same.

Pursuant to stock split, all share and per-share information (including Basic EPS and Diluted EPS) in these financial statements have been adjusted retrospectively to reflect this stock split. The weighted average number of shares for 2024-25 has been adjusted to reflect the 1:2 stock split in 2025-26.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

₹ Lakhs

28. INCOME TAXES:

The reconciliation between the provision of income tax and amounts computed by applying the Indian statutory income tax rate to profit before taxes is as follows:

Particulars	2025-26	2024-25
Profit / (Loss) before tax	13,581.14	4,693.73
Applicable Tax Rate	25.17%	25.17%
Computed Tax expense	3,418.10	1,181.32
Income Tax effect of :		
Expenses related to exempt Income	0.59	0.25
Expenses disallowed for tax purposes	(71.35)	(142.36)
Allowances for tax purposes	0.76	(11.86)
Income exempt from tax	(2.10)	(1.35)
Income taxed at higher / (lower) rates	-	-
Others	8.21	8.55
Current tax provision (A)	3,354.22	1,034.54
Income Tax / (Reversal) - Relating to preceding years (B)	(162.83)	0.27
Incremental / (Decremental) Deferred Tax Liability on account of Tangible Assets	162.93	177.80
Incremental / (Decremental) Deferred Tax Liability on account of Financial & Other Assets / Liabilities	-	-
(Incremental) / Decremental Deferred Tax Asset on account of Other Assets	(3.91)	(30.59)
Deferred tax provision (C)	159.02	147.21
Tax Expenses recognised in Statement of Profit & Loss	3,350.41	1,182.01
Effective Tax Rate	24.67%	25.18%

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

29. SEGMENT INFORMATION:

The Company's operating segments are established on the basis of those components that are evaluated regularly by the Executive Committee (the 'Chief Operating Decision Maker' as defined in Ind AS 108 - 'Operating Segments'), in deciding how to allocate resources and in assessing performance. These have been identified taking into account nature of products and services, the differing risks and returns and the internal business reporting systems.

i) Primary Segment Information:

There are no reportable segments for the year to be given under the primary segment information.

ii**) Secondary Segment Information:**

The Company has five geographic segments: India, Japan, Russia, Europe and Rest of the world. Revenues from the geographic segments based on domicile of the customer are as follows:

₹ Lakhs

Particulars	2025-26	2024-25
1. Segment Revenue - External Turnover		
(a) Within India	16,283.55	20,656.35
(b) Outside India:		
(i) Japan	22,745.36	7,848.53
(ii) Russia	12,466.86	6,180.13
(iii) Europe	3,426.51	1,431.00
(iv) Rest of the World	21,757.58	13,220.41
Total	**76,679.85**	**49,336.42**
2. Non-Current Assets		
(a) Within India	19,807.17	19,287.08
(b) Outside India - Europe	8.33	8.33
Total	**19,815.50**	**19,295.41**

Revenues from One customer of the company amount to more than 10% of the Company's total revenues and represent approximately Rs.16,371.68 Lakhs (previous year Rs.6,582.97 Lakhs) of the total revenue of the company.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

30. RELATED PARTY DISCLOSURES:

As required under Indian Accounting Standard (Ind AS) 24 - Related Party disclosures, disclosure of transactions with related parties are given below:

(a) Classification and name of the Related Parties

(i) Subsidiary	SKM Europe BV, Utrecht, The Netherlands
(ii) Associate	SKM Universal Marketing Company India Private Limited
(iii) Key Management Personnel	SKM Shree Shivkumar
	Shri.SKM Maeilanandhan
	S.K.Sharath Ram
	K.S.Venkatachalapathy
	P. Sekar
(iv)Relative of Key Management Personnel	Smt.M.Kuttilakshmi
(v) Other Related Parties	SKM Animal Feeds and Foods India Private Limited
	SKM Siddha and Ayurvedha Company India Private Limited
	Shree Foundation

(b) Description of relationship between the parties :

(i) Subsidiary	
(a) SKM Europe BV, Utrecht, The Netherlands	Foreign subsidiary company in which the company holds 85% voting power
(ii) Associate	
(a) SKM Universal Marketing Company India Private Limited	Domestic associate company in which the company holds 26% voting power
(iii) Key Management Personnel	
(a) SKM Shree Shivkumar	Managing Director
(b) Shri.SKM Maeilanandhan	Whole time Director
(c) S.K.Sharath Ram	Whole time Director
(d) K.S.Venkatachalapathy	Chief Financial Officer
(e) P.Sekar	Company Secretary
(iv) Relative of Key Management Personnel (a) Smt.M.Kuttilakshmi	Relative of Managing Director & Wholetime Director
(v) Other Related Parties	
(a) SKM Animal Feeds and Foods India Private Limited	Entity over which Key Management Personnel have significant influence
(b) SKM Siddha and Ayurvedha Company India Private Limited	Entity over which Key Management Personnel have significant influence

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

(c) Shree Foundation	Entity over which Key Management Personnel is a trustee and have significant influence

(c) Transactions during the year and year end balances with related parties :

(c-i) The company has the following related party transactions for the years 2025-26 & 2024-25 :

₹ Lakhs

Nature of relationship	Nature of Transactions	2025 - 26	2024 - 25
(i) Subsidiary	Sale of goods	2,875.77	1,197.55
(ii) Associate	Sale of goods	1,754.92	1,325.40
	Rent Income	0.26	0.90
	Purchase of Electricity	432.25	367.65
	Purchase of PPE	-	3.75
(iii) Key Management Personnel	Remuneration paid	746.31	1,018.33
	Rent paid	3.63	3.49
(iv) Relative of Key Management Personnel	Rent paid	0.60	0.60
(v) Other Related Parties	Sale of goods	4.46	3.10
	Purchase of goods	1.70	103.81
	Donation paid	174.24	150.14

(c-ii) The company has the following balances outstanding as of March 31, 2026 and March 31, 2025 :

₹ Lakhs

Nature of relationship	Nature of Balances outstanding	As at 31.03.2026	As at 31.03.2025
(i) Subsidiary	Investments	8.33	8.33
	Trade receivables	196.19	-
(ii) Associate	Investments	975.12	118.46
	Trade receivables	226.71	64.08
	Trade payables	-	-
(iii) Key Management Personnel	-	-	-
(iv) Relative of Key Management Personnel	Trade payables	-	-
(iv) Other Related Parties	Trade receivables	-	-
	Trade payables	-	-

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

(d) Disclosures in respect of major related party transactions during the year :

The following are the significant related party transactions during the year ended March 31, 2026 and March 31, 2025

₹ Lakhs

Particulars	Relationship	2025 - 26	2024 - 25
1) Purchase of goods			
(a) SKM Siddha and Ayurvedha Company India Private Limited	Other Related Party	1.70	1.20
(b) SKM Universal Marketing Company India Private Limited	Associate	-	-
(c) SKM Animal Feeds and Foods India Private Limited	Other Related Party	-	102.61
2) Purchase of Electricity			
(a) SKM Universal Marketing Company India Private Limited	Associate	432.25	367.65
3) Purchase of Property, Plant & Equipment			
(a) SKM Universal Marketing Company India Private Limited	Associate	-	3.75
4) Rent paid			
(a) SKM Shree Shivkumar	Key Management Personnel	3.63	3.49
(b) Smt.M.Kuttilakshmi	Relative of Key Management Personnel	0.60	0.60
5) Remuneration paid			
(a) SKM Shree Shivkumar	Key Management Personnel	579.54	848.51
(b) Shri.SKM Maeilanandhan	Key Management Personnel	60.15	59.81
(c) S.K.Sharath Ram	Key Management Personnel	58.30	59.30
(d) K.S.Venkatachalapathy	Key Management Personnel	35.96	38.11
(e) P.Sekar	Key Management Personnel	12.37	12.59
6) Donation paid			
Shree Foundation	Other Related Party	174.24	150.14
7) Sale of goods			
(a) SKM Europe BV, Utrecht, The Netherlands	Subsidiary	2,875.77	1,197.55
(b) SKM Animal Feeds and Foods India Private Limited	Other Related Party	4.46	3.10
(c) SKM Universal Marketing Company India Private Limited	Associate	1,754.92	1,325.40
8) Rent Income			
(a) SKM Universal Marketing Company India Private Limited	Associate	0.26	0.90

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

The following are the significant related party balances outstanding as of March 31, 2026 and March 31, 2025 ₹ Lakhs

Particulars	Relationship	As at 31.03.2026	As at 31.03.2025
1) Trade receivables			
(a) SKM Europe BV,Utrecht, The Netherlands	Subsidiary	196.19	-
(b) SKM Universal Marketing Company India Private Limited	Associate	226.71	64.08
(c) SKM Animal Feeds and Foods India Private Limited	Other Related Party	-	-
2) Trade payables			
(a) SKM Universal Marketing Company India Private Limited	Associate	-	-
(b) SKM Siddha and Ayurvedha Company India Private Limited	Other Related Party	-	-
(c) Smt.M.Kuttilakshmi	Relative of Key Management Personnel	-	-
3) Investments			
(a) SKM Europe BV, Utrecht, The Netherlands	Subsidiary	8.33	8.33
(b) SKM Universal Marketing Company India Private Limited	Associate	975.12	118.46

(e) Compensation of Key Management Personnel

Particulars	2025 - 26	2024 - 25
(i) Short-term employee benefits	694.70	966.79
(ii) Post-employment benefits *	51.61	51.54
(iii) Other long-term benefits	-	-
(iv) Termination benefits	-	-
(v) Share-based payment	-	-
	746.31	1,018.33

* - Post-employment benefit comprising gratuity, and compensated absences are not disclosed as these are determined for the Company as a whole.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

Foreign currency risk:

The company is essentially an Export Oriented Undertaking and makes significant exports and has availed Working Capital Loan (Packing Credit) in Foreign currency and also imports goods, stores & spares occassionally. The Company is exposed to foreign currency risk on these transactions. The Company follows a conservative and sound policy by entering into simple Forward Exchange Contracts to hedge the foreign currency risk whose maturity is coterminous with the maturity period of the foreign currency liabilities and receivables.

The following table shows the foreign currency exposure in USD and EUR on financial statements at the end of the reporting period. The exposure to foreign currency for all other currencies are not material.

₹ Lakhs

Particulars	As at 31.03.2026	As at 31.03.2025
(i) Borrowings:		
Euro	295.21	111.92
USD	7,657.21	7,200.36
(ii) Trade & other payables		
Euro	62.78	24.00
USD	728.98	173.28
(iii) Trade & other receivables		
Euro	(618.61)	(9.83)
USD	(5,370.04)	(2,496.94)
Net Exposure (i + ii - iii)	**2,755.53**	**5,002.79**

Sensitivity analysis of 1% change in exchange rate at the end of the reporting period net of hedges

Particulars	As at 31.03.2026 (₹ in Lakhs)		
	USD	Euro	Total
1% Depreciation in INR			
Impact on equity	-	-	-
Impact on P & L	(30.16)	2.61	(27.56)
Total	**(30.16)**	**2.61**	**(27.56)**
1% Appreciation in INR			
Impact on equity	-	-	-
Impact on P & L	30.16	(2.61)	27.56
Total	**30.16**	**(2.61)**	**27.56**
	As at 31.03.2025 (₹ in Lakhs)		
	USD	Euro	Total
1% Depreciation in INR			
Impact on equity	-	-	-
Impact on P & L	(48.77)	(1.26)	(50.03)
Total	**(48.77)**	**(1.26)**	**(50.03)**
1% Appreciation in INR			
Impact on equity	-	-	-
Impact on P & L	48.77	1.26	50.03
Total	**48.77**	**1.26**	**50.03**

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

Interest rate risk:

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company has availed significant Foreign Currency Working Capital Loan (In USD as well as Euro) by way of Packing Credit at floating interest rates. The interest rate is at 1% (spread) plus LIBOR rate of respective Bank and the interest rate is reset based on the LIBOR rate, as per the loan facility agreement. The Company has not entered into any of the interest rate swaps and hence, the Company is exposed to interest rate risk.

The Company considering the economic environment in which it operates has determined the interest rate sensitivity analysis (interest exposure) at the end of the reporting period. The interest rate for the Company are floating rates and hence, the analysis is prepared assuming the amount of the borrowings outstanding at the end of the reporting period was outstanding for the whole year. A 100 basis point +/- fluctuation in the interest rate is used for disclosing the sensitivity analysis.

The exposure of the company's borrowings to interest rate changes at the end of the reporting period are as follows

₹ Lakhs

Particulars	As at 31st March 2026	As at 31st March 2025
(i) Borrowings - Short term		
Borrowings in Euro	295.21	111.92
Borrowings in USD	7,657.21	7,200.36
Borrowings in INR	-	229.17
Borrowings in INR - Current maturity of Long Term loan	805.36	869.44
(ii) Borrowings - Long term		
Borrowings in INR	3,042.40	3,845.14
Net Exposure	**11,800.18**	**12,256.04**

Impact on interest expenses for the year on 1% change in interest rates

₹ Lakhs

Particulars	2025 - 26	2024 - 25
Up Move		
Impact on equity	-	-
Impact on P & L	(235.25)	(149.02)
Total	**(235.25)**	**(149.02)**
Down Move		
Impact on equity	-	-
Impact on P & L	235.25	149.02
Total	**235.25**	**149.02**

The interest rate sensitivity analysis is done holding on the assumption that all other variables remaining constant. The increase / decrease in interest expense is mainly attributable to the Company's exposure to interest rates on its variable rate of borrowings.

Commodity price risk:

Commodity price risk arises due to fluctuation in prices of eggs, feeds and other products. The company has a risk management framework aimed at prudently managing the risk by reducing the external dependability and enhancement of self reliance by manufacturing the commodities in house to the extent possible.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

Credit risk:

Credit risk is a risk that a customer or counterparty to a financial instrument fails to perform or pay the amounts due, causing financial loss to the company. Credit risk arises from Company's outstanding receivables from customers and other parties. The company has a prudent and conservative process for managing its credit risk arising in the course of its business activities. The Company ensures that sales of products are made to customers with appropriate creditworthiness. Credit risk is controlled by analysing credit limits and creditworthiness of customers on a continuous basis to whom the credit has been granted after obtaining necessary approvals for credit.

Geographic concentration of credit risk:

Geographic concentration of trade receivables is as follows:

₹ Lakhs

Particulars	As at 31st March 2026	As at 31st March 2025
(a) Within India	611.66	322.70
(b) Outside India:		
(i) Japan	766.79	890.59
(ii) Russia	3,289.19	395.89
(iii) Europe	196.19	-
(iv) Rest of the World	1,156.62	1,190.33
Total	**6,020.44**	**2,799.50**

Year ended 31-03-2026

Expected credit loss for trade receivables under simplified approach

Ageing	Upto 180 days	More than180 days	Total
Gross carrying amount - Trade receivables	5,988.14	32.31	6,020.44
Expected credit losses (Loss allowance provision) - trade receivables	-	-	-
Carrying amount of trade receivables (net of impairment)	**5,988.14**	**32.31**	**6,020.44**

Year ended 31-03-2025

Expected credit loss for trade receivables under simplified approach

Ageing	Upto 180 days	More than180 days	Total
Gross carrying amount - Trade receivables	2,771.35	28.16	2,799.50
Expected credit losses (Loss allowance provision) - trade receivables	-	-	-
Carrying amount of trade receivables (net of impairment)	**2,771.35**	**28.16**	**2,799.50**

The Company determines the allowance for credit losses based on historical loss experience adjusted to reflect current and estimated future economic conditions. The Company considered current and anticipated future economic conditions relating to industries the Company deals with and the countries where it operates. In calculating expected credit loss, the company has also considered credit reports and other related credit information for its customers to estimate the probability of default in future.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH ' 2026

Liquidity risk:

Liquidity risk arises from the company's inability to meet its cash flow commitments on time. Prudent liquidity risk management implies maintaining sufficient stock of cash and cash equivalents.

This has been achieved by the company by maintaining cash & cash equivalents of Rs.9,307.33 Lakhs as on 31st March 2026 and Rs.14,620.86 Lakhs as on 31st March 2025

Liquidity risk is also mitigated by maintaining availability of standby funding through an adequate line up of committed credit facilities

This has been achieved by the company by availing the Packing Credit facility from the bank of Rs.7,952.42 Lakhs as on 31st March 2026 and Rs.7,312.28 Lakhs as on 31st March 2025

Liquidity Exposure as at 31.03.2026

₹ Lakhs

Particulars	< 1 year	1 - 5 years	> 5 years	Total
Financial Assets:				
Investments	7,553.94	-	983.45	8,537.39
Loans	-	7.29	10.35	17.64
Trade receivables	6,020.44	-	-	6,020.44
Cash and cash equivalents	9,307.33	-	-	9,307.33
Bank balances other than above	150.78	-	-	150.78
Other Financial Assets	-		373.31	373.31
Total Financial Assets	**23,032.49**	**7.29**	**1,367.11**	**24,406.89**
Financial Liabilities:				
Borrowings	8,757.79	3,042.40	-	11,800.18
Lease Liabilities	362.69	1,921.96	-	2,284.65
Trade Payables	3,056.55	-	-	3,056.55
Other Financial Liabilities	196.94	-	-	196.94
Total Financial Liabilities	**12,373.97**	**4,964.35**	**-**	**17,338.32**

Liquidity Exposure as at 31.03.2025:

₹ Lakhs

Particulars	< 1 year	1 - 5 years	> 5 years	Total
Financial Assets:				
Investments	620.13	-	126.78	746.91
Loans	-	5.85	10.35	16.20
Trade receivables	2,799.50	-	-	2,799.50
Cash and cash equivalents	14,620.86	-	-	14,620.86
Bank balances other than above	130.03	-	-	130.03
Other Financial Assets	120.86	-	318.06	438.92
Total Financial Assets	**18,291.39**	**5.85**	**455.19**	**18,752.43**
Financial Liabilities:				
Borrowings	8,410.90	3,845.14	-	12,256.04
Lease Liabilities	336.82	2,330.47	-	2,667.28
Trade Payables	2,169.88	-	-	2,169.88
Other Financial Liabilities	130.03	-	-	130.03
Total Financial Liabilities	**11,047.63**	**6,175.61**	**-**	**17,223.23**

SKM EGG PRODUCTS EXPORT (INDIA) LIMITED

Balance Sheet of Subsidiary SKM Europe BV as at 31.03.2026

₹ Lakhs

Particulars	As at 31.03.2026	As at 31.03.2025
I. ASSETS		
(1) Non-Current Assets		
(a) Property, Plant & Equipments	-	0.74
(b) Capital work in Progress	-	-
(c) Financial Assets		
(i) Investments	-	-
(ii) Loans	-	-
(2) Current Assets		
(a) Inventories	621.35	465.04
(b) Financial Assets		
(i) Trade receivables	326.01	70.92
(ii) Cash and cash equivalents	1.16	44.08
(iii) Loans	-	5.71
(c) Other current assets	22.33	169.30
Total Assets	**970.85**	**755.80**
I. EQUITY AND LIABILITIES		
Equity		
(a) Equity Share Capital	9.80	9.80
(b) Other Equity	550.78	450.41
Liabilities		
(1) Non-Current Liabilities		
(a) Financial Liabilities		
(i) Borrowings	-	-
(2) Current Liabilities		
(a) Financial Liabilities		
(i) Borrowings	120.85	-
(ii) Trade Payables	227.84	291.31
(b) Other Current Liabilities	54.69	-
(c) Provision	6.89	4.28
Total Equity & Liabilities	**970.85**	**755.80**

as per our report of even date

FOR AND ON BEHALF OF THE BOARD

For N.C.Rajagopal & Co.,
Chartered Accountants

N.C.VIJAY KUMAR
Partner
Membership No. : 208276
Firm Reg. No.: 003398S

SKM MAEILANANDHAN
Executive Chairman & Whole Time Director

K.S.VENKATACHALAPATHY
Chief Financial Officer
Membership No. : 029064

SKM SHREE SHIVKUMAR
Managing Director

P. SEKAR
Company Secretary
Membership No..F10744

Place : Erode
Date : 22.05.2026

SKM EGG PRODUCTS EXPORT (INDIA) LIMITED

Statement of Profit and Loss Account of Subsidiary SKM Europe BV for the year ended 31.03.2026

₹ Lakhs

Particulars	2025-26	2024-25
Revenue from operations	2,995.44	1,644.07
Other Income	-	-
Total Income	**2,995.44**	**1,644.07**
Expenses:		
Cost of materials consumed	-	-
Purchase of Stock-in-Trade	2,950.93	1,649.81
Changes in inventories of finished goods, work-in-progress and Stock-in-Trade	(156.31)	(58.02)
Employee Benefit Expense	-	-
Financial Costs	7.06	5.38
Depreciation and Amortization Expense	0.74	0.37
Other Expenses	110.23	58.51
Total Expenses	**2,912.65**	**1,656.05**
Profit before tax	**82.78**	**(11.98)**
Tax expense:		
Current tax	0.82	-
Deferred tax	-	-
Profit/(Loss) for the Year	**81.97**	**(11.98)**
Other Comprehensive Income		
(i) Items that will not be reclassified to Statement of Profit and loss	18.41	29.23
(ii) Items that will be reclassified to Statement of Profit and loss	-	-
Total Comprehensive Income for the year	**100.37**	**17.25**
Earning per equity share of face value Rs.10 each		
Basic (in Rs)	455.36	(66.53)
Diluted (in Rs)	455.36	(66.53)

as per our report of even date

FOR AND ON BEHALF OF THE BOARD

For N.C.Rajagopal & Co.,
Chartered Accountants

SKM MAEILANANDHAN
Executive Chairman & Whole Time Director

SKM SHREE SHIVKUMAR
Managing Director

N.C.VIJAY KUMAR
Partner
Membership No. : 208276
Firm Reg. No.: 003398S

K.S.VENKATACHALAPATHY
Chief Financial Officer
Membership No. : 029064

P. SEKAR
Company Secretary
Membership No..F10744

Place : Erode
Date : 22.05.2026

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF SKM EGG PRODUCTS EXPORT (INDIA) LIMITED

Report on the Consolidated Financial Statements

Opinion:

We have audited the accompanying consolidated financial statements of M/s. SKM EGG PRODUCTS EXPORT (INDIA) LIMITED, (hereinafter referred to as "the Holding Company") and its subsidiary (the Holding Company and its subsidiary together referred to as "the Group") and its associate which comprise the Consolidated Balance Sheet as at March 31, 2026, the Consolidated Statement of Profit and Loss (Including Other Comprehensive Income), the Consolidated Statement of changes in equity and the Consolidated Statement of Cash Flows for the year then ended and notes to the consolidated financial statements, including a summary of the significant accounting policies and other explanatory information (hereinafter referred to as "the consolidated financial statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid consolidated financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended, ("Ind AS") and other accounting principles generally accepted in India, of the consolidated state of affairs of the group as at 31st March, 2026; the consolidated profit and consolidated total comprehensive income, consolidated changes in equity and its consolidated cash flows for the year ended on that date.

Basis for Opinion:

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in terms of Code of Ethics issued by the Institute of Chartered Accountants of India and the relevant provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the consolidated financial statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the Consolidated Financial Statements of the current period. These matters were addressed in the context of our audit of Consolidated Financial Statements as a whole, and in forming our opinion thereon and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

S No	Key Audit Matter	How our audit addressed the key audit matter
1	**Inventory Existence and Valuation:** As on 31st March 2026, the group carries inventories to the tune of Rs.124.15 crores out of which the holding company carries inventories to the tune of Rs.116.05 crores. We considered the amount of inventories as a key audit matter given the relative size of the balance in the financial statements. Also there are complexities and manual process involved in determining inventory quantities on hand and valuation of the same due to the diverse & numerous inventory products and stocks held in overseas branch and price fluctuations of products. Therefore inventory quantities and valuation is identified as a key audit matter.	• We have attended inventory counts for certain products, which we have selected based on financial significance and risk, observed management's inventory count procedures to assess the effectiveness, selected a sample of inventory products and compared the quantities counted to the quantities recorded and ensured inventory adjustments, if any, are recorded in the books of accounts. • With regard to the stocks held in the overseas branch, we have received the certificate from the overseas branch auditor and obtained management representation and verified the relevant documents relating to goods sent from head office to the branch. • Reviewed the management report regarding physical verification of inventories and traced adjustments on sample basis. • Comparative analysis of inventory as at the end of the year with the inventory at the beginning of the year. • We assessed whether the management's controls relating to inventory's valuation are appropriately designed and implemented and verified the correctness of valuation made by the management on a sample basis, with regard to the cost and net realizable value of inventory.
2	**Amortisation of livestock:** For the holding company, the primary raw material is the egg, for which the company is operating the poultry farm owned by the company as well as certain additional poultry farms and feed mills by taking the same on lease.	• Examined the method used to amortize the livestock expenses with reference to the company's historical experience and technical evaluation by internal experts (doctors) appointed by management. • Evaluated the rationale in arriving at the amortization rate with regard to the number of eggs expected from birds during the laying stage, residual value of culled birds, manner and timing of amortization.

S No	Key Audit Matter	Auditor's Response
	The amortization of livestock during the year amounts to 23.68 crores. Also there are complexities and manual process involved in arriving at the amortization rate considering a variety of factors such as age, productivity of the birds, life of birds, residual value, if any, etc., Therefore amortization of livestock is identified as a key audit matter.	• Analyzed the flow of transactions starting from accumulating the various expenditure incurred for raising the birds such as feeds, medicines, vaccines, growing and supervision charges, etc., till the birds attain laying stage. After the birds starts laying eggs, the expenses so accumulated are amortized over the useful life of the birds in proportion to the eggs laid after adjusting for the residual value of culled birds on the basis of past experiences and estimation. • Assessed the objectivity and competence of the Company's internal experts involved in the process.
3	**Evaluation of Contingent liabilities:** The holding company has an uncertain direct & indirect tax position and other contingent liabilities in respect of bills discounted which involve significant judgment to determine the possible outcome of these matters.	• Obtained the details of completed direct & indirect tax assessments and demands as on 31.03.2026 from the management. • We have also reviewed the company's correspondences and appellate documents and considered legal precedence and other rulings in evaluating management's position on these uncertain tax positions • In respect of bills discounted, analyzed the history of the business transactions of the company with the debtors whose bills were discounted and the trend of payments made by the debtors in the past and also had taken into account the transactions occurring after the balance sheet date in assessing the recoverability of debtors for the bills discounted. • Ascertained the chances of crystallization of liability are probable / possible / remote and ensured appropriate disclosure under Notes on accounts.

Information Other than the Financial Statements and Auditor's Report Thereon

The Holding Company's Board of Directors is responsible for the other information. The other information comprises the information included in the holding company's annual report, but does not include the consolidated financial statements and our auditor's report thereon.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this 'other information'; we are required to report that fact. We have nothing to report in this regard.

Management's Responsibility for the Consolidated financial statements:

The Holding Company's Board of Directors is responsible for the preparation and presentation of these Consolidated Financial Statements in term of the requirements of the Companies Act, 2013 (“the Act”) that give a true and fair view of the consolidated financial position, consolidated financial performance, consolidated total comprehensive income, consolidated statement of changes in equity and consolidated cash flows of the Group including its associates, in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under Section 133 of the Act. The respective Board of Directors of the Companies included in the Group and of its associate are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Group and its associate and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the consolidated financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error which have been used for the purpose of preparation of consolidated financial statements by the Directors of the Holding Company, as aforesaid.

In preparing the consolidated financial statements, the respective Management and Board of Directors of the companies included in the Group and its associate are responsible for assessing the ability of the group and of its associate to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the respective Board of Directors either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

The respective board of directors of the companies included in the group and of its associate are responsible for overseeing the financial reporting process of the group and of its associate.

Auditor's Responsibility for the Audit of Consolidated financial statements:

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on the internal financial controls with reference to the consolidated financial statements and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the group and its associate to continue as a going concern. If we conclude that material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the group and its associate to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group and its associate to express an opinion on the Consolidated Financial statements. For the foreign subsidiary included in the Consolidated Financial statements, which is unaudited as on the date of furnishing this report, the management of the holding company remain responsible for the direction, supervision and performance of the audit of the subsidiary company and for the associate included in the Consolidated

Financial statements, which is yet to be audited by other Independent auditors and remaining unaudited as on the date of furnishing this report, such other auditors remain responsible for the direction, supervision and performance of the audit carried out by them. We remain solely responsible for our audit opinion.

We communicate with those charged with governance of the Holding Company regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matters

We did not audit the financial statements / information of 1 branch (Foreign branch) (In Russia) included in the consolidated financial statements of the Company whose financial statements / financial information reflect total assets of Rs.1761.81 lakhs as at 31st March, 2026 and total revenues of Rs.8567.75 lakhs for the year ended on that date, as considered in the consolidated financial statements. The financial statements/information of this branch have not been audited by us and have been audited by Russian Auditor whose audit report has been furnished to us and our opinion is based on those Financial Statements received from the Branch Office and certified by the Russian Auditor. Our opinion is not qualified / modified in respect of this matter.

The consolidated financial results includes the unaudited financial statements / financial information of 1 subsidiary whose financial statements / financial information reflect total assets of Rs.964.20 lakhs as at 31st March, 2026, total income of Rs.2995.44 lakhs, total net profit after tax of Rs.69.67 lakhs, total comprehensive loss of Rs.555.74 lakhs and cash outflows (net) of Rs.163.77 lakhs for the year ended on that date, as considered in the consolidated financial statements, whose financial statements / financial information have not been audited by us. These financial statements / financial information are unaudited and have been furnished to us by the Management. Our opinion is not modified in respect of this matter.

The consolidated financial results also include the Group's share of net profit after tax of Rs.74.76 lakhs and total comprehensive income of Rs.75.47 lakhs for the year ended 31st March, 2026, as considered in the consolidated financial statements, in respect of 1 associate, whose financial statements / financial information have not been audited as on the date of furnishing this report. These financial statements/ financial information are unaudited and have been furnished to us by the Management and our opinion on the Statement, in so far as it relates to the amounts and disclosures included in respect of these subsidiary and associate, is based solely on such unaudited financial statements/financial information. Our opinion is not modified in respect of this matter.

Report on Other Legal and Regulatory Requirements:

As required by section 143(3) of the Act, we report, to the extent applicable, that:

a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit of the aforesaid consolidated financial statements.

b) In our opinion proper books of account as required by law relating to the preparation of aforesaid consolidated financial statements have been kept so far as it appears from our examination of those books.

c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss (including Other Comprehensive Income), Consolidated Statement of Changes in Equity and the Consolidated Statement of Cash Flows dealt with by this Report are in agreement with the relevant books of account maintained for the purpose of preparation of the Consolidated Financial Statements.

d) In our opinion, the aforesaid consolidated financial statements comply with the Indian Accounting Standards specified under Section 133 of the Act read with relevant rules issued thereunder.

e) On the basis of written representations received from the directors of the holding company as on March 31, 2026 taken on record by the Board of Directors of the holding company, none of the directors is disqualified as on March 31, 2026, from being appointed as a director in terms of Section 164(2) of the Act.

f) With respect to the adequacy of the internal financial controls with reference to consolidated financial statements, the holding company has only one foreign subsidiary (SKM Europe BV, Utrecht, The Netherlands) and one Indian associate (SKM Universal Marketing Company India Private Limited). As regards the foreign subsidiary, it is a company incorporated outside India and has business operations outside India and hence the company is not a company under the Companies Act, 2013 and reporting on the adequacy of the internal financial controls over financial reporting regarding subsidiary is not warranted as the provisions are applicable only to Indian subsidiaries. As regards the Indian associate, as the financial statements of the associate have not been audited as on the date of furnishing the report, we are not in a position to report on the Internal Financial Controls over Financial Reporting on Consolidated Financial Statements.

g) With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of section 197(16) of the Act, as amended, in our opinion and according to the information and the explanations given to us, the remuneration paid / provided by the holding company during the year to its directors is in accordance with the provisions of section 197 of the Act.

h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

i. The Consolidated Financial Statements disclose the impact of pending litigations on the consolidated financial position of the Group. – Also Refer Note No 2(ii) of Notes on Accounts to the Consolidated financial statements;

ii. The Group did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses and hence provisions are not warranted in consolidated financial statements.

iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the company except for an amount of rupees Rs.10,17,670 pertaining to the financial year 2017-18 .

iv. a) The management has represented that, to the best of its knowledge and belief, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the holding company to or in any other persons or entities, including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the intermediary shall:

- directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever ("Ultimate Beneficiaries") by or on behalf of the holding company or
- provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.

b)The management has represented, that, to the best of its knowledge and belief, no funds have been received by the holding company from any persons or entities, including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the holding company shall:

- directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever ("Ultimate Beneficiaries") by or on behalf of the Funding Party or
- provide any guarantee, security or the like from or on behalf of the Ultimate Beneficiaries; and

c) Based on such audit procedures as considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (iv) (a) and (iv) (b) contain any material mis-statement.

v. The final dividend proposed, declared and paid by the company during the year is in compliance with Section 123 of the Act, as applicable.

vi. Based on our examination which included test checks, the holding company has used accounting softwares for maintaining its books of account, which have a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the respective software.

Further, for the periods where audit trail (edit log) facility was enabled and operated throughout the year for the respective accounting software, we did not come across any instance of the audit trail feature being tampered with and the audit trail has been preserved by the company as per the statutory requirements for record retention.

2) As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, we give in the "**Annexure - A**" a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

For N.C. Rajagopal & Co.,
Chartered Accountants,
N.C.Vijay Kumar, Partner
Membership No : 208276
FRN : 003398S
UDIN: 26208276VZSBNA7255

Date : 22.05.2026
Place :Erode

"ANNEXURE A"

TO THE INDEPENDENT AUDITOR'S REPORT ON THE CONSOLIDATED INDAS FINANCIAL STATEMENTS OF SKM EGG PRODUCTS EXPORT (INDIA) LIMITED

Referred to in Paragraph 2 under the Heading of "Report on Other Legal and Regulatory Requirements" section of our report of even date

21) The company has only one foreign subsidiary (SKM Europe BV, Utrecht, The Netherlands) and one Indian associate (SKM Universal Marketing Company India Private Limited).

a) As regards the foreign subsidiary, it is a company incorporated outside India and has business operations outside India and hence the company is not a company under the Companies Act, 2013 and hence is not required to furnish Companies (Auditor's Report) Order (CARO) report.

b) As regards the Indian associate, the financial statements of the associate have not been audited as on the date of furnishing the report, and consequently the CARO report for the associate is not available on the date of this report.

Hence no qualifications or adverse remarks by the respective auditors in the Companies (Auditor's Report) Order (CARO) reports of the companies included in the consolidated financial statements were received as on the date of furnishing this report.

For N.C. Rajagopal & Co.,
Chartered Accountants,
N.C.Vijay Kumar, Partner
Membership No : 208276
FRN : 003398S
UDIN: 26208276VZSBNA7255

Date : 22.05.2026
Place :Erode

CONSOLIDATED BALANCE SHEET AS AT 31.03.2026

CIN : L01222TZ1995PLC006025

₹ Lakhs

Particulars	Note No.	As at 31.03.2026	As at 31.03.2025
I. Assets			
(1) Non-current assets			
(a) Property, Plant and Equipment			
(i) Own assets	3(a)	**15,763.94**	16,250.87
(ii) Right to Use Lease Assets	3(b)	**2,044.38**	2,537.44
(b) Capital work-in-progress	3(c)	**632.78**	46.80
(c) Financial Assets			
(i) Investments	4(a)	**229.52**	154.05
(ii) Loans	4(b)	**17.64**	**16.20**
(iii) Other Financial Assets	4(c)	**373.31**	**318.06**
(d) Deferred tax assets (net)		-	-
(e) Other non-current assets		-	-
(2) Current assets			
(a) Inventories	5	**12,414.92**	10,443.63
(b) Financial Assets			
(i)Investments	6(a)	**7,553.94**	620.13
(ii)Trade receivables	6(b)	**6,150.26**	2,870.43
(iii)Cash and cash equivalents	6(c)	**9,308.49**	14,664.94
(iv)Bank balances other than (iii) above	6(d)	**150.78**	130.03
(v) Other financial assets	6(e)	-	120.86
(c) Other current assets	7	**4,887.77**	1,187.00
Total Assets		**59,527.73**	**49,360.45**
II. EQUITY AND LIABILITIES			
Equity			
(a) Equity Share capital	8(a)	**2,633.00**	2,633.00
(b) Other Equity	8(b)	**36,901.28**	27,682.96
LIABILITIES			
(1) Non-current liabilities			
(a) Financial Liabilities			
(i) Borrowings	9(a)	**3,042.40**	3,845.14
(ia) Lease Liabilities - Non current	9(b)	**1,921.96**	2,330.47
(b) Provisions	10	**77.81**	18.52
(c) Deferred tax liabilities (Net)	11	**704.24**	806.96
(d) Minority Interest	12	**84.09**	69.03
(2) Current liabilities			
(a) Financial Liabilities			
(i)Borrowings	13(a)	**8,878.63**	8,410.90
(ia) Lease Liabilities	13(b)	**362.69**	336.82
(ii) Trade payables	13(c)		
(A) total outstanding dues of micro enterprises and small enterprises; and		**319.13**	164.04
(B) total outstanding dues of creditors other than micro enterprises and small enterprises.		**2,958.61**	2,297.15
(iii) Other Financial Liabilities	13(d)	**196.94**	130.03
(b) Other current liabilities	14	**863.23**	273.92
(c) Provisions	15	**583.72**	361.50
Total Equity and Liabilities		**59,527.73**	**49,360.45**

See accompanying Notes to the Financial Statements

FOR AND ON BEHALF OF THE BOARD

For N.C.RAJAGOPAL & CO.,
Chartered Accountant
N.C.VIJAY KUMAR (Partner)
Membership No. : 208276
Firm Reg. No.: 003398S
Place : Erode | Date : 22.05.2026

SKM MAEILANANDHAN
Executive Chairman & Whole Time Director

K.S.VENKATACHALAPATHY
Chief Financial Officer | Membership No. : 029064

SKM SHREE SHIVKUMAR
Managing Director

P. SEKAR
Company Secretary | Membership No.F10744

CONSOLIDATED STATEMENT OF PROFIT & LOSS FOR THE PERIOD ENDED 31.03.2026

CIN : L01222TZ1995PLC006025

₹ Lakhs

Particulars	Note No.	2025-26	2024-25
Revenue from operations	18	**76,799.52**	49,782.94
Other Income	19	**1,910.48**	1,403.80
Total Income		**78,710.00**	**51,186.74**
EXPENSES			
Cost of materials consumed	20	**43,674.10**	28,252.17
Purchases of Stock-in-Trade	21	**3,406.87**	2,772.97
Changes in inventories of finished goods, Stock-in -Trade and work-in-progress	22	**(327.99)**	1,369.08
Employee benefits expense	23	**3,467.69**	3,364.31
Finance costs	24	**1,479.91**	1,128.29
Depreciation and amortization expense	25	**3,923.59**	3,455.68
Other expenses	26	**9,421.91**	6,162.48
Total Expenses		**65,046.08**	**46,504.99**
Profit before Share of Proft / (Loss) of Associates		**13,663.92**	4,681.75
Share of Proft / (Loss) of Associates		**74.76**	(40.19)
Profit / (loss) before tax		**13,738.68**	**4,641.56**
Tax expense:			
(1) Current tax	27 (i)	**3,192.22**	1,034.81
(2) Deferred tax	27 (ii)	**159.02**	147.21
Profit / (Loss) for the Year		**10,387.45**	**3,459.55**
Other Comprehensive Income			
(A) Items that will not be reclassified to Statement of Profit and loss			
i) Remeasurement of Defined Benefit Plans & Others		**(43.75)**	51.22
ii) Equity Instruments through Other Comprehensive Income		**(829.20)**	-
iii) translating the financial statements of a foreign operation		**18.41**	29.23
iv) Share in OCI of Associate		**0.71**	3.10
(v) Income tax relating to items that will not be reclassified to Statement of Profit and loss		**(219.70)**	12.89

CONSOLIDATED STATEMENT OF PROFIT & LOSS FOR THE PERIOD ENDED 31.03.2026

CIN : L01222TZ1995PLC006025

₹ Lakhs

Particulars	Note No.	2025-26	2024-25
(B) Items that will be reclassified to Statement of Profit and loss			
(i) Effective portion of cash flow hedge on derivative instruments		**(167.03)**	(335.32)
(ii) Income tax relating to items that will be reclassified to Statement of Profit and loss		**(42.04)**	(84.39)
Total Comprehensive Income for the year		**9,628.33**	**3,279.28**
Net Profit attributable to :			
(i) Owners of the Company		**10,375.15**	3,461.34
(ii) Non controlling Interest		**12.29**	(1.80)
Other Comprehensive Income attributable to :			
(i) Owners of the Company		**(761.88)**	(184.65)
(ii) Non controlling Interest		**2.76**	4.38
Total Comprehensive Income attributable to :			
(i) Owners of the Company		**9,613.27**	3,276.70
(ii) Non controlling Interest		**15.06**	2.59
Earning per equity share of face value Rs.5 each	28		
Basic (in Rs.)		**19.70**	6.57
Diluted (in Rs.)		**19.70**	6.57

See accompanying Notes to the Financial Statements

FOR AND ON BEHALF OF THE BOARD

For N.C.RAJAGOPAL & CO.,
Chartered Accountant
N.C.VIJAY KUMAR
Partner
Membership No. : 208276
Firm Reg. No.: 003398S

SKM MAEILANANDHAN
Executive Chairman & Whole Time Director

K.S.VENKATACHALAPATHY
Chief Financial Officer
Membership No. : 029064

SKM SHREE SHIVKUMAR
Managing Director

P. SEKAR
Company Secretary
Membership No.F10744

Place : Erode
Date :22.05.2026

SKM EGG PRODUCTS EXPORT (INDIA) LIMITED

Consolidated Statement Of Changes In Equity

A. Equity Share Capital ₹ Lakhs

Balance at the beginning of the reporting period (i.e. 1st April, 2025)	Changes in equity share capital during the year 2025-26	Balance at the end of the reporting period (i.e. 31st March, 2026)
2,633.00	-	2,633.00
Balance at the beginning of the reporting period (i.e. 1st April, 2024)	**Changes in equity share capital during the year 2024-25**	**Balance at the end of the reporting period (i.e. 31st March, 2025)**
2,633.00	-	2,633.00

B. Other Equity
As on 31st March 2026 ₹ Lakhs

Particulars	Reserves & Surplus				
	Securities Premium	General Reserve	Retained Earnings	Other Comprehensive Income	Total
Balance at the beginning of the reporting period (i.e. 1st April, 2025)	13.37	4.33	27,451.15	214.11	27,682.96
Total Comprehensive Income for the year	-	-	10,375.15	(761.88)	9,613.27
Dividends	-	-	(394.95)	-	(394.95)
Balance at the end of the reporting period (i.e. 31st March, 2026)	13.37	4.33	37,431.35	(547.77)	36,901.28

As on 31st March 2025 ₹ Lakhs

Particulars	Reserves & Surplus				
	Securities Premium	General Reserve	Retained Earnings	Other Comprehensive Income	Total
Balance at the beginning of the reporting period (i.e.1st April, 2024)	13.37	4.33	24,648.06	398.75	25,064.51
Total Comprehensive Income for the year	-	-	3,461.34	(184.65)	3,276.70
Dividends	-	-	(658.25)	-	(658.25)
Balance at the end of the reporting period (i.e. 31st March, 2025)	13.37	4.33	27,451.15	214.11	27,682.96

as per our report of even date
For N.C.RAJAGOPAL & CO.,
Chartered Accountant
N.C.VIJAY KUMAR
Partner
Membership No. : 208276
Firm Reg. No.: 003398S

SKM MAEILANANDHAN
Executive Chairman & Whole Time Director

FOR AND ON BEHALF OF THE BOARD
SKM SHREE SHIVKUMAR
Managing Director

K.S.VENKATACHALAPATHY
Chief Financial Officer | Membership No. : 029064

P. SEKAR
Company Secretary | Membership No.F10744

Place : Erode | Date : 22.05.2026

CONSOLIDATED CASH FLOW STATEMENT FOR THE PERIOD FROM 1ST APRIL, 2025 TO 31ST MARCH, 2026

₹ Lakhs

Particulars	2025-26	2024-25
CASH FLOW FROM OPERATING ACTIVITIES:		
Net Profit Before Tax as per Statement of Profit and Loss	13,738.68	4,641.56
Adjusted for:		
Depreciation	1,555.84	1,377.32
Financial Cost	1,479.91	1,128.29
(Profit) / Loss on Sale of Assets	(0.84)	(2.06)
(Profit) / Loss on Sale of Investments	(4.04)	-
Unrealised (Gain) / Loss on Investments	3.04	(47.14)
Gain or Loss on Assets withdrawal	(1.06)	-
Gain or Loss on Lease Termination	(5.05)	-
Asset Retirement by Scrapping (write-off)	144.04	-
Share of (Profit) / Loss of Associate	(74.76)	40.19
Interest income	(1,052.72)	(1,034.62)
Operating profit before Working capital changes	**15,783.02**	**6,103.53**
Adjusted for:		
Trade & Other Receivables	(6,916.44)	1,292.91
Inventories	(1,971.29)	977.52
Trade & Other Payables	1,561.90	(817.02)
Cash Generated from Operations	**8,457.20**	**7,556.95**
Taxes Paid (Net)	(3,192.22)	(1,034.81)
Net Cash from / (used in) Operating Activities - A	**5,264.98**	**6,522.14**
CASH FLOW FROM INVESTING ACTIVITIES:		
Purchase of Fixed Assets	(1,423.56)	(3,312.92)
Purchase of Current Investments	(8,055.75)	0.00
Sale of Current Investments	293.75	-
Sale of Fixed Assets	67.65	8.75
Interest income	1,052.72	1,034.62
Net Cash from / (used in) Investing Activities - B	**(8,065.19)**	**(2,269.55)**
CASH FLOW FROM FINANCING ACTIVITIES:		
Long Term Borrowings	(866.82)	(278.80)
Financial Cost (excluding Interest on lease Liability)	(1,253.80)	(1,010.34)
Lease Liability paid	(551.74)	(534.25)
Dividend paid	(394.95)	(658.25)
Net Cash Flow from / (used in) Financing Activities - C	**(3,067.31)**	**(2,481.64)**
Net Increase / (Decrease) in Cash and Cash equivalents	(5,867.52)	1,770.95
Opening Cash & Cash Equivalents	7,253.52	5,482.57
Closing Cash & Cash Equivalents	1,386.00	7,253.52

1. Cash and cash equivalents include cash on hand, in banks and demand deposits with banks, net of outstanding bank overdraft that are repayable on demand and are considered part of the Company's cash management system. Also refer note number 6(c) & 6(d).
2. The above cashflow statement has been prepared following the indirect method as set out in Ind AS-7.

as per our report of even date

For N.C.RAJAGOPAL & CO.,
Chartered Accountant
N.C.VIJAY KUMAR
Partner
Membership No. : 208276 | Firm Reg. No.: 003398S
Place : Erode | Date : 22.05.2026

SKM MAEILANANDHAN
Executive Chairman & Whole Time Director

K.S.VENKATACHALAPATHY
Chief Financial Officer | Membership No. : 029064

FOR AND ON BEHALF OF THE BOARD
SKM SHREE SHIVKUMAR
Managing Director

P. SEKAR
Company Secretary | Membership No.F10744

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

1. GENERAL INFORMATION & COMPANY BACKGROUND

SKM Egg Products Export India Limited ("the company") is a public listed company incorporated and domiciled in India.

The address of its registered office is No.133, 133/1, Gandhiji Street, Erode - 638001 and the address of the principal place of business is Cholangapalayam, Erode which addresses are also disclosed in the introduction to the annual report. The Company has its primary listing with Bombay Stock Exchange and National Stock Exchange in India.

The Company is an Export Oriented Undertaking engaged in the production and sale of eggs and manufacture and sale of Egg Products. The company's revenue is mainly on account of export of egg products.

SIGNIFICANT ACCOUNTING POLICIES:

BASIS OF PREPARATION AND PRESENTATION:

The financial statements have been prepared on the historical cost basis except for the following assets and liabilities which have been measured at fair value amount :

i) Certain financial assets and liabilities (including derivative instruments)

ii) Defined benefit plans - plan assets

Historical cost is generally based on the fair value of the consideration given in exchange for goods and services. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. All assets and liabilities have been classified as current and non-current as per the Company's normal operating cycle. Based on the nature of transactions involving sale of goods to customers and time elapsed between deployment of resources and the realisation in cash and cash equivalents, the Company has considered an operating cycle of 12 months.

STATEMENT OF COMPLIANCE:

These financial statements have been prepared in accordance with Indian Accounting Standards ('Ind AS'), notified under Section 133 of the Companies Act, 2013 (the Act), read with the Companies (Indian Accounting Standards) Rules, 2015 and other relevant provisions of the Act.

Effective April 1, 2017, the Company has adopted all the applicable Ind AS Standards and the adoption was carried out in accordance with Ind AS 101, First Time adoption of Indian Accounting Standards, with April 1, 2016 as the transition date. The transition was carried out from Indian Accounting Principles Generally Accepted in India (Indian GAAP), as prescribed under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014 (Indian GAAP), which was the previous GAAP.

Accounting Policies have been consistently applied except where a newly issued Accounting Standard is initiallty adopted or a revision to an existing Accounting Standard requires a change in the Accounting Policy hitherto adopted.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

FUNCTIONAL AND PRESENTATION CURRENCY

The financial statements are presented in Indian rupees, the national currency of India, which is the functional currency of the company.

Figures are rounded off to the nearest lakhs with two decimal places.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Inventories

Inventories are valued in line with Ind AS 2 - Inventories. Items of inventories are measured at lower of cost and net realisable value after providing for obsolescence, if any, except in case of by-products which are valued at net realisable value. Cost of inventories comprises of cost of purchase, cost of conversion and other costs including manufacturing overheads net of recoverable taxes incurred in bringing them to their respective present location and condition. The formula used for arriving at the cost for various items of inventories are as follows:

i)	Raw materials	-	Weighted Average Cost
ii)	Packing Materials	-	Weighted Average Cost
iii)	Additives	-	Weighted Average Cost
iv)	Stores & Spares	-	Weighted Average Cost
v)	Semi-finished goods	-	Weighted Average Cost
vi)	Finished goods	-	Weighted Average Cost
vii)	Livestock	-	Weighted Average Cost

Livestocks of the company comprises live birds reared primarily for eggs. Initially Live birds (Chicks) are purchased and grown by the company. After a particular period, the bird enters the stage of grower, in which stage, the bird attains its full growth but is yet to lay eggs. Once, the live bird is fully grown and starts laying eggs, these birds enter the layer stage and are categorized as layer birds. The useful life of the birds will start only from the stage it starts laying eggs. The useful life of the layer birds are normally one year or less than a year, after which the layer birds would become devoid of the egg laying ability and are culled from the flock and the birds so culled are sold as scrap (culled birds).

As the birds are reared by the company for eggs, the live birds are bearer biological assets and are outside the scope of Ind AS 41 and need to be accounted as per Ind AS 16 - Property, Plant, and Equipment. However, since the useful life of the layer bird is comparitively small (one year or less in most cases) for it to be categorized under Ind AS 16 (PPE), live birds at chick stage, grower stage and the unamortized value of layer birds are categorized under Ind AS 2 - inventories. Although layer birds are living animals and contribute to future economic benefits through egg production, they are primarily part of the Company's integrated production process. Accordingly, the Company treats layer birds as inventory under Ind AS 2 – Inventories, recognized at cost. This approach reflects the substance of the transactions and provides more reliable and relevant financial information.

Ind AS 2 - Inventories applies to agricultural produce after harvest. Eggs are therefore valued in line with Ind AS 2 - Inventories.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

Paragraph 30 of Ind AS 41 states as follows:

There is a presumption that fair value can be measured reliably for a biological asset. However, that presumption can be rebutted only on initial recognition for a biological asset for which quoted market prices are not available and for which alternative fair value measurements are determined to be clearly unreliable. In such a case, that biological asset shall be measured at its cost less any accumulated depreciation and any accumulated impairment losses. Once the fair value of such a biological asset becomes reliably measurable, an entity shall measure it at its fair value less costs to sell.

Reason why a reliable estimate of the fair value of the birds cannot be made:

The livestock contains birds of numerous phases ranging from day old chicks, to layer birds of various stages within a year. The fair value of layer birds is not reliably measurable due to variability in age, health, productivity, and market prices. Also, as the birds are reared for eggs and not for their meat, the fair value or marketability of the layer birds does not hold much relevance for the company, (although old and aged birds are culled from the flock and sold as scrap birds, after the birds stop laying eggs) and only the extraction of eggs from the layer birds is relevant to the business of the company. Any attempt to prematurely assess fair value of the biological assets is bound to portray a distorted financial position of the company with respect to the livestock. Hence, having regard to the facts and the impracticalities attached with assessing the fair value of the same, a reliable estimate of the live birds cannot be made and are valued at cost and are held under inventories.

Valuation of livestock:

a.) The livestock is valued on the basis of purchase cost of birds with loaded expenses upto the stage of birds attaining layer stage. The accumulated costs are amortized over the period of the layer birds after it starts laying eggs based on the number of eggs laid by the birds.

b.) Culled birds are valued at market price or net realisable value. The cost is considered in respect of live and culled birds, after taking into account the mortality of the birds.

Revenue Recoginition

Revenue from sale of goods is recognised when the significant risks and rewards of ownership have been transferred to the buyer, recovery of the consideration is probable, the associated cost can be estimated reliably, there is no continuing effective control or managerial involvement with the goods, and the amount of revenue can be measured reliably.

Revenue from sale of goods is meaured at the fair value of consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duties collected on behalf of the government.

Revenue is recognised and expenditure is accounted for on their accrual

Sales of Finished goods, Eggs, Birds & Feeds are recognised on accrual basis and are accounted for in the books of accounts on the dates on which the goods are actually despatched from the Factory, Farm, Feedmill respectively.

Interest Income :

Interest income from a financial asset is recognised using effective interest rate method.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

Dividend Income :

Revenue on account of dividend income recognised when the Company's right to receive the payment has been established.

Government grants / assistance :

Revenue from grants, subsidies or government assistance in any form are recognised when the Company's right to receive the payment has been established.

Grants from the Government are recognized at their fair market value where there is a reasonable assurance that the grant will be received and the company will comply with all attached conditions. Government grants receivable as compensation for expenses or financial support are recognized in profit or loss of the period in which it becomes available.

Government grants relating to the purchase of property, plant and equipment are shown by way of reduction from the value of the Property, plant & equipment in accordance with Ind AS 20 - Accounting for Government Grants and Disclosure of Government Assistance.

Finance Cost

Borrowing costs include exchange differences arising from foreign currency borrowings to the extent they are regarded as an adjustment to the interest cost. Borrowing costs that are directly attributable to the acquisition or construction of qualifying assets are capitalised as part of the cost of such assets. A qualifying asset is one that necessarily takes substantial period of time to get ready for its intended use.

Interest income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

All other borrowing costs are charged to the Statement of Profit and Loss for the period for which they are incurred.

Leases

The Company, as a lessee, recognises a right of use asset and a lease liability for its leasing arrangements, if the contract conveys the right to control the use of an identified asset.

The contract conveys the right to control the use of an identified asset, if it involves the use of an identified asset and the Company has substantially all of the economic benefits from use of the asset and has right to direct the use of the identified asset. The cost of the right of use asset shall comprise of the amount of the initial measurement of the lease liability adjusted for any lease payments made at or before the commencement date plus any initial direct costs incurred. The right-of-use assets is subsequently measured at cost less any accumulated depreciation, accumulated impairment losses, if any and adjusted for any remeasurement of the lease liability. The right-of-use assets is depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset.

The Company measures the lease liability at the present value of the lease payments that are not paid at the commencement date of the lease. The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Company uses incremental borrowing rate.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

Lease liability and ROU asset are separately presented in the Balance Sheet and lease payments are classified as financing cash flows. At the date of commencement of the lease, the Company recognizes a right-of-use ("ROU") asset representing its right to use the underlying asset for the lease term and a lease liability for all lease arrangements in which it is a lessee except for leases with a term of 12 months or less (short term leases) and leases for which the underlying assets is of low value. For short-term and low value leases, the Company recognises the lease payments as an operating expense on a straight-line basis over the lease term.

Earnings Per Share

Basic earnings per share is calculated by dividing the net profit after tax by the weighted average number of equity shares outstanding during the year. Diluted earnings per share adjusts the figures used in determination of basic earnings per share to take into account the conversion of all dilutive potential equity shares. Since the company does not have any potential equity shares, the basic earnings per share and diluted earnings per share are the same for the company.

Provisions

Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event, if it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

Tax Expenses:

The tax expense for the period comprises current and deferred tax. Tax is recognised in Statement of Profit and Loss, except to the extent that it relates to items recognised in the comprehensive income or equity. In which case, the tax is also recognised in other comprehensive income or equity.

Current tax:

Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities based on the tax rates that are enacted or substantively enacted at the Balance Sheet date.

The current income tax expense includes income taxes payable by the Company and its branch in overseas. The current tax payable by the Company in India is the Indian income tax payable on income earned in India and from overseas branch. Current income tax payable by overseas branch of the Company is computed in accordance with the tax laws applicable in the jurisdiction in which the respective branch operates. The taxes paid are generally available for set off against the Indian income tax liability of the Company's worldwide income.

Advance taxes and provisions for current income taxes are presented in the balance sheet after off-setting advance tax paid and income tax provision arising in the same tax jurisdiction and where the relevant tax paying unit intends to settle the asset and liability on a net basis.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

Deferred Tax:

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. The carrying amount of Deferred tax liabilities and assets are reviewed at the end of each reporting period.

Cash Flow Statements

Cash Flow Statement has been prepared under "Indirect Method". For the purposes of the cash flow statement, cash and cash equivalents include cash on hand, in banks and demand deposits with banks, net of outstanding bank overdrafts that are repayable on demand and are considered part of the Company's cash management system. In the balance sheet, bank overdrafts are presented under borrowings within current liabilities.

Property, plant & equipment:

Property, plant & equipment are stated at cost, net of recoverable taxes, trade discount and rebates less accumulated depreciation and impairment losses, if any. Such cost includes purchase price, borrowing cost and any cost directly attributable to bringing the assets to its working condition for its intended use, net changes on foreign exchange contracts and adjustments arising from exchange rate variations attributable to the assets.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the entity and the cost can be measured reliably.

Expenses incurred relating to project, net of income earned during the project development stage prior to its intended use are considered as pre-operative expenses and disclosed under Capital Work-in-progress

Depreciation on property, plant & equipment is provided on straight line method as per the useful life prescribed in Schedule II of the Companies Act 2013, except for imported plant & machinery for which the useful life has been taken based upon the technical evaluation by the expert committee on the useful life of the assets. In respect of assets added/adjusted during the year, depreciation is provided on pro-rata basis.

The residual values, useful lives and method of depreciation of property, plant & equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

Gains or losses arising from derecognition of a property, plant & equipment are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Profit and Loss when the asset is derecognised.

Foreign currencies transactions and translation:

Transactions in foreign currencies are recorded at the exchange rate prevailing on the dates of transaction. Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency closing rates of exchange at the reporting rate.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

Exchange differences arising on settlement or translation of monetary items are recognised in Statement of Profit and Loss except to the extent of exchange differences which are regarded as an adjustment to interest costs on foreign currency borrowings that are directly attributable to the acquisition or construction of qualifying assets, are capitalized as cost of assets.

Non-monetary items that are measured in terms of historical cost in a foreign currency are recorded using exchange rates at the date of transaction. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was measured. The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with recognition of the gain or loss on the change in fair value of the item (i.e., translation differences on items whose fair value gain or loss is recognised in OCI or Statement of Profit and Loss are also recognised in OCI or Statement of Profit and Loss, respectively.

Employee Benefits Expense:

Short Term Employment Benefits:

The undiscounted amount of short term employee benefits expected to be paid in exchange for the services rendered by employees are recognised as an expense during the period when the employees render the services.

Post-Employment Benefits:

Defined Contribution Plans:

A defined contribution plan is a post-employment benefit plan under which the company pays specified contributions to the specific entity. The company makes specified monthly contributions towards Provident Fund and Pension Scheme. The company's contribution is recognised as an expense in the Statement of Profit and Loss during the period in which the employee renders the related service.

Defined benefit plans:

The gratuity liability amount is contributed to the gratuity fund approved by the respective IT authorities. The present value of the obligation is determined based on actuarial valuation using the Projected Unit credit method, which recognizes each period of service as giving rise to additional unit of employee benefit entitlement and measures each unit separately to build up the final obligation.

The estimates of rate of escalation in salary considered in actuarial valuation, take into account inflation, seniority, promotion and other relevant factors including supply and demand in the employment market.

Impairment of non-financial assets - property, plant and equipment:

The company assesses at each reporting date as to whether there is any indication that any property, plant and equipment or group of assets, called cash generating units (CGU) may be impaired. If any such indication exists, the recoverable amount of an asset or CGU is estimated to determine the extent of impairment, if any. When it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the CGU to which the asset belongs.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

An impairment loss is recognised in the Statement of Profit and Loss to the extent, asset's carrying amount exceeds the recoverable amount. The recoverable amount is the higher of an asset's fair value less cost of disposal and value in use. Value in use is based on the estimated future cash flows, discounted to their present value using pre-tax discount rate that reflects current market assessments of the time value of money and risk specific to the assets. The impairment loss recognised in prior accounting period is reversed if there has been a change in the estimate of recoverable amount.

Events after the reporting period

Where events occurring after the Balance Sheet date provide evidence of conditions that existed at the end of the reporting period, the impact of such events is adjusted within the financial statements. Otherwise, events after the Balance Sheet date of material size and of nature are only disclosed.

CRITICAL ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

The preparation of the company's financial statement requires management to make judgement, estimates and assumptions that affect the reported amount of revenue, expenses, assets and liabilities and the accompanying disclosures. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Depreciation / amortisation and useful lives of property, plant and equipment and Livestock:

Property, plant and equipment / Livestock are depreciated / amortised over their estimated useful lives, after taking into account estimated residual value. Management reviews the estimated useful lives and residual values of the assets annually in order to determine the amount of depreciation / amortisation to be recorded during any reporting period. The useful lives and residual values are based on the company's historical experience with similar assets and take into account anticipated technological changes. The depreciation / amortisation for the future periods is revised if there are significant changes from previous estimates.

Recoverability of trade receivable:

Judgements are required in assessing the recoverability of overdue trade receivables and determining whether a provision against those receivables is required. Factors considered include the credit rating of the counterparty, the amount and timing of anticipated future payments and any possible actions that can be taken to mitigate the risk of non-payment.

Provisions:

Provisions and liabilities are recognized in the period when it becomes probable that there will be a future outflow of funds resulting from past operations or events and the amount of cash outflow can be reliably estimated. The timing of recognition and quantification of the liability requires the application of judgement to existing facts and circumstances, which can be subject to change. The carrying amounts of provisions and liabilities are reviewed regularly and revised to take account of changing facts and circumstances.

Impairment of non-financial assets:

The company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, the company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

Cash Generating Units (CGU's) fair value less costs of disposal and its value in use. It is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or a group of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account, if no such transactions can be identified, an appropriate valuation model is used.

Impairment of financial assets:

The impairment provisions for financial assets are based on assumptions about risk of default and expected cash loss rates. The company uses judgement in making these assumptions and selecting the inputs to the impairment calculation, based on company's past history, existing market conditions as well as forward looking estimates at the end of each reporting period.

Accounting for Government Grants and Disclosure of Government Assistance:

The Government Grants are accounted in line with IND AS 20 - "Accounting for Government Grants and Disclosure of Government Assistance".

Unfulfilled conditions and other contingencies attaching to government assistance that has been recognised - Nil.

The grant has received towards the acquisition of PPE (Property, Plant & equipments and accordingly treated as a capital grant and adjusted against the cost of The value of property, plant & equipments is disclosed net of government grants received from MOFPI (Ministry of Food Processing Industries) of Rs.488.72 lakhs during 2018-19 to 2020-21.

Principles Used in Preparing Consolidated Financial Statements:

The consolidated financial statements relate to SKM Egg Products Export India Limited with its subsidiary SKM Europe BV, Utrecht, The Netherlands and Associate SKM Universal Marketing Company India Private Limited. The financial statements have been prepared on the following basis.

(i) The financial statements of parent and its Subsidiary is combined on a line by line basis by adding together like items of assets, liabilities, income and expenses.

(ii) The difference between the cost of investment in the subsidiaries, over the net assets at the time of acquisition of shares in the subsidiaries is recognised in the financial statements as Goodwill or Capital Reserve, as the case may be.

(iii) Intercompany transaction, balances and unrealized gains on transactions between group companies are eliminated.

(iv) Investment in Associate has been accounted under the equity method as per Ind AS 28 – Investment in Associate and Joint Venture.

(v) The Company accounts for its share of post acquisition changes in net assets of associates after eliminating unrealized profits and losses resulting from transactions between the Company and its associates to the extent of its share, through its consolidated Statement of Profit and Loss.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

(vi) The difference between the cost of investments in the associates and the share of net assets at the time of acquisition of shares in the associates is identified in the financial statements as Goodwill or Capital Reserve as the case may be.

(vii) Consolidated Financial Statement are prepared using uniform accounting policies for the like transactions and other events in similar circumstances.

APPROVAL OF FINANCIAL STATEMENTS:

The Financial Statements were approved for issue by the board of directors at their meeting held on 22.05.2026.

DETAILS OF LOANS GIVEN, INVESTMENTS MADE AND GUARANTEE GIVEN COVERED UNDER SECTION 186(4) OF THE COMPANIES ACT 2013

i) Loans given - Nil

ii) Investments made

Particulars	No of Shares	Value
SKM Universal Marketing Company India Private Limited - Associate Company	7,89,700	Rs.78,70,000

iii) Corporate Guarantees - Nil

Ind AS - 12 - Income Taxes

During the financial year 2021-22, a search operation was carried out by the Investigation Wing, Chennai on the company. The search related assessment for the AY 2021-22 & AY 2022-23 was completed and a demand of Rs. 211.53 lakhs & 143.46 lakhs was raised in the said assessment. Out of this, 20% of the demand had been paid as on date and appeal had been preferred with Commissioner of Income Tax (Appeals) - 20, Chennai against the Assessment order passed by the Assessing Offficer. Presently demand of Rs.169.22 lakhs (for AY 2021-22) & Rs.114.77 lakhs (for AY 2022-23) respectively is outstanding for the above cited years. Since the company is confident of coming out successful in the Appeals as per the advice taken from the legal experts, no provision have been made in the books for the said income tax liability and disclosed as a contingent liability.

For the assessment year 2013-14, certain amount was disallowed in the assessment, which has the effect of reducing the loss by of Rs.359.67 lakhs which disallowance was also upheld by the Commissioner of Income Tax (Appeals). Subsequently, the company has preferred appeal against the order of the CIT (Appeals), wherein the honourable ITAT has granted relief to the extent of 340.02 lakhs. Consequently, the loss of the year amounting to Rs.340.02 lakhs was restored. The giving effect order for the said appellate order is passed by the Assessing officer.

For the assessment year 2014-15, the company has opted to discharge the tax liability under Vivad Se Viswas Scheme after withdrawing the appeal filed for the year. As a result of this, the interest liability to the extent of 80.66 lakhs had been waived off. As the tax paid for the assessment year 2014-15 is under MAT provisions of the Income Tax Act, the amount paid is eligible for set off in the subsequent years against the tax liability under normal provisions of the Income Tax Act,1961. Therefore, the company is eligible for refund of the income tax paid in the assessment year 2014-15 in the subsequent years

along with applicable interest. Hence, effectively there is no tax liabilty for the AY 2014-15.

Consequent to the giving effect orders passed for AY 2013-14 & 2014-15, there is refund aggregating to Rs.426.83 (including interest) in the subsequent years, out of which Rs.236.94 lakhs have been received and Rs.189.89 lakhs is to be received as income tax refund.

2. CONTINGENT LIABILITIES & COMMITMENTS: **₹ Lakhs**

Particulars	As at 31.03.2026	As at 31.03.2025
a) Claims against the company / disputed liabilities not acknowledged as debts:		
i) Income Tax Liability	283.99	283.99
ii) Service Tax Liability	83.61	83.61
iii) Goods and Service Tax Liability	3,176.99	-
iv) Claims made against the company	15.49	55.08
b) Other money for which the Company is contingently liable:		
i) Liability in respect of bills discounted with banks	3,306.01	943.12

No provision has been made in respect of the above demand of Income Tax, Service Tax and Goods and Service Tax for which the company has filed appeals with various Higher Appellate Forums, against the orders of the Lower Authorities since the company is confident of coming out successful in the Appeals as per the advice taken from the legal experts.

Also no provision has been made in respect of the claims made against the company since the company has filed appeal in the High Court against the claims made and the company is confident of coming out successful in the said appeal as per the advice taken from the legal experts.

03. CONSOLIDATED PROPERTY, PLANT & EQUIPMENT

₹ Lakhs

S. No.	Particulars	Gross Block				Depreciaton				Net Block	
		01.04.2025	Addition during the year	Deduction during the year	31.03.2026	01.04.2025	Depreciation for the year	Deduction during the year	31.03.2026	31.03.2026	31.03.2025
(a)	**Tangible Assets**										
	(Own assets)										
	Land	493.97	82.66	-	576.63	-	-	-	-	576.63	493.97
	Building	9,374.06	116.79	366.39	9,124.46	2,404.27	293.35	189.32	2,508.30	6,616.16	6,969.79
	Plant & Machinery	15,295.17	37.25	158.33	15,174.09	7,896.19	539.53	126.91	8,308.82	6,865.27	7,398.98
	Electrical Installation and equipments	1,016.02	50.20	2.60	1,063.63	720.91	38.12	2.08	756.95	306.67	295.11
	Lab Equipment	466.24	6.26	-	472.50	387.40	8.25	-	395.65	76.86	78.85
	Office Eqiupment	234.11	152.51	-	386.62	182.26	31.82	-	214.08	172.54	51.85
	Computers	486.93	23.13	0.65	509.42	392.47	44.31	0.65	436.13	73.28	94.46
	Furniture & Fixtures	141.14	2.49	-	143.63	109.62	4.64	-	114.26	29.37	31.52
	Motor Vehicles	1,357.07	366.29	10.06	1,713.30	520.73	154.70	9.28	666.15	1,047.16	836.34
	SUB TOTAL (a)	28,864.72	837.58	538.02	29,164.28	12,613.85	1,114.73	328.23	13,400.34	15,763.94	16,250.87
(b)	**Tangible Assets**										
	(Right to Use Assets) Plant & Machinery	4,242.99	-	87.81	4,155.18	1,705.55	441.11	35.86	2,110.80	2,044.38	2,537.44
	SUB TOTAL (b)	4,242.99	-	87.81	4,155.18	1,705.55	441.11	35.86	2,110.80	2,044.38	2,537.44
(c)	**Capital Work-in-progress**										
	Plant & Machinery	8.02	193.32	28.42	172.92	-	-	-	-	172.92	8.02
	Others	38.78	1,016.83	595.75	459.86	-	-	-	-	459.86	38.78
	SUB TOTAL (c)	46.80	1,210.15	624.18	632.78	-	-	-	-	632.78	46.80
	Total (a+b+c) (Current Year)	33,154.51	2,047.74	1,250.01	33,952.24	14,319.40	1,555.84	364.09	15,511.14	18,441.10	18,835.11
	(Previous Year)	27,780.27	12,095.89	6,721.65	33,154.51	12,963.08	1,377.32	21.01	14,319.40	18,835.11	14,817.19

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

Depreciation:

Depreciation has been provided under Straight Line Method on the basis of useful lives prescribed under Schedule II of the Companies Act, 2013, except for the Imported Plant & Machinery, whose useful life is different from that prescribed in Schedule II of the Companies Act, 2013 and its useful life is adopted on the basis of engineering & other expert guidance and depreciated accordingly as follows:

Imported Plant & Machinery acquired upto 31.03.2007	Useful life - 25 years
Imported Plant & Machinery acquired from 01.04.2007 to 31.03.2015	Useful life - 20 years

Impairment of Assets :

The recoverable amount of the CGU is determined on the basis of Fair Value less Cost of Disposal (FVLCD). The FVLCD of the CGU is determined based on the market capitalization approach, using the turnover and earnings multiples derived from observable market data. The fair value measurement is categorized as a level 3 fair value based on the inputs in the valuation techniques used.

Based on the above, no impairment was identified as of March 31, 2026 and 2025 as the recoverable value of the CGUs exceeded the carrying value. Further, none of the CGU's tested for impairment as of March 31, 2026 and 2025 were at risk of impairment. An analysis of the calculation's sensitivity to a change in the key parameters (revenue growth, operating margin, discount rate and long-term growth rate) based on reasonably probable assumptions, did not identify any probable scenarios where the CGU's recoverable amount would fall below its carrying amount.

Mortgage / Charge on Property, plant & equipments:

Plant & Machinery are under the first charge on account of the Term Loan with banks.
The property, plant & equipments are under the second charge for short term borrowings with banks.

Government Grants:

The value of property, plant & equipments is disclosed net of government grants received from MOFPI (Ministry of Food Processing Industries) of Rs.488.72 Lakhs during 2018-19 to 2020-21.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

₹ Lakhs

Particulars	As at 31.03.2026	As at 31.03.2025
04(a) INVESTMENTS		
Investment measured at cost: (Accounted using equity method)		
In equity shares of associate company:		
SKM Universal Marketing Company India Private Limited of Rs.10 each	-	-
Number of Units (Absolute Numbers)	7,89,700	7,89,700
Value (Rs)	118.46	118.46
Intrinsic value of investment	78.56	78.56
Add: Goodwill	39.90	39.90
	118.46	118.46
Add: Share in Securities Premium	9.37	9.37
	127.82	127.82
Add: Share in Other Equity upto previous year	26.23	63.31
	154.05	191.13
Add: Share in Other Equity for the year	75.47	(37.09)
Value (Rs)	229.52	154.05
Classification based on market:		
Aggregate amount of quoted investments	-	-
Aggregate amount of unquoted investments	229.52	154.05
Classification based on measurement:		
Investment measured at cost	229.52	154.05
Investment measured at amortised cost	-	-
Investment measured at fair value	-	-
Total	**229.52**	**154.05**

The details of associate along with proportion of ownership interest held is disclosed below:

Name of the Enterprise / Nature of relationship	Country of Incorporation	Proportion of ownership interest
SKM Universal Marketing Company India Private Limited - Associate	India	26%
04(b) LOANS (UNSECURED AND CONSIDERED GOOD)		
Advances	17.64	16.20
Total	**17.64**	**16.20**
04(c) OTHER FINANCIAL ASSETS - NON CURRENT		
Security Deposits	238.41	179.19
Rental Caution Deposits	134.89	138.86
Corpus Fund	-	-
Total	**373.31**	**318.06**

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

₹ Lakhs

Particulars	As at 31.03.2026	As at 31.03.2025
05. INVENTORIES		
Raw Material, additives & packing materials	3,622.78	1,810.91
Finished Goods	4,487.08	4,485.97
Stock in Trade	822.41	495.53
Stores and spares & consumables	547.27	517.67
Livestock - Birds	2,935.37	3,133.55
Total	**12,414.92**	**10,443.63**
06(a) INVESTMENSTS		
Investment measured at Fair value:		
In mutual funds		
Number of Units (Absolute Numbers)	1,66,62,597	6,08,392
Value (Rs)	7,553.94	620.13
Classification based on market:		
Aggregate amount of quoted investments	7,553.94	620.13
Aggregate amount of unquoted investments	-	-
Classification based on measurement:		
Investment measured at Fair value	7,553.94	620.13
Total	**7,553.94**	**620.13**
06(b) TRADE RECEIVABLES		
(a) Trade Receivables considered good - Secured	-	-
(b) Trade Receivables considered good - Unsecured	6,150.26	2,870.43
(c) Trade Receivables which have significant increase in Credit Risk and	-	-
(d) Trade Receivables - credit impaired	-	-
Total	**6,150.26**	**2,870.43**

1. Trade receivables are netted with Bill discounting of Rs.3306.01 Lakhs (Previous year Rs.943.12 Lakhs)
2. Trade receivables ageing schedule is given in Annexure no.6(b)(i)

06(c) CASH AND CASH EQUIVALENTS		
Balances with banks		
Current Accounts	1,115.63	531.31
Demand deposits	8,162.64	14,114.04
Cash on hand	30.23	19.59
Sub Total	**9,308.49**	**14,664.94**

Demand deposits includes Bank Guarantee of Rs.71.34 Lakhs (Previous year Rs.69.62 Lakhs)

06(d) BANK BALANCES OTHER THAN ABOVE		
Balances with banks - Unclaimed dividend		
Current Accounts	150.78	130.03
Sub Total	**150.78**	**130.03**
Total	**9,459.27**	**14,794.98**

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

The Company's cash and cash equivalents consist of cash on hand and in banks and demand deposits with banks, which can be withdrawn at any time, without prior notice and without penalty on the principal.

For the purposes of the cash flow statement, cash and cash equivalents include cash on hand, in banks and demand deposits with banks and net of outstanding bank overdrafts that are repayable on demand and are considered part of the Company's cash management system. In the balance sheet, bank overdrafts are presented under borrowings within current liabilities.

Cash and Cash equivalents consists of the following for the purpose of cash flow statement:

₹ Lakhs

Particulars	As at 31.03.2026	As at 31.03.2025
Cash and Cash equivalents	9,459.27	14,794.98
Bank Overdrafts	(8,073.27)	(7,541.46)
Total	**1,386.00**	**7,253.52**
06(e) OTHER FINANCIAL ASSETS - CURRENT		
Subsidies receivable & Income accrued on deposits	-	-
Forward contracts - Asset/(Liability)	-	120.86
Total	**-**	**120.86**
07. OTHER CURRENT ASSETS		
Input Tax Credit and Tax Refund receivables	584.33	629.07
Staff Advances	19.94	16.22
Trade Advances	3,904.10	190.17
Prepaid Expenses	124.88	136.74
Others	254.52	214.81
Total	**4,887.77**	**1,187.00**
08 (a) EQUITY SHARE CAPITAL		
Authorised Capital:		
6,00,00,000 Equity Shares of Rs. 5/- each	3,000.00	3,000.00
(Previous year 3,00,00,000 Equity Shares of Rs. 10/- each		
Issued, Subscribed & Paid-up:		
526,60,000 equity Shares of Rs. 5/- each	2,633.00	2,633.00
(Previous year 263,30,000 Equity Shares of Rs.10/- each)		
Total	**2,633.00**	**2,633.00**
Reconciliation of the number of shares outstanding is set out below:	No. of Shares	No. of Shares
Equity Shares:		
At the beginning of the year	2,63,30,000	2,63,30,000
Changes during the year on account of stock split (1:2)	2,63,30,000	-
At the end of the year	5,26,60,000	2,63,30,000

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

On 15.12.2025, the Board of Directors approved a 2 for 1 stock split of the Company's equity shares. Shareholders of record on 12.01.2026, received one additional share for every share held. As a result, the authorized share capital was adjusted to 6,00,00,000 shares of Rs.5 each & the equity shares of the Company were split from 1 share with face value of Rs.10 each to 2 shares with face value of Rs.5 each. Consequently, the paid-up capital of 2,63,30,000 shares of Rs.10 each now stands as 5,26,60,000 shares of Rs.5 each.

Terms, Rights, preferences and restrictions:

(i) The company has one class of equity shares having par value of Rs.5 each. Each share holder is eligible for one vote per share held and carry a right to dividend. In the event of liquidation, the equity share holders are eligible to receive the remaining assets of the company after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

(ii) There are no restrictions attached to equity shares

₹ Lakhs

Particulars	As at 31.03.2026	As at 31.03.2025
Details of shareholders holding more than 5% shares:		
Name of the Share Holders		
SKM SHREE SHIVKUMAR		
No of Equity Shares Held as on Balance sheet dt.	2,39,92,278	1,14,50,139
% of Holdings	45.56%	43.49%
TAMILNADU INDUSTRIAL DEVELOPMENTCORP.LTD		
No of Equity Shares Held as on Balance sheet dt.	39,91,600	19,95,800
% of Holdings	7.58%	7.58%
Total No of Equity Shares	5,26,60,000	2,63,30,000
Face value of Equity shares	5.00	10.00
08(b) OTHER EQUITY		
Securities Premium Account :		
Opening Balance	13.37	13.37
Add : Collected during the year	-	-
Add: Share in Securities Premium of associate	-	-
less: Written back	-	-
Closing Balance	13.37	13.37
General Reserve:		
Opening Balance (Revenue Reserve)	4.33	4.33
Add : Current year transfer	-	-
less: Written back	-	-
Closing Balance	4.33	4.33
Profit & Loss Account:		
Opening Balance	27,451.15	24,648.06
Add: Current Year Balance after appropriation	10,375.15	3,461.34
Less: Dividend Paid	394.95	658.25
Closing Balance	37,431.35	27,451.15
Other Comprehensive Income:		
Opening balance	214.11	398.75
Movement in OCI during the year	(761.88)	(184.65)
Closing balance	(547.77)	214.11
Total	**36,901.28**	**27,682.96**

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

Securities Premium:

This consists of premium realised on issue of shares and will be applied/ utilised in accordance with the provisions of the Companies Act, 2013.

General Reserve:

General Reserve is an accumulation of retained earnings of the Company, apart from the balance in the statement of profit and loss which can be utilised for meeting future obligations.

₹ **Lakhs**

Particulars	As at 31.03.2026	As at 31.03.2025
09.(a) BORROWINGS - NON CURRENT		
Secured - At amortised cost		
Term Loan		
From Banks		
i) Machinery Term Loan - HDFC	85.36	220.17
Nature of loan - Rupee Term Loan		
Maturity date - August 2026		
Terms of repayment - 20 equal quarterly instalments		
Securities offered - Refer note *		
Interest rate - 7.83% p.a.		
Less: Current maturities of long term debt - included in note 13(a)	(85.36)	(133.78)
ii) Term Loan - SBI	3,762.40	4,473.78
Nature of loan - Rupee Term Loan		
Maturity date - December 2030		
Terms of repayment - 78 monthly instalments		
Securities offered - Refer note *		
Interest rate - 8.2% p.a.		
Less: Current maturities of long term debt - included in note 13(a)	(720.00)	(720.00)
iii) Vehicle Term Loan - HDFC	-	20.64
Nature of loan - Rupee Term Loan		
Maturity date - July 2026, but, prepaid and closed		
Terms of repayment - 48 equal monthly instalments		
Securities offered - Refer note *		
Interest rate - 7.25% p.a.		
Less: Current maturities of long term debt - included in note 13(a)	-	(15.66)
Total	**3,042.40**	**3,845.14**

Note : 9(a)(i)* - Machinery Term loans are secured against the first charge against Plant & Machineries & personal guarantee of the Managing Director. Vehicle Term loans are secured against the first charge against Vehicles & personal guarantee of the Managing Director.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

₹ Lakhs

Particulars	As at 31.03.2026	As at 31.03.2025
09 (b) Lease Liabilities - Non current		
Lease Liabilities recognized on Lease Farms	1,921.96	2,330.47
Total	**1,921.96**	**2,330.47**
10. PROVISIONS - NON CURRENT		
Provision for Employee Benefits		
Earned Leave Encashment	76.69	70.23
Net Gratuity obligation	1.11	(51.70)
Total	**77.81**	**18.52**
11. Deferred Tax Liability(Net)		
At the start of the year	806.96	731.26
Charge / (credit) to Statement of Profit & Loss	159.02	147.21
Charge / (credit) to Other Comprehensive Income	(261.74)	(71.50)
At the end of the year	704.24	806.96
Deferred Tax (Assets) / Liabilities in relation to:		
Property, plant and equipment	944.13	781.21
Provisions	(19.58)	(4.66)
Forward contracts Asset / Liability	(11.62)	30.42
Un-Realised G/(L) on Investment	(208.69)	-
Total	**704.24**	**806.96**
12. MINORITY INTEREST		
Share Capital	1.47	1.47
Retained Earnings:		
Opening Balance	64.37	66.17
Current year Profit/Loss transfer	12.29	(1.80)
Closing Balance	76.67	64.37
Other Comprehensive Income:		
Opening balance	3.19	(1.19)
Movement in OCI during the year	2.76	4.38
Closing balance	5.95	3.19
Total	**84.09**	**69.03**

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

₹ Lakhs

Particulars	As at 31.03.2026	As at 31.03.2025
13(a) BORROWINGS - CURRENT		
Secured - At amortised cost		
Working Capital Loans		
From Banks		
Foreign Currency Loans	7,952.42	7,312.28
Nature of loan - Packing Credit (Foreign Currency)		
Terms of repayment - On demand		
Interest rate - 4.90% p.a.		
From Banks		
Rupee Loans	-	229.17
Nature of loan - Cash Credit		
Terms of repayment - On demand		
Interest rate - 9.25% p.a.		
Rabo Bank CC A/c. (Foreign Currency Loans)	120.85	-
Nature of loan - Cash Credit (Foreign Currency)		
Terms of repayment - On demand		
Interest rate - 5.50% p.a		
Current Maturities of Long Term Debt:		
From Banks		
(i) Machinery Term Loan - HDFC	85.36	133.78
(ii) Term Loan - SBI	720.00	720.00
(iii) Vehicle Term Loan - HDFC	-	15.66
Total	**8,878.63**	**8,410.90**

Working Capital from banks are primarily secured by Hypothecation of stocks of Raw materials, Work-in-progress, finished goods and stores and spares, book debts, receivables, material in transit, etc. Borrowings are secured by second charge on the entire fixed assets of the company and personal guarantees of Executive Chairman and Managing director.

13(b) LEASE LIABILITIES - CURRENT		
Lease Liabilities recognized on Lease Farms	362.69	336.82
Total	**362.69**	**336.82**
13(c)TRADE PAYABLES		
Trade Creditors *		
Due to MSME	319.13	164.04
Due to others	2,785.19	2,297.15
Creditors For Expenses & Others		
Due to MSME	-	-
Due to others	173.42	-
Total	**3,277.74**	**2,461.19**

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

₹ Lakhs

Particulars	As at 31.03.2026	As at 31.03.2025
Details relating to micro, small and medium enterprises:		
(a) the principal amount and the interest due thereon (to be shown separately) remaining unpaid to any supplier at the end of each accounting year;	319.13	164.04
(b) the amount of interest paid by the buyer in terms of section 16 of the Micro, Small and Medium Enterprises Development Act, 2006 (27 of 2006), along with the amount of the payment made to the supplier beyond the appointed day during each accounting year;	Nil	Nil
(c) the amount of interest due and payable for the period of delay in making payment (which has been paid but beyond the appointed day during the year) but without adding the interest specified under the Micro, Small and Medium Enterprises Development Act, 2006;	Nil	Nil
(d) the amount of interest accrued and remaining unpaid at the end of each accounting year; and	Nil	Nil
(e) the amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues above are actually paid to the small enterprise, for the purpose of disallowance of a deductible expenditure under section 23 of the Micro, Small and Medium Enterprises Development Act, 2006.	Nil	Nil

Trade payables ageing schedule is given in Annexure no.13(c)(i)

13(d) OTHER FINANCIAL LIABILITIES - CURRENT		
Unclaimed Dividends	150.78	130.03
Forward contracts - Liability	46.16	-
Total	**196.94**	**130.03**

The amount outstanding in respect of unclaimed dividend represents amounts due and outstanding to Investor Education and Protection Fund to the extent of Rs.Nil (Previous year Nil).

14. OTHER CURRENT LIABILITIES		
Advances from customers	222.20	100.64
Statutory Dues	601.54	136.19
Salary & other payables	38.43	36.04
Other payables	1.06	1.06
Total	**863.23**	**273.92**
15. PROVISIONS		
Provisions for Employee Benefits		
Bonus Payable	179.38	122.56
Other Provisions	404.34	238.95
Total	**583.72**	**361.50**

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

Annexure - 3(c)(i) - Capital-Work-in Progress (CWIP) ageing schedule: ₹ Lakhs

Particulars	Outstanding for following periods from due date of payment				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) Projects in progress	613.39	19.39	-	-	632.78
(ii) Projects temporarily suspended	-	-	-	-	-
Total	**613.39**	**19.39**	**-**	**-**	**632.78**

Annexure - 6(b)(i) - Trade receivables ageing schedule: (₹ in Lakhs)

Particulars	Outstanding for following periods from due date of payment					
	Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) Undisputed Trade receivables – considered good	6,117.95	0.51	0.60	-	-	6,119.07
(ii) Undisputed Trade Receivables – which have significant increase in credit risk						
(iii) Undisputed Trade Receivables – credit impaired						
(iv) Disputed Trade receivables – considered good	-	-	-	30.80	0.40	31.20
(v) Disputed Trade Receivables – which have significant increase in credit risk						
(vi) Disputed Trade Receivables – credit impaired						
Total	**6,117.95**	**0.51**	**0.60**	**30.80**	**0.40**	**6,150.26**

Similar information shall be given where no due date of payment is specified in that case disclosure shall be from the date of the transaction.
Unbilled dues shall be disclosed separately

Annexure - 8(a)(i) - Shareholding of promoters schedule:

Shares held by promoters at the end of the year				% Change during the year
S No	Promoter Name	No of shares	% to total shares	
1	SKM Shree Shivkumar	2,39,92,278	45.56%	2.07%
2	S.Kumutaavalli	20,010	0.04%	0%
3	S K.Sharath Ram	22,60,000	4.29%	0%
4	Tamilnadu Industrial Development Corporation Ltd	39,91,600	7.58%	0%
	Total	**3,02,63,888**	**57.47%**	-

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

Annexure - 13(c)(i) - Trade Payables ageing schedule: ₹ Lakhs

Particulars	Outstanding for following periods from due date of payment				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) MSME	319.13	-	-	-	319.13
(ii) Others	2,948.11	4.07	4.83	1.60	2,958.61
(iii) Disputed dues - MSME	-	-	-	-	-
(iv) Disputed dues - Others	-	-	-	-	-
Total	**3,267.24**	**4.07**	**4.83**	**1.60**	**3,277.74**

FINANCIAL RATIOS

S No	Particulars	FINANCIAL YEARS		Change	% Change
		2025-26	2024-25		
a	Current Ratio	2.86	2.51	0.35	13.90%
b	Debt Equity Ratio	0.36	0.49	-0.13	-27.00%
c	Debt Service Coverage Ratio	7.47	3.84	3.63	94.36%
d	Return on Equity Ratio	26.27%	11.41%	0.15	130.24%
e	Inventory Turnover Ratio (Times)	4.42	3.26	1.16	35.56%
	Inventory Turnover Ratio (Days)	82.55	111.90	-29.35	-26.23%
f	Trade Receivables Turnover Ratio (Times)	17.03	17.28	-0.25	-1.46%
	Trade Receivables Turnover Ratio (Days)	21.44	21.12	0.31	1.48%
g	Trade Payables Turnover Ratio (Times)	17.04	12.67	4.37	34.46%
	Trade Payables Turnover Ratio (Days)	21.42	28.80	-7.38	-25.63%
h	Net Capital Turnover Ratio (Times)	1.94	1.64	0.30	18.30%
I	Net Profit Ratio	17.89%	9.32%	0.09	91.87%
j	Return on Capital employed	22.90%	9.25%	0.14	147.45%
k	Return on investment	26.27%	11.41%	0.15	130.24%

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

Ratio	Reasons for change of more than 25% as compared to the preceding year
Debt Equity Ratio	Profit for the year has increased considerably in comparison with the preceding year due to which there is a significant increase in shareholders funds (Equity) in comparison with the preceding year. Due to this, there is a significant decrease and improvement in Debt Equity ratio in comparison to the previous year.
Debt Service Coverage Ratio	Net Profit for the year has increased considerably in comparison with the preceding year and consequently cash flows available for paying term loan instalments have also increased in comparison with the preceding year. Due to this, there is a significant increase and improvement in Debt service coverage ratio in comparison to the previous year.
Return on Equity Ratio	Net Profit for the year has increased considerably in comparison with the preceding year. Due to this, there is a significant increase in Return on Equity Ratio in comparison to the previous year.
Inventory Turnover Ratio	Though the average inventory has increased slighly in comparison to the previous year, cost of goods sold for the year have increased steeply due to the increase in turnover for the year. Due to this there is a significant improvement in the Inventory Turnover Ratio and the number of days inventory have been held has been decreased from erstwhile 112 days to 83 days.
Trade Payables Turnover Ratio	Though the average trade payables have increased slighly in comparison to the previous year, purchases for the year also have increased steeply due to the increase in turnover for the year. Due to this trade payable turnover ratio has improved and increased considerably in comparison to the previous year.
Net Profit Ratio	Net Profit for the year has increased considerably in comparison with the preceding year. Due to this, there is a significant increase in Net Profit Ratio in comparison to the previous year.
Return on Capital employed Ratio	Net Profit for the year has increased considerably in comparison with the preceding year. Due to this, there is a significant increase in Return on Capital employed in comparison to the previous year.
Return on investment Ratio	Net Profit for the year has increased considerably in comparison with the preceding year. Due to this, there is a significant increase in Return on investment in comparison to the previous year.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

Annexure - Ratios:

₹ Lakhs

S No	Particulars	FINANCIAL YEARS	
		2025-26	2024-25
i	**Current = (Current Assets / Current Liabilities)**		
	Current Assets	40,466.16	30,037.03
	Current Liabilities	14,162.96	11,974.37
ii	**Debt Equity = (Debt / Equity)**		
	Debt		
	Long Term borrowings & lease liability	4,964.35	6,175.61
	Short Term borrowings & lease liability	9,241.33	8,747.71
	Total Debt	**14,205.68**	**14,923.32**
	Equity		
	Share Capital	2,633.00	2,633.00
	Reserves and Surplus	36,901.28	27,682.96
	Total Equity	**39,534.28**	**30,315.96**
iii	**Debt Service Coverage = (Cash flows available for paying EMI / Instalment amount)**		
	Cash flows available for paying EMI		
	Net Profit After Tax	10,387.45	3,459.55
	(+) Depreciation	1,555.84	1,377.32
	(+) Interest on Term Loans & lease liability	459.86	346.61
	Cash flows available for paying EMI	**12,403.15**	**5,183.48**
	Loan repayments during the year (term loan + lease liability)	1,660.93	1,349.12
iv	**Return on Equity = (Net Profit After Tax / Equity)**		
	Return - Net Profit After Tax	10,387.45	3,459.55
	Equity	39,534.28	30,315.96
v	**Inventory turnover = (Cost of goods sold / Average Stock)**		
	Cost of goods sold		
	Cost of materials consumed	43,674.10	28,252.17
	Purchase of Stock-in-Trade	3,406.87	2,772.97
	Changes in inventories of finished goods, work-in-progress and Stock-in-Trade	(327.99)	1,369.08
	Direct Wages	1,415.52	1,187.17
	Amortised Value of Birds	2,367.75	2,078.36
	Total	**50,536.25**	**35,659.76**
	Average Stock		
	Opening Stock	10,443.63	11,421.15
	Closing Stock	12,414.92	10,443.63
	Average Stock	**11,429.27**	**10,932.39**

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

₹ Lakhs

S No	Particulars	FINANCIAL YEARS	
		2025-26	2024-25
vi	**Trade Receivables turnover = (Revenue from Operations / Average Trade Receivables)**		
	Sales - Revenue from Operations	76,799.52	49,782.94
	Average Trade Receivables		
	Trade Receivables - Opening	2,870.43	2,891.56
	Trade Receivables - Closing	6,150.26	2,870.43
	Average Trade receivables	**4,510.35**	**2,880.99**
vii	**Trade Payables turnover = (Purchases / Average Trade Payables)**		
	Purchases	48,892.84	30,534.20
	Average Trade Payables		
	Trade Payables - Opening	2,461.19	2,358.07
	Trade Payables - Closing	3,277.74	2,461.19
	Average Trade payables	**2,869.46**	**2,409.63**
viii	**Net capital turnover ratio = (Revenue from Operations / Net Capital)**		
	Revenue from Operations	76,799.52	49,782.94
	Net capital (Share Capital + Reserves and Surplus)	39,534.28	30,315.96
ix	**Net Profit ratio = (Net Profit before tax / Revenue from Operations)**		
	Net Profit before tax	13,738.68	4,641.56
	Revenue from Operations	76,799.52	49,782.94
x	**Return on Capital employed = (Net Profit after tax / Capital Employed)**		
	Net Profit after tax	10,387.45	3,459.55
	Capital Employed		
	Equity	39,534.28	30,315.96
	Non current liabilities	5,830.48	7,070.12
	Capital Employed	**45,364.77**	**37,386.08**
xi	**Return on Investment = (Net Profit after tax / Equity)**		
	Net Profit after tax	10,387.45	3,459.55
	Total Equity	39,534.28	30,315.96

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

16. FINANCIAL INSTRUMENTS:

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through Statement of Profit and Loss ('FVTPL')) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit and loss are recognised immediately in Statement of Profit and Loss.

Trade receivables are initially recognised when they are originated. Trade payables are in respect of the amount due on account of goods purchased or services availed in the normal course of business. They are recognised at their transaction and services availed value if the transaction do not contain significant financing component.

a) Financial Assets

(i) Recognition and initial measurement

All financial assets are recognized initially at fair value. Transaction costs that are directly attributable to the acquisition of financial assets (other than financial assets at fair value through Statement of Profit or Loss ('FVTPL')) are added to the fair value of the financial assets, on initial recognition. Transaction cost directly attributable to the acquisition of financial assets at FVTPL are recognized immediately in Statement of Profit and Loss.

(ii) Subsequent measurement

Debt instruments at amortised cost:

A 'debt instrument' is measured at the amortized cost if both the following conditions are met:

- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.
- The asset is held within a business model whose objective is to hold assets for collecting contractual cash flows, and
- Contractual terms of the asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

After initial measurement, such financial assets are subsequently measured at amortized cost using the effective interest rate (EIR) method. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included in finance income in the profit or loss. The losses arising from impairment are recognized in the profit or loss. This category generally applies to trade and other receivables.

Debt instrument at FVTOCI:

A 'debt instrument' is classified as FVTOCI if both of the following criteria are met:

- The objective of the business model is achieved both by collecting contractual cash flows and selling the financial assets, and
- The asset's contractual cash flows represent SPPI.

Debt instruments included within the FVTOCI category are measured initially as well as at each reporting date at fair value. Fair value movements are recognized in the other comprehensive income (OCI).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

Debt instrument at FVTPL:

FVTPL is a residual category for debt instruments. Any debt instrument, which does not meet the criteria for categorization as amortized cost or as FVTOCI, is classified as FVTPL. Debt instruments included within the FVTPL category are measured at fair value with all changes recognized in the statement of profit and loss.

In addition, the Company may elect to designate a debt instrument, which otherwise meets amortized cost or FVTOCI criteria, as FVTPL. However, such election is chosen only if doing so reduces or eliminates a measurement or recognition inconsistency (referred to as 'accounting mismatch').

(iii) De-recognition of financial assets

A financial asset is de-recognised only when;

a. The entity has transferred the rights to receive cash flows from the financial asset or

b. The entity retains the contractual rights to receive the cash flows of the financial asset, but expects a contractual obligation to pay the cash flows to one or more recipients.

Where entity has transferred an asset, it examines and assesses whether it has transferred substantially all risk and rewards of ownership of financial asset. In such cases, financial asset is de-recognised. Where entity has not transferred substantially all risks and rewards of ownership of financial asset, such financial asset is not de-recognised.

Where the entity has neither transferred a financial asset nor retains substantially all risk and rewards of ownership of the financial asset, the financial asset is de-recognised, if the Group has not retained control of the financial asset. Where the entity retains control of the financial asset is continued to be recognised to the extent of continuing involvement in the financial asset.

b) Financial liabilities and equity instruments

(i) Initial recognition and measurement

All financial liabilities are recognized initially at fair value plus transaction cost (if any) that is attributable to the acquisition of the financial liabilities which is also adjusted.

(ii) Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

Loans and borrowings:

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the Effective Interest Rate (EIR) method. Gains and losses are recognized in profit or loss when the liabilities are de-recognised through the EIR amortization process. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included as finance costs in the statement of profit and loss.

Trade and other payables:

These amounts represent liabilities for goods or services provided to the Company which are unpaid at the end of the reporting period. Trade and other payables are presented as current liabilities when the payment is due within a period of 12 months from the end of the reporting period. For all trade and other payables classified as current, the carrying amounts approximate fair value due to the short maturity of these instruments. Other payables falling due after 12 months from the end of the reporting period are presented as non-current liabilities and are measured at amortised cost unless designated at fair value through profit and loss at the inception.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

Other financial liabilities at fair value through profit or loss:

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Gains or losses on liabilities held for trading or designated as at FVTPL are recognized in the profit or loss.

(iii) Derecognition of financial liabilities:

A financial liability is de-recognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or Modification is treated as the de-recognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in the statement of profit or loss.

c) Offsetting

Financial assets and financial liabilities are offset and the net amount is reported in the balance sheet if there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, to realize the assets and settle the liabilities simultaneously.

d) Impairment of Financial assets

The Company assesses at each date of balance sheet whether a financial asset or a group of financial assets is impaired. Ind AS 109 requires expected credit losses to be measured through a loss allowance. The Company recognizes lifetime expected losses for all contract assets and / or all trade receivables that do not constitute a financing transaction. For all other financial assets, expected credit losses are measured at an amount equal to the 12-month expected credit losses or at an amount equal to the life time expected credit losses, if the credit risk on the financial asset has increased significantly since initial recognition.

e) Fair value measurement

The Company measures financial instruments at fair value at each balance sheet date. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability which are accessible to the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

Valuation:

The financial instruments are initially recognized and subsequently re-measured at fair value as described below :

(a) The fair value of Forward Foreign Exchange contracts is determined using forward exchange rates and yield curves at the balance sheet date.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

(b) The fair value of the remaining financial instruments is determined using discounted cash flow analysis.

(c) All foreign currency denominated assets and liabilities using exchange rate at the reporting date.

Fair Value measurement hierarchy:

The fair value of cash and cash equivalents, other bank balances, loans, trade receivables, trade payables and others approximates their carrying amount. The company uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation techniques. The fair valuation of current investment is done by Level 1 category valuation, as the investment is quoted and has active market and the various other financial assets and liabilities are done by adopting Level 3 category valuation, as there are no observable inputs for the same.

Level 1 :

Quoted prices (unadjusted) in active markets for identical assets and liabilities. ₹ **Lakhs**

Particulars	As at 31.03.2026	As at 31.03.2025
Financial Assets		
At fair value through P & L		
(i) Investments - Current	617.09	620.13
At fair value through OCI		
(i) Investments - Current	6,936.85	-
(ii) Other financial assets - current	-	120.86

Level 2 :

Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (derived from prices)

Level 3 :

Inputs for the asset or liability that are not based on observable market data (unobservable inputs) ₹ **Lakhs**

Particulars	As at 31.03.2026	As at 31.03.2025
Financial Assets		
At amortised cost		
(i) Trade receivables	6,150.26	2,870.43
(ii) Cash and cash equivalents	9,308.49	14,664.94
(iii) Bank balances other than (ii) above	150.78	130.03
(iv) Loans	17.64	16.20
(v) Other Financial Assets	373.31	318.06
Financial Liabilities		
At amortised cost		
(i) Borrowings	11,921.03	12,256.04
(ii) Lease liabilities	2,284.65	2,667.28
(iii) Trade Payables	3,277.74	2,461.19
(iv) Other Financial Liabilities	196.94	130.03

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

f) Derivative financial instruments

Derivative financial instruments are accounted for at FVTPL except for derivatives designated as hedging instruments in cash flow hedge relationships, which require a specific accounting treatment. To qualify for hedge accounting, the hedging relationship must meet several strict conditions with respect to documentation, probability of occurrence of the hedged transaction and hedge effectiveness. These arrangements have been entered into to mitigate currency exchange risk arising on account of repayment of foreign currency term loan and interest thereon.

The Company uses derivative financial instrument i.e. forward contracts to mitigate the risk of foreign exchange exchange rates. At the inception of a hedge relationship, the Company formally designates and documents the hedge relationship to which the Company wishes to apply hedge accounting and the risk management objective and strategy for undertaking the hedge.

Any gains or losses arising from changes in the fair value of derivatives are taken directly to Statement of Profit and Loss, except for the effective portion of cash flow hedge which is recognised in Other Comprehensive Income and later to Statement of Profit and Loss when the hedged item affects profit or loss or is treated as basis adjustment if a hedged forecast transaction subsequently results in the recognition of a Non-Financial Assets or Non-Financial liability.

Hedges that meet the criteria for hedge accounting are accounted for as follows:

A. Cash Flow Hedge

The Company designates derivative contracts or non-derivative Financial Assets/ Liabilities as hedging instruments to mitigate the risk of movement in interest rates and foreign exchange rates for foreign exchange exposure on highly probable future cash flows attributable to a recognised asset or liability or forecast cash transactions.

B. Fair Value Hedge

The Company designates derivative contracts or non-derivative Financial Assets/Liabilities as hedging instruments to mitigate the risk of change in fair value of hedged item due to movement in interest rates, foreign exchange rates and commodity prices.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

17. CAPITAL MANAGEMENT - ADDITIONAL CAPITAL DISCLOSURES:

The Company adheres to the Capital Management framework which is underpinned by the following guiding principles:

(a) The key objective is to ensure that it maintains a stable capital structure with the focus on total equity to uphold investor, creditor, and customer confidence and to ensure future development of its business.

(b) Leverage optimally in order to maximize shareholder returns while maintaining strength and flexibility of the Balance Sheet.

(c) The Company also focusses on keeping strong total equity base to ensure independence, security, as well as a high financial flexibility for potential future borrowings, if required without impacting the risk profile of the Company.

(d) Proactively manage exposure in forex, interest and commodities to mitigate risk to earnings.

(e) The Company's goal is to continue to be able to return excess liquidity to shareholders to distribute annual dividends in future years.

This framework is adjusted based on underlying macro-economic factors affecting business environment, financial market conditions and interest rates environment.

The capital structure of the company is as follows:

₹ Lakhs

Particulars	As at 31.03.2026	As at 31.03.2025
Total Equity (A)	39,534.28	30,315.96
% Change 2026 - 25	30.41%	
Current Loans and borrowings	8,878.63	8,410.90
Non-current loans and borrowings	3,042.40	3,845.14
Total loans and borrowings (B)	11,921.03	12,256.04
% Change 2026 - 25	-2.73%	
Loans & borrowings as a percentage of total equity	30.15%	40.43%
Total Capital (A) + (B)	**51,455.31**	**42,571.99**
% Change 2026 - 25	20.87%	

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

₹ Lakhs

Particulars	2025-26	2024-25
18. REVENUE FROM OPERATIONS		
Sale of Products :		
Sale of Egg Powder & Egg Liquid - Export	55,570.12	27,499.27
Sale of Eggs - Export	4,945.86	1,627.32
Sale of Egg Powder & Egg Liquid - Domestic	6,419.92	5,639.06
Sale of Eggs & Poultry Feed - Domestic	8,832.80	14,322.10
Sale of Poultry Suppliment & Organic manure	193.38	-
Sale of Culling Birds, Litter & Egg Shell (Waste)	752.86	643.28
Sale of Declared Goods	66.74	40.40
Lab Analysis Charges Received	17.85	11.52
Total	**76,799.52**	**49,782.94**
19. OTHER INCOME		
Interest Income	1,052.72	1,034.62
Subsidies/Sale of Licence	842.94	317.68
Profit/(Loss) on sale of Assets	0.84	2.06
Profit/(Loss) on sale of Investments	4.04	-
Unrealized gain or loss on investments	(3.04)	47.14
Gain or Loss on Assets withdrawal	1.06	-
Gain or Loss on Lease Termination	5.05	-
Miscellaneous Income	6.85	2.29
Total	**1,910.48**	**1,403.80**
20. COST OF MATERIALS CONSUMED		
Raw materials, additives, consumables, vaccines & medicines consumed:		
Opening Stock	1,680.32	2,147.61
Add: Purchased during the year	44,601.84	27,196.23
Less: Closing Stock	(3,500.66)	(1,680.32)
Raw materials consumed: (a)	42,781.51	27,663.52
Packing materials consumed:		
Opening Stock	130.59	154.25
Add: Purchased during the year	884.13	564.99
Less: Closing Stock	(122.12)	(130.59)
Packing materials consumed: (b)	892.59	588.65
Total (a+b)	**43,674.10**	**28,252.17**

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

₹ Lakhs

Particulars	2025-26	2024-25
21. PURCHASES OF STOCK-IN-TRADE		
Purchase of Egg Powder (Russia & Europe)	3,406.87	2,772.97
Total	**3,406.87**	**2,772.97**

The above amount of purchases is inclusive of duties & taxes for which credit is not admissible

22. CHANGES IN INVENTORIES OF FINISHED GOODS, WORK-IN-PROGRESS AND STOCK-IN-TRADE		
Opening Stock	4,981.50	6,350.58
Closing Stock	(5,309.49)	(4,981.50)
(Increase)/Decrease in Stock	**(327.99)**	**1,369.08**
23. EMPLOYEE BENEFIT EXPENSES		
Salaries & Wages	3,201.94	3,121.50
Contribution to Provident & Other funds	115.64	107.85
Provision for Gratuity	12.62	21.43
Provision for Earned Leave	32.16	27.94
Staff Welfare Expenses	105.33	85.60
Total	**3,467.69**	**3,364.31**

Defined Contribution Plan:

Particulars	2025-26	2024-25
Employer's contribution to Provident Fund	65.07	61.40
Employer's contribution to Pension Scheme	51.30	47.51

Defined Benefit Plan:

a. Reconciliation of Opening and Closing Balances of Defined Benefit Obligations:

Particulars	Gratuity (Funded)	
	31-03-2026	31-03-2025
Present Value of obligation at the beginning of the year	120.11	145.53
Interest Cost	8.71	17.40
Current Service Cost	16.52	16.47
Benefits paid	(16.73)	(8.06)
Actuarial (gain) / loss	43.75	(51.22)
Present Value of obligation at year end	172.36	120.11

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

b. Reconciliation of Opening and Closing Balances of Fair Value of Plan Assets: ₹ Lakhs

Particulars	Gratuity (Funded)	
	31-03-2026	31-03-2025
Fair Value of plan assets as at beginning of the year	171.81	157.97
Expected return on plan assets	12.61	12.44
Contribution made	3.56	9.46
Benefits Paid	(16.73)	(8.06)
Actuarial gain / (loss) on the plan assets	-	-
Fair Value of plan assets as at year end	171.25	171.81

c. Reconciliation of Fair Value of Assets and Obligations

Particulars	Gratuity (Funded)	
	31-03-2026	31-03-2025
Present value of the obligation	172.36	120.11
Fair Value of plan assets	171.25	171.81
Funded Status (Surplus / (Deficit))	(1.11)	51.70
Net asset / (liability) recognized in the balance sheet	(1.11)	51.70

d. Expenses recognized during the year

Particulars	Gratuity (Funded)	
	31-03-2026	31-03-2025
Current Service Cost	16.52	16.47
Interest Cost	8.71	17.40
Expected return on plan assets	(12.61)	(12.44)
Actuarial (gain) / loss	43.75	(51.22)
Net Cost	56.37	(29.80)

e. Actual return on the plan assets:

Particulars	Gratuity (Funded)	
	31-03-2026	31-03-2025
Expected return on plan assets	12.61	12.44
Actuarial gain / loss on plan assets	-	-
Actual return on plan assets	12.61	12.44

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

f. Actuarial Assumptions:

Particulars	Gratuity (Funded)	
	31-03-2026	31-03-2025
Discount rate (Per annum)	7.25%	7.25%
Expected rate of return on Plan Assets (Per annum)	7.25%	7.25%
Rate of escalation in salary (Per annum)	6.50%	6.50%

The data required for disclosing information with regard to sensitivity analysis is not made available by the Actuary despite the concerted attempts made by the company to gather the information in this regard and hence the information relating to sensitivity analysis in terms of the amount of responsiveness and the financial impact consequent to change in discount rate, change in rate of salary escalation and change in rate of employee turnover (while holding all the other factors constant), have not been provided for during the year.

These plans typically expose the company to actuarial risks such as:

Investment risk:

The present value of the defined benefit plan liability is calculated using a discount rate which is determined by reference to market yields at the end of the reporting period on government bonds.

Interest risk:

A decrease in the bond interest rate will increase the plan liability, however, this will be partially offset by an increase in the return on the plan debt investments.

Longevity risk:

The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortatility of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.

Salary risk:

The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

DISCLOSURE ON ACCOUNTING FOR REVENUE FROM CUSTOMERS IN ACCORDANCE WITH Ind AS 115: ₹ Lakhs

Particulars	2025 - 26	2024 - 25
A. Disaggregated revenue information		
Sale of manufactured products	75,768.69	49,087.75
Sale of products	193.38	-
Sale of by-products & declared goods scrap	819.60	683.68
Service Income received	17.85	11.52
Total Operating Revenue	76,799.52	49,782.94
b. On the basis of geographical region:		
In India	16,283.55	20,656.35
Outside India	60,515.97	29,126.59
Total Operating Revenue	76,799.52	49,782.94
c. On the basis of timing of revenue recognition:		
At a point of time	76,799.52	49,782.94
Over a period of time	-	-
Total Operating Revenue	76,799.52	49,782.94
B. Contract Liabilities:		
a. Contract Balances:		
Contract Liabilities	222.20	100.64
C. Revenue recognised during the year in relation to contract liabilities:		
Revenue recognised	100.64	41.90
D. Reconciliation of revenue recognised in the statement of profit and loss with the contracted price		
Revenue at contracted prices	76,799.52	49,782.94
Revenue from contract with customers	76,799.52	49,782.94
Difference	-	-
E. Unsatisfied or partially satisfied performance obligation		
Unsatisfied or partially satisfied performance obligation	Nil	Nil

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

₹ Lakhs

Particulars	2025-26	2024-25
24. FINANCIAL COSTS		
Interest Expenses on Working Capital Loan	525.98	630.71
Interest Expenses on Term Loans	233.75	228.66
Other borrowing costs - bank charges & bill discount	137.11	68.19
Exchange Fluctuation - Net	356.96	82.78
Interest recognized on Lease farm Assets	226.11	117.95
Total	**1,479.91**	**1,128.29**
25. DEPRECIATION & AMORTISATION		
Depreciation on Property, plant & equipment - Own assets	1,114.73	947.51
Depreciation on Property, plant & equipment - Leased assets	441.11	429.81
Amortisation of livestock - Birds	2,367.75	2,078.36
Total	**3,923.59**	**3,455.68**
26. OTHER EXPENSES		
Power & Fuel	2,053.22	1,624.39
Stores & Spares Consumption	731.21	512.30
Repairs and Maintenance:		
a) Building	92.78	101.00
b) Plant & Machinery	217.72	110.49
c) Vehicle - Fuel & Maintenance	763.58	715.67
d) Computer & Software Maintenance	36.19	32.72
e) Other Maintenance	154.24	164.81
Procurement & Direct expenses	601.73	651.45
Foreign Exchange Fluctuation Loss - Net	1,432.71	67.08
Asset Retirement by Scrapping (write off)	144.04	-
Analysing Charges	32.08	27.54
Rates and Taxes,Registration and Renewal	51.09	35.91
Rent Expenses	87.60	52.88
Postage, Courier,Telephone & Internet Charges	25.79	22.82
Printing & Stationery	10.94	8.17
Insurance Premium	46.56	36.30
Advertisement and Publicity	3.71	4.39
Travelling Expenses	87.59	85.75
Foregin Travelling expenses	104.65	52.36
Professional Charges	133.24	71.83

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

₹ Lakhs

Particulars	2025-26	2024-25
Subscription	0.00	17.91
Miscellaneous Expenses	10.36	28.54
Bad Debts written off / (Recovered)	(5.23)	(2.10)
Audit Fees	15.45	10.00
Corporate Social Responsibility (CSR) Expenses	174.24	151.14
Donation	17.48	2.13
Directors Sitting Fee	3.30	1.40
Stock Exchange Listing Fee & Secretarial Expenses	31.57	20.39
Sales Commission	146.48	184.90
Selling Expenses	440.67	218.66
Freight and Forwarding Charges	1,776.94	1,151.68
Total	**9,421.91**	**6,162.48**
26(i) PAYMENT TO AUDITORS AS:	**Excluded Tax**	
(a) Auditor		
Statutory Audit Fees	5.00	5.00
Tax Audit Fees	5.00	5.00
(b) Certification Services - Included in Professional charges	2.33	0.91
(c) For Appeal Representation and Others - Included in Prof charges	4.00	-
(d) Reimbursement of expenses	-	-
Total	**16.33**	**10.91**
26(ii) CORPORATE SOCIAL RESPONSIBILITY (CSR):		
as per Section 135 read with Schedule VII of the Companies Act, 2013		
i) Amount required to be spent by the company during the year	174.24	150.14
ii) Amount of expenditure incurred	174.24	151.14
iii) Shortfall at the end of the year	-	-
iv) Total of previous year shortfall	-	-
v) Reason for shortfall	NA	NA
vi) Nature of CSR activities		
Eradicating hunger, poverty & malnutrition, promoting preventive health care and sanitation and making available safe drinking water. Promoting Education, including special education and employment enhancing vocation skills especially among children, women, elderly and the differently abled and livelihood enhancement project.		
vii) Details of related party transactions:		
Donation to Shree Foundation	174.24	150.14
The trust shall be to undertake and support activities that promote social welfare, community development, environmental sustainability, eduction, health care, and other initiatives that contribute to the betterment of society.		
viii) Where a provision is made with respect to a liability by entering into a contractual obligation, the movements in the provision during the year	NA	NA

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

₹ Lakhs

Particulars	2025-26	2024-25
27 (i) CURRENT TAX		
Income Tax - Normal Provisions	3,355.04	1,034.54
Income Tax - Relating to preceding years	(162.83)	0.27
Total	**3,192.22**	**1,034.81**
27 (ii) DEFERRED TAX		
On account of variation of allowances for tax purpose in :		
Depreciation (DTA)/DTL	162.93	177.80
Provision for gratuity & earned leave - DTL / (DTA)	(3.91)	(30.59)
Sales of Assets (DTA)/DTL	-	-
Total	**159.02**	**147.21**
28 EARNINGS PER SHARE		
(i) Net Profit after Tax as per Statement of Profit and Loss attributable to Equity Shareholders (Rs. In Lakhs)	10,375	3,461
(ii) Weighted Average number of Equity Shares used as denominator for calculating Basic EPS (In absolute numbers)	5,26,60,000	5,26,60,000
(iii) Weighted Average number Potential Equity Shares (Nos)	-	-
(iv) Total Weighted Average number of Equity Shares used as denominator for calculating Diluted EPS (In absolute numbers)	5,26,60,000	5,26,60,000
(v) Basic Earnings per Share (Rs - in absolute figures) (i) / (ii)	19.70	6.57
(vi) Diluted Earnings per Share (Rs - in absolute figures) (i) / (iv)	19.70	6.57
(vii) Face Value per Equity Share (Rs)	5.00	5.00

Since the company does not have any Potential Equity Shares, the denominator used for calculating Basic EPS and Diluted EPS are the same and consequently Basic EPS and Diluted EPS are the same.

Pursuant to stock split, all share and per-share information (including Basic EPS and Diluted EPS) in these financial statements have been adjusted retrospectively to reflect this stock split. The weighted average number of shares for 2024-25 has been adjusted to reflect the 1:2 stock split in 2025-26.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

₹ Lakhs

29. INCOME TAXES:

The reconciliation between the provision of income tax and amounts computed by applying the Indian statutory income tax rate to profit before taxes is as follows:

Particulars	2025-26	2024-25
Profit / (Loss) before tax	13581.14	4,693.73
Applicable Tax Rate	25.17	25.17%
Computed Tax expense	3418.10	1,181.32
Income Tax effect of :		
Expenses related to exempt Income	0.59	0.25
Expenses disallowed for tax purposes	(71.35)	(142.36)
Allowances for tax purposes	0.76	(11.86)
Income exempt from tax	(2.10)	(1.35)
Income taxed at higher / (lower) rates	-	-
Others	8.21	8.55
Current tax provision (A)	3,354.22	1,034.54
Income Tax / (Reversal) - Relating to preceding years (B)	(162.83)	0.27
Incremental / (Decremental) Deferred Tax Liability on account of Tangible Assets	162.93	177.80
Incremental / (Decremental) Deferred Tax Liability on account of Financial & Other Assets / Liabilities	-	-
(Incremental) / Decremental Deferred Tax Asset on account of Other Assets	(3.91)	(30.59)
Deferred tax provision (c)	159.02	47.21
Tax Expenses recognised in Statement of Profit & Loss	13,581.14	1,182.01
Effective Tax Rate	25.17%	25.18%

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

30. SEGMENT INFORMATION:

The Group's operating segments are established on the basis of those components that are evaluated regularly by the Executive Committee (the 'Chief Operating Decision Maker' as defined in Ind AS 108 - 'Operating Segments'), in deciding how to allocate resources and in assessing performance. These have been identified taking into account nature of products and services, the differing risks and returns and the internal business reporting systems.

i) Primary Segment Information:

There are no reportable segments for the Group for the year to be given under the primary segment information.

ii) Secondary Segment Information:

The Company has five geographic segments: India, Japan, Russia, Europe and Rest of the world. Revenues from the geographic segments based on domicile of the customer are as follows:

₹ Lakhs

Particulars	2025-26	2024-25
1. Segment Revenue - External Turnover		
(a) Within India	16,283.55	20,656.35
(b) Outside India:		
(i) Japan	22,745.36	7,848.53
(ii) Russia	12,466.86	6,180.13
(iii) Europe	3,546.18	1,877.52
(iv) Rest of the World	21,757.58	13,220.41
Total	**76,799.52**	**49,782.94**
2. Non-Current Assets		
(a) Within India	18,688.26	19,004.61
(b) Outside India - Europe	(0.00)	0.74
Total	**18,688.26**	**19,005.36**

Revenues from One customer of the company amount to more than 10% of the Company's total revenues and represent approximately Rs.16,371.68 lakhs (previous year Rs.6,582.97 lakhs) of the total revenue of the company.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

31. RELATED PARTY DISCLOSURES:

As required under Indian Accounting Standard (Ind AS) 24 - Related Party disclosures, disclosure of transactions with related parties are given below:

(a) Classification and name of the Related Parties

(i) Associate	SKM Universal Marketing Company India Private Ltd
(ii) Key Management Personnel	SKM Shree Shivkumar
	Shri.SKM Maeilanandhan
	S.K.Sharath Ram
	K.S.Venkatachalapathy
	P. Sekar
(iii) Relative of Key Management Personnel	Smt.M.Kuttilakshmi
(iv) Other Related Parties	SKM Animal Feeds and Foods India Private Limited
	SKM Siddha and Ayurvedha Company India Private Limited
	Shree Foundation

(b) Description of relationship between the parties :

(i) Associate	
(a) SKM Universal Marketing Company India Private Limited	Domestic associate company in which the company holds 26% voting power
(ii) Key Management Personnel	
(a) SKM Shree Shivkumar	Managing Director
(b) Shri.SKM Maeilanandhan	Whole time Director
(c) S.K.Sharath Ram	Whole time Director
(d) K.S.Venkatachalapathy	Chief Financial Officer
(e) P. Sekar	Company Secretary
(iii) Relative of Key Management Personnel	
(a) Smt.M.Kuttilakshmi	Relative of Managing Director & Wholetime Director
(iv) Other Related Parties	
(a) SKM Animal Feeds and Foods India Private Limited	Entity over which Key Management Personnel have significant influence
(b) SKM Siddha and Ayurvedha Company India Private Limited	Entity over which Key Management Personnel have significant influence
(c) Shree Foundation	Entity over which Key Management Personnel is a trustee and have significant influence

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

(c) Transactions during the year and year end balances with related parties :

(c-i) The company has the following related party transactions for the years 2025-26 & 2024-25 :

₹ Lakhs

Nature of relationship	Nature of Transactions	2025 - 26	2024 - 25
(i) Associate	Sale of goods	1,754.92	1,325.40
	Rent Income	0.26	0.90
	Purchase of Electricity	432.25	367.65
	Purchase of PPE	-	3.75
(ii) Key Management Personnel	Remuneration paid	746.31	1,018.33
	Rent paid	3.63	3.49
(iii) Relative of Key Management Personnel	Rent paid	0.60	0.60
(iv) Other Related Parties	Sale of goods	4.46	3.10
	Purchase of goods	1.70	103.81
	Donation paid	174.24	150.14

(c-ii) The company has the following balances outstanding as of March 31, 2026 and March 31, 2025 :

₹ Lakhs

Nature of relationship	Nature of Balances outstanding	As at 31.03.2026	As at 31.03.2025
(i) Associate	Investments	229.52	154.05
	Trade receivables	226.71	64.08
	Trade payables	-	-
(ii) Key Management Personnel	-	-	-
(iii) Relative of Key Management Personnel	Trade payables	-	-
(iv) Other Related Parties	Trade receivables	-	-
	Trade payables	-	-

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

(d) Disclosures in respect of major related party transactions during the year :

The following are the significant related party transactions during the year ended March 31, 2026 and March 31, 2025. ₹ **Lakhs**

Particulars	Relationship	2025- 26	2024- 25
1) Purchase of goods			
(a) SKM Siddha and Ayurvedha Company India Private Limited	Other Related Party	1.70	1.20
(b) SKM Universal Marketing Company India Private Limited	Associate	-	-
(c) SKM Animal Feeds and Foods India Private Limited	Other Related Party	-	102.61
2) Purchase of Electricity			
(a) SKM Universal Marketing Company India Private Limited	Associate	432.25	367.65
3) Purchase of Property, Plant & Equipment			
(a) SKM Universal Marketing Company India Private Limited	Associate	-	3.75
4) Rent paid			
(a) SKM Shree Shivkumar	Key Management Personnel	3.63	3.49
(b) Smt.M.Kuttilakshmi	Relative of Key Management Personnel	0.60	0.60
5) Remuneration paid			
(a) SKM Shree Shivkumar	Key Management Personnel	579.54	848.51
(b) Shri.SKM Maeilanandhan	Key Management Personnel	60.15	59.81
(c) S.K.Sharath Ram	Key Management Personnel	58.30	59.30
(d) K.S.Venkatachalapathy	Key Management Personnel	35.96	38.11
(e) P.Sekar	Key Management Personnel	12.37	12.59
6) Donation paid			
Shree Foundation	Other Related Party	174.24	150.14
7) Sale of goods			
(a) SKM Animal Feeds and Foods India Private Limited	Other Related Party	4.46	3.10
(b) SKM Universal Marketing Company India Private Limited	Associate	1,754.92	1,325.40
8) Rent Income			
(a) SKM Universal Marketing Company India Private Limited	Associate	0.26	0.90

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

₹ Lakhs

The following are the significant related party balances outstanding as of March 31, 2026 and March 31, 2025.

Particulars	Relationship	As at 31.03.2026	As at 31.03.2025
1) Trade receivables			
(a) SKM Universal Marketing Company India Private Limited	Associate	226.71	64.08
(b) SKM Animal Feeds and Foods India Private Limited	Other Related Party	-	-
2) Trade payables			
(a) SKM Universal Marketing Company India Private Limited	Associate	-	-
(b) SKM Siddha and Ayurvedha Company India Private Limited	Other Related Party	-	-
(c) Smt.M.Kuttilakshmi	Relative of Key Management Personnel	-	-
3) Investments			
(a) SKM Universal Marketing Company India Private Limited	Associate	229.52	154.05

(e) Compensation of Key Management Personnel

Particulars	2025-26	2024-25
(i) Short-term employee benefits	694.70	966.79
(ii) Post-employment benefits *	51.61	51.54
(iii) Other long-term benefits	-	-
(iv) Termination benefits	-	-
(v) Share-based payment	-	-
	746.31	1,018.33

* - Post-employment benefit comprising gratuity, and compensated absences are not disclosed as these are determined for the Company as a whole.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

Foreign currency risk:

The company is essentially an Export Oriented Undertaking and makes significant exports and has availed Working Capital Loan (Packing Credit) in Foreign currency and also imports goods, stores & spares occassionally. The Company is exposed to foreign currency risk on these transactions. The Company follows a conservative and sound policy by entering into simple Forward Exchange Contracts to hedge the foreign currency risk whose maturity is coterminous with the maturity period of the foreign currency liabilities and receivables.

The following table shows the foreign currency exposure in USD and EUR on financial statements at the end of the reporting period. The exposure to foreign currency for all other currencies are not material.

₹ Lakhs

Particulars	As at 31st March 2026	As at 31st March 2025
(i) Borrowings:		
Euro	420.30	111.92
USD	7,657.21	7,200.36
(ii) Trade & other payables		
Euro	362.35	317.96
USD	728.98	173.28
(iii) Trade & other receivables		
Euro	(980.37)	(298.25)
USD	(5,370.04)	(2,496.94)
Net Exposure (i + ii - iii)	**2,818.43**	**5,008.33**

Sensitivity analysis of 1% change in exchange rate at the end of the reporting period net of hedges

Particulars	As at 31st March 2026 (₹ in Lakhs)		
	USD	Euro	Total
1% Depreciation in INR			
Impact on equity	-	(0.63)	(0.63)
Impact on P & L	(30.16)	2.61	(27.56)
Total	(30.16)	1.98	(28.18)
1% Appreciation in INR			
Impact on equity	-	0.63	0.63
Impact on P & L	30.16	(2.61)	27.56
Total	30.16	(1.98)	28.18
	As at 31st March 2025 (₹ in Lakhs)		
	USD	Euro	Total
1% Depreciation in INR			
Impact on equity	-	(0.06)	(0.06)
Impact on P & L	(48.77)	(1.26)	(50.03)
Total	(48.77)	(1.32)	(50.08)
1% Appreciation in INR			
Impact on equity	-	0.06	0.06
Impact on P & L	48.77	1.26	50.03
Total	48.77	1.32	50.08

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

Interest rate risk:

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company has availed significant Foreign Currency Working Capital Loan (In USD as well as Euro) by way of Packing Credit at floating interest rates. The interest rate is at 1% (spread) plus LIBOR rate of respective Bank and the interest rate is reset based on the LIBOR rate, as per the loan facility agreement. The Company has not entered into any of the interest rate swaps and hence, the Company is exposed to interest rate risk.

The Company considering the economic environment in which it operates has determined the interest rate sensitivity analysis (interest exposure) at the end of the reporting period. The interest rate for the Company are floating rates and hence, the analysis is prepared assuming the amount of the borrowings outstanding at the end of the reporting period was outstanding for the whole year. A 100 basis point +/- fluctuation in the interest rate is used for disclosing the sensitivity analysis.

The exposure of the company's borrowings to interest rate changes at the end of the reporting period are as follows

₹ Lakhs

Particulars	As at 31st March 2026	As at 31st March 2025
(i) Borrowings - Short term		
Borrowings in Euro - PCFC	295.21	111.92
Borrowings in USD - PCFC	7,657.21	7,200.36
Borrowings in Euro - CC	120.85	-
Borrowings in INR- CC	-	229.17
Borrowings in INR - Current maturity of Long Term loan	805.36	869.44
(ii) Borrowings - Long term		
Borrowings in INR	3,042.40	3,845.14
Net Exposure	**11,921.03**	**12,256.04**

Impact on interest expenses for the year on 1% change in interest rates

₹ Lakhs

Particulars	2025-26	2024-25
Up Move		
Impact on equity	-	-
Impact on P & L	(236.53)	(150.00)
Total	**(236.53)**	**(150.00)**
Down Move		
Impact on equity	-	-
Impact on P & L	236.53	150.00
Total	**236.53**	**150.00**

The interest rate sensitivity analysis is done holding on the assumption that all other variables remaining constant. The increase / decrease in interest expense is mainly attributable to the Company's exposure to interest rates on its variable rate of borrowings.

Commodity price risk:

Commodity price risk arises due to fluctuation in prices of eggs, feeds and other products. The company has a risk management framework aimed at prudently managing the risk by reducing the external dependability and enhancement of self reliance by manufacturing the commodities in house to the extent possible.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

Credit risk:

Credit risk is a risk that a customer or counter party to a financial instrument fails to perform or pay the amounts due, causing financial loss to the company. Credit risk arises from Company's outstanding receivables from customers and other parties. The company has a prudent and conservative process for managing its credit risk arising in the course of its business activities. The Company ensures that sales of products are made to customers with appropriate creditworthiness. Credit risk is controlled by analysing credit limits and creditworthiness of customers on a continuous basis to whom the credit has been granted after obtaining necessary approvals for credit.

Geographic concentration of credit risk:

Geographic concentration of trade receivables is as follows:

₹ Lakhs

Particulars	As at 31st March 2026	As at 31st March 2025
(a) Within India	611.66	322.70
(b) Outside India:		
(i) Japan	766.79	890.59
(ii) Russia	3,289.19	395.89
(iii) Europe	326.01	70.92
(iv) Rest of the World	1,156.62	1,190.33
Total	**6,150.26**	**2,870.43**

Year ended 31-03-2026

Expected credit loss for trade receivables under simplified approach

₹ Lakhs

Ageing	Upto 180 days	More than180 days	Total
Gross carrying amount - Trade receivables	6,117.95	32.31	6,150.26
Expected credit losses (Loss allowance provision) - trade receivables	-	-	-
Carrying amount of trade receivables (net of impairment)	6,117.95	32.31	6,150.26

Year ended 31-03-2025

Expected credit loss for trade receivables under simplified approach

₹ Lakhs

Ageing	Upto 180 days	More than180 days	Total
Gross carrying amount - Trade receivables	2,842.27	28.16	2,870.43
Expected credit losses (Loss allowance provision) - trade receivables	-	-	-
Carrying amount of trade receivables (net of impairment)	2,842.27	28.16	2,870.43

The Company determines the allowance for credit losses based on historical loss experience adjusted to reflect current and estimated future economic conditions. The Company considered current and anticipated future economic conditions relating to industries the Company deals with and the countries where it operates. In calculating expected credit loss, the company has also considered credit reports and other related credit information for its customers to estimate the probability of default in future.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31.03.2026

Liquidity risk:

Liquidity risk arises from the company's inability to meet its cash flow commitments on time. Prudent liquidity risk management implies maintaining sufficient stock of cash and cash equivalents.

This has been achieved by the company by maintaining cash & cash equivalents of Rs.9,308.49 lakhs as on 31st March 2026 and Rs.14,664.94 lakhs as on 31st March 2025

Liquidity risk is also mitigated by maintaining availability of standby funding through an adequate line up of committed credit facilities

This has been achieved by the company by availing the Packing Credit facility from the bank of Rs.8,073.27 lakhs as on 31st March 2026 and Rs.7,312.28 lakhs as on 31st March 2025

Liquidity Exposure as at 31.03.2026:

₹ Lakhs

Particulars	< 1 year	1 - 5 years	> 5 years	Total
Financial Assets:				
Investments	7,553.94	-	229.52	7,783.45
Loans	-	7.29	10.35	17.64
Trade receivables	6,150.26	-	-	6,150.26
Cash and cash equivalents	9,308.49	-	-	9,308.49
Bank balances other than above	150.78	-	-	150.78
Other Financial Assets	-	-	373.31	373.31
Total Financial Assets	**23,163.47**	**7.29**	**613.18**	**23,783.94**
Financial Liabilities:				
Borrowings	8,878.63	3,042.40	-	11,921.03
Lease Liabilities	362.69	1,921.96	-	2,284.65
Trade Payables	3,277.74	-	-	3,277.74
Other Financial Liabilities	196.94	-	-	196.94
Total Financial Liabilities	**12,716.01**	**4,964.35**	**-**	**17,680.36**

Liquidity Exposure as at 31.03.2025:

₹ Lakhs

Particulars	< 1 year	1 - 5 years	> 5 years	Total
Financial Assets:				
Investments	620.13	-	154.05	774.18
Loans	-	5.85	10.35	16.20
Trade receivables	2,870.43	-	-	2,870.43
Cash and cash equivalents	14,664.94	-	-	14,664.94
Bank balances other than above	130.03	-	-	130.03
Other Financial Assets	120.86	-	318.06	438.92
Total Financial Assets	**18,406.40**	**5.85**	**482.46**	**18,894.70**
Financial Liabilities:				
Borrowings	8,410.90	3,845.14	-	12,256.04
Lease Liabilities	336.82	2,330.47	-	2,667.28
Trade Payables	2,461.19	-	-	2,461.19
Other Financial Liabilities	130.03	-	-	130.03
Total Financial Liabilities	**11,338.94**	**6,175.61**	**-**	**17,514.54**

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SKM EGG PRODUCTS

THINKING OUT OF THE SHELL

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